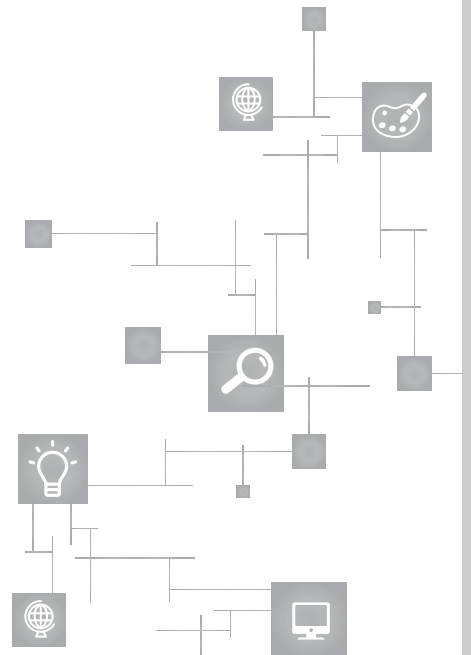


IP LAW JOURNAL

Patent Court of Korea



LETTER FROM THE EDITOR-IN-CHIEF

The English Patent Court Journal is already entering its third year of publication since its inception with the idea that the decisions concerning patents and other intellectual property are not matters limited to a particular country and thus should be universal and valid that could garner a degree of consensus in the international society.

During the aforementioned time, the Patent Court has continued its efforts to internationalize the intellectual property field, including steadily pushing forward with the revision of the law for the operation of the International Court Division, deciding this year to establish the International Intellectual Property Law Research Center within the Patent Court, and successfully holding the 2016 International IP Court Conference. In addition, as of January 1, 2016, the Patent Court has been granted exclusive jurisdiction over appeals of civil cases involving the rights of patent, trademark, and design, such as claims for damages and injunctive relief on the basis of infringement.

In keeping up with these efforts and changes, this year's English Patent Court Journal has some changes in the following areas:

First of all, the 'Decisions' section has been changed to, instead of publishing a small number of decisions almost in their original text, publishing summaries of a larger number of decisions classified into 'patent and utility model' and 'trademark and design'. This change was made to help the readers with understanding the significance and implications of the decisions more easily and clearly upon a glance while providing even more diverse and interesting decisions held by the Patent Court.

Next, we added a new section of 'Case Review'. This was newly inserted to differentiate from 'Articles' section for the purpose of contributing to the development of legal principles of the patent law as well as helping deeper understanding of the issues through intense analyses of decisions that are

jurisprudentially and socially significant and meaningful.

Lastly, we included two ‘Guidelines’ regarding the procedures of the Patent Court proceedings. The ‘Guideline of Practice and Procedure of Revocation Action in the Patent Court of Korea’ refers to the procedures of the existing court proceedings on cancellation of the KIPO rulings, and the ‘Guideline of Civil Appellate Practice and Procedure of the Patent Court of Korea’ refers to the procedures of infringement case proceedings that came under the Patent Court’s centralized jurisdiction from this year; both ‘Guidelines’ are designed to realize predictable and sophisticated legal procedures that are commensurate with the international standards. Under the circumstances where the functions of the Patent Court are expanded due to its centralized jurisdiction and the people’s interest in the intellectual property is higher than ever before, the international sharing of the ‘Guidelines’ on the procedures of the Patent Court proceedings would put the international community on notice of the Patent Court’s trial capabilities and contribute to the Patent Court vaulting into a global IP tribunal.

We hope that this Journal will help introduce Korean intellectual property trial system to the international community, assist many international intellectual property professionals, researchers, and practitioners to gain a better understanding of Korean intellectual property trial system, and further provide an opportunity for Korean intellectual property trial system to be evaluated by international experts, thus becoming a stepping stone for development of the Korean intellectual property trial system.

We would like to express our gratitude to the editors who contributed to publication of this Journal, to the intellectual property professionals who took charge of translation and editorship thereof, and to Artech Design’s staff for publishing this Journal.

December 2016

Chief Judge of the Patent Court of Korea, **Daekyeong LEE**

TABLE OF CONTENTS

[Overview]

003 | Statistics of Patent Court of Korea

[Decisions]

009 | Major Decisions of Patent Court on Patents and Utility Models in
Recent 1 Year Period *Boohan KIM*

053 | Major Decisions of Patent Court on Trademarks and Designs in
Recent 1 Year Period *Kisu KIM*

[Articles]

077 | A Proposal for Adjusting the Standards on Inventive Step Assessment
Jongsun CHOI

113 | Presumption on Damages Based on Infringer's Profit *Boohan KIM*

143 | Practices for Managing Orders to Produce Documents and Materials
Hyunjin CHANG

[Case Reviews]

159 | The Composition of a Comparative Invention that Asserts the
Defense of Freely Usable Technology *Jongsun CHOI*

171 | Acquired Distinctiveness and Functionality of Three-dimensional
Trademark *Hosan LEE*

[Guidelines]

197 | Guideline of Practice and Procedure of Revocation Action in the
Patent Court of Korea

211 | Guideline of Civil Appellate Practice and Procedure of the Patent
Court of Korea

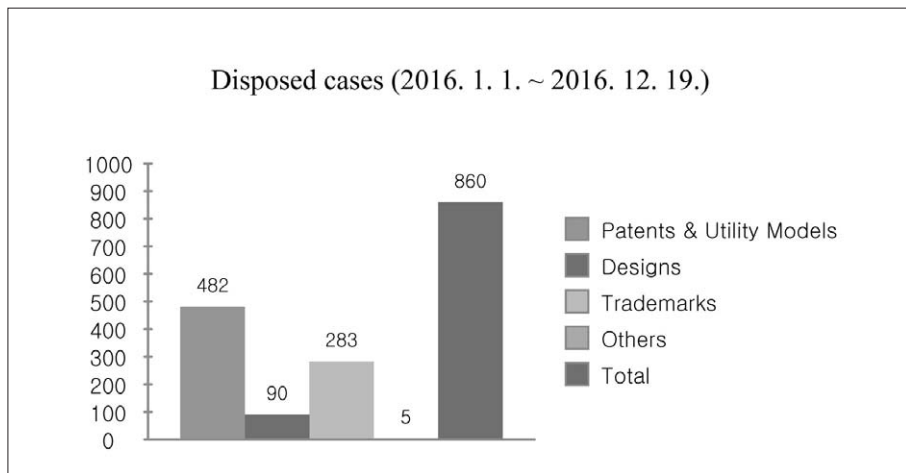
Overview

Statistics of Patent Court of Korea

■ Decision Cancellation Cases(2016. 1. 1. ~ 2016. 12. 19.)

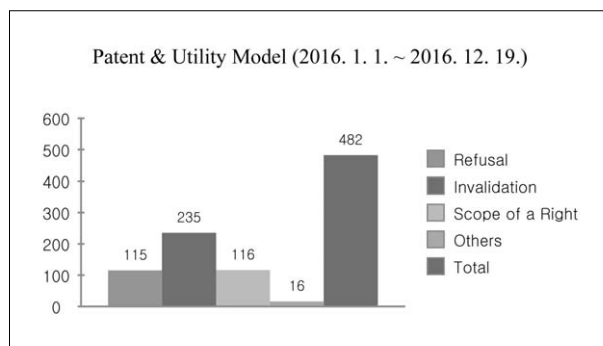
1. Disposed cases

Patent & Utility Models	Designs	Trademarks	Others	Total
482	90	283	5	860



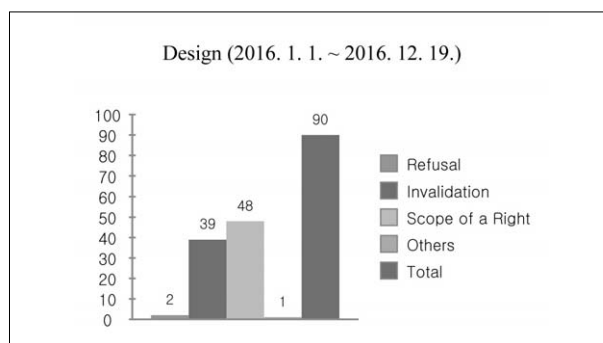
2. Patent & Utility Model

Refusal	Invalidation	Scope of a Right	Others	Total
115	235	116	16	482



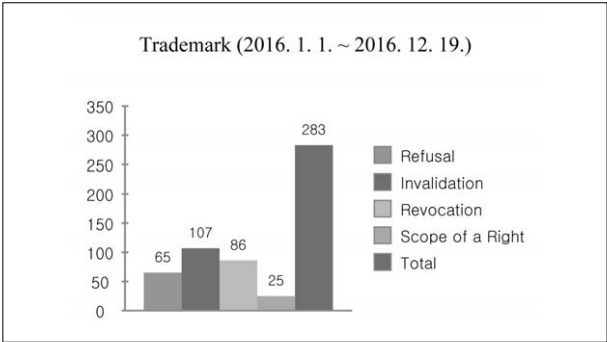
3. Design

Refusal	Invalidation	Scope of a Right	Others	Total
2	39	48	1	90



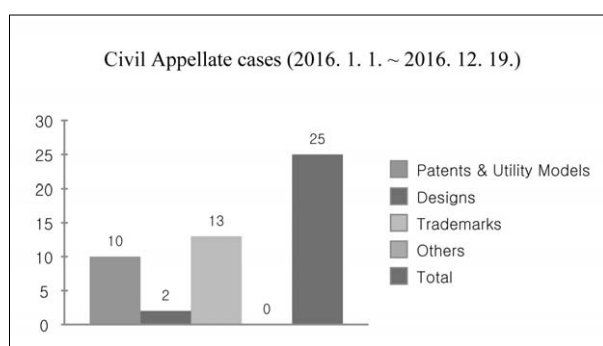
4. Trademark

Refusal	Invalidation	Revocation	Scope of a Right	Total
65	107	86	25	283



■ Civil Appellate Cases(2016. 1. 1. ~ 2016. 12. 19.)

Disposed Cases				
Patent & Utility Models	Designs	Trademarks	Others	Total
10	2	13	-	25



■ Foreign Parties(2016. 1. 1. ~ 2016. 12. 19.)

USA	JPN	SWE	DEU	GBR	CHE	FRA	CHN	NLD	ITA	CAN	ESP	Others	Total
104	74	45	27	27	20	7	5	4	5	3	3	33	357



Decisions

Major Decisions of Patent Court on Patents and Utility Models in Recent 1 Year Period

Boohan KIM*

[Introduction]

Major decisions on patents and utility models issued by the Patent Court from October 1, 2015 to October 7, 2016 were selected according to the presiding judges and are summarized below.

In connection with the general principle of a trial to cancel an IPTAB decision, the Patent Court rendered the following decisions: there is no benefit of a retrial when a patent right has been invalidated (No. 1: 2015Jaeheo31); concerning the binding nature of a decision to cancel an IPTAB decision, the Intellectual Property Trial and Appeal Board ("IPTAB") cannot render a decision reaching the same conclusion as its previous decision on the same ground as that of the previous decision, which was determined to be unlawfully decided in the confirmed decision cancelling the IPTAB decision (No. 2: 2015Heo6794); and in a trial to cancel an IPTAB decision which maintained a final rejection against a patent application, the Korean Intellectual Property Office ("KIPO") can submit a material to prove the existence of generally known technology in the technical field at the time of filing a patent application in order to supplement cited references and clarify the meaning thereof (No. 3: 2016Heo2737).

In connection with public welfare among the requirements for a patent, the Patent Court issued a decision holding that a patent on a method of a producing Kimchi by using silver water containing silver ion components may harm public hygiene (No. 4: 2016Heo229).

In connection with whether a prior invention is publicly known, the Patent Court rendered a decision denying that a prior invention was publicly known by recognizing a confidentiality obligation under the business practice of a company in a competitive relationship that received a request for the prior

*Judge, the Patent Court of Korea.

invention (No. 5: 2016Heo2072).

In connection with inventiveness among the requirements for a patent, the Patent Court rendered the following decisions: the inventiveness is judged according to claim interpretation (No. 6: 2015Heo857 and No. 9: 2015Heo3849); a trend in technology development is considered (No. 7: 2016Heo666); a commercial success is considered as a reference material (No. 8: 2016Heo106); a prior art technology in a different technical field can be adopted (No. 10: 2015Heo6374) and cannot be adopted (No. 12: 2015Heo8578); ease in combining cited references is denied due to a structural modification to the extent of abandoning the means for solving the problem in order to combine the cited references (No. 11: 2015Heo8226); a reasonable expectation of the possibility of success was presented as a criterion for judging the inventiveness of a cancer treatment agent medicinal use invention (No. 13: 2014Heo4913); the inventiveness of a claimed invention with a numerical limitation is denied since the critical significance of such limitation is not recognized (No.14: 2015Heo3498); and the inventiveness is judged by distinguishing a product-by-process claim and a process claim (No.15: 2015Heo7346).

In connection with the first-to-file rule among the requirements for a patent, the Patent Court issued a decision holding that the first-to-file rule is violated when a cited reference corresponds to a narrower concept and a later filed invention corresponds to a broader concept (No. 16: 2016Heo3051).

In connection with the description requirements of a specification, the Patent Court rendered a decision holding that in a Markush-type claim, even though some components are not described as specific examples, if a person of ordinary skill in the art could expect an effect generated therefrom, the description requirements for the specification under Article 42(3) of the Patent Act are not violated (No. 17: 2015Heo3955).

In connection with a trial to confirm the scope of right, the Patent Court issued the following decisions: a negative scope confirmation action for a compared invention identical to the working product immediately after the close of the hearing procedure in an infringement action has no interests in confirmation (No. 18: 2015Heo6824); and the defense of public domain technology is not allowed in the case where an invention subject to confirmation of the scope of right literally infringes the patented invention (No. 19: 2015Heo4019).

In connection with infringement of a patent, the Patent Court rendered the following decisions: the scope of right is not limited to those shown in the drawings by claim interpretation (No. 20: 2015Heo2570); the principle of prosecution history estoppel is applied in relation to the doctrine of equivalents (No. 21: 2015Heo5883); an infringement under the doctrine of equivalents is acknowledged by comparing two constitutional elements and corresponding features of an invention subject to confirmation (No. 22: 2015Heo6244); and an infringement under the doctrine of equivalents is denied due to the difference in the theory of solving the problem (No. 23: 2015Heo7025).

Among the decisions below, the full texts of Decision Nos. 3, 4, 7, 13, 15, 16, 17, 18, 19, and 21 are published in 'PATENT COURT DECISIONS (Vol. 2, 2016).'

[Trial to Cancel an IPTAB decision (general)]

1. Patent Court Decision No. 2015Jaeheo31 rendered on January 22, 2016 [Confirmation of the scope of right (Patent)]

[Main Issue and Holdings]

When a patent right is invalidated after an IPTAB decision on a trial to confirm the scope of right is issued, any legal benefit from canceling the IPTAB decision becomes extinct and thus there is no benefit of a retrial to cancel the IPTAB decision.

[Summary of the Decision]

The purpose of a petition for confirmation of the scope of patent right is to confirm the scope of the existing patent right. Thus, if the patent right has been invalidated, there is no benefit in seeking the confirmation of the scope of the patent right, and if the patent right was invalidated after the issuance of an IPTAB decision on the confirmation of the scope of right, any legal benefit from canceling the IPTAB decision becomes extinct (*see* Supreme Court Decision No. 2007Hu4120 rendered on June 26, 2008, Supreme Court Decision No. 2008Hu4486 rendered on February 24, 2011, etc.).

Accordingly, due to the confirmation of an IPTAB's invalidation decision, the

patent right of the Subject Patent did not exist from the beginning and as a consequence, the subject decision that judged the scope of right for the patent right, which does not exist, is unlawful. Meanwhile, since the patent right of the Subject Patent is extinguished, the legal benefit in seeking cancellation of the subject decision is extinguished, and thus there is no longer any legal benefit in seeking cancellation of the IPTAB decision on a retrial that dismissed the petition for cancelling the subject decision (Patent Court Decision No. 2012Heo6915 rendered on December 27, 2012).

If so, the petition for the subject retrial is unlawful and thus is dismissed. The decision as described in the Order is hereby issued.

2. Patent Court Decision No. 2015Heo6794 rendered on May 12, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

Binding nature of a decision to cancel an IPTAB decision

[Summary of the Decision]

When a decision to cancel an IPTAB decision has been confirmed, the basic grounds for the cancellation decision are binding on the IPTAB for the Subject Case. The binding nature in this case accrues from the impropriety of the factual and legal findings of the IPTAB decision, which were the grounds of cancellation. Thus, in the absence of any special circumstances such as a change in the arguments or evidentiary relationship which are grounds for the binding decision within the extent that any new argument or new evidence presented during a trial procedure after the cancellation is not inconsistent with the basic grounds of the cancellation of the decision, the IPTAB may not issue a decision reaching the same conclusion as the IPTAB's previous decision based on the same ground that was found to be unlawful in the confirmed cancellation decision of the IPTAB decision (*see* Supreme Court Decision No. 2001Hu96 rendered on December 26, 2012, Supreme Court Decision No. 2006Hu3007 rendered on June 12, 2008, etc.).

3. Patent Court Decision No. 2016Heo2737 rendered on September 29, 2016 [Final Rejection (Patent)]

[Main Issue and Holdings]

In a trial to cancel an IPTAB decision which maintained a final rejection against a patent application, a specific meaning on correspondence between a lawful ground of the IPTAB decision argued by the KIPO and a main purport of a rejection ground on which an opportunity to file a response was provided during the examination stage.

[Summary of the Decision]

In order to issue a final rejection against a patent application during the examination stage, an examiner must notify the applicant of the rejection grounds and provide an opportunity to present his or her arguments before issuing the final rejection. Further, in order to argue that the final rejection is reasonable during an appeal procedure in the IPTAB based on different grounds from the above rejection grounds, such grounds can be a basis of the IPTAB decision only when the applicant was provided with an opportunity to present his or her arguments on such grounds (*see* Articles 62, 63, and 170 of the Korean Patent Act). Since the provisions of the Korean Patent Act ensuring such procedural rights are mandatory, an IPTAB decision to dismiss an appeal against a final rejection on the grounds that the result of the final rejection is reasonable based on a new rejection ground, on which no opportunity to present an argument, is unlawful. Along a similar purport, in a trial procedure to cancel an IPTAB decision dismissing an appeal against a final rejection, it should be deemed that the Commissioner of KIPO should not be able to argue a new rejection ground on which no opportunity to present an argument was provided during an examination or appeal stage. However, although the ground is argued by the Commissioner of KIPO for the first time during the trial procedure to cancel the decision dismissing the appeal against the final rejection, if the ground is no more than supplementing the rejection ground on which an opportunity to present arguments was provided during the examination or appeal stage so that the ground coincides with a main purport to deem that the applicant was provided with a substantial opportunity to present an argument, such ground

can be a basis for judging reasonableness of the IPTAB decision. In particular, if the applicant was already notified of a rejection ground to the effect that inventiveness of the claimed invention is denied by cited references, a material submitted for proving the existence of a generally known technology in the technical field at the time of filing the patent application and for supplementing the cited references to clarify the meaning thereof does not correspond to a material relating to a new prior art technology. Therefore, even if the Court in the trial to cancel the IPTAB decision adopts the material as a basis of denying inventiveness, the Court cannot be considered to have adopted, as a basis of its decision, a new rejection ground that does not coincide with the main purport of the previously issued rejection ground (*see* Supreme Court Decision No. 2013Hu1054 rendered on September 26, 2013).

[Public Welfare]

4. Patent Court Decision No. 2016Heo229 rendered on July 8, 2016 [Final Rejection (Patent)]

[Main Issue and Holdings]

A patent relating to “a method of manufacturing Kimchi by use of silver water containing silver (Ag) ion components” is deemed an invention having a risk of harming public health and thus cannot be allowed under Article 32 of the Korean Patent Act.

[Summary of the Decision]

- ▷ An invention that has a risk of harming public health cannot be allowed under Article 32 of the Korean Patent Act.
- ▷ The subject invention relates to a method of manufacturing Kimchi having an extended expiration date and an antibacterial effect by using silver (Ag) ion components.
- ▷ However, silver (Ag) is a contaminant substance to which human body can be

exposed through food, drinking water, etc. It has been known that intentional long-term ingestion of the substance causes harmful effects such as skin discoloration as in argyria, immune dysfunction, and neural tissue lesions. Since silver is permanently deposited in tissues, no effective treatment is known to date for argyria.

- ▷ According to [Table 3] of 「Standards and Specifications of Food」 which was announced by Ministry of Food and Drug Safety pursuant to Article 7(1) of the Korean Food Sanitation Act, “silver (Ag)” is designated as one of “raw materials which cannot be used for food.” In other words, “silver” cannot be used as a raw material for manufacturing, processing, or cooking food under Korean law regardless of the content.
- ▷ Furthermore, Kimchi is a staple food that Koreans ingest almost every day and should not contain ingredients whose safety is questionable. However, no material sufficient to resolve the question of safety has been submitted.
- ▷ The plaintiff argued that the principle of trust protection should be applied based on other patent registration cases related to drinking water containing silver ions, etc. However, the principle of trust protection argued by the plaintiff cannot be accepted since it cannot take precedence over Article 36(3) of the Constitution, which prescribes the nation's obligation to protect the public health.

[Whether Prior Invention Is Publicly Known]

5. Patent Court Decision No. 2016Heo2072 rendered on September 22, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

A confidentiality obligation under the business practice of Samsung Electronics Co., Ltd. (“Samsung Electronics”), who commissioned the plaintiff to develop a prior invention, and the plaintiff who was in a competitive

relationship as a subcontractor of Samsung Electronics, is recognized to thereby deny that the prior invention was publicly known.

[Summary of the Decision]

For the reasons stated below, since the plaintiff, Samsung Electronics, etc. bear a confidentiality obligation concerning the contents of a prior invention, the prior invention is not deemed to be publicly known before the filing of the application for the Subject Patent.

① The prior invention was invented by Hwashin Connector Co., Ltd. ("Hwashin connector") (considering that Hwashin Connector and the plaintiff have respectively patented their developed and proposed inventions, it appears no agreement existed between Samsung Electronics and the subcontractors, i.e., Hwashin Connector and the plaintiff, to assign the rights concerning the developed and proposed inventions to Samsung Electronics). Under the principle of trust and good faith, since Samsung Electronics is the party that commissioned the invention, it has a confidentiality obligation concerning the contents of the prior invention developed and proposed by Hwashin connector (*see* Supreme Court Decision No. 99Hu1768 rendered on February 23, 2001, etc.).

② Further, the plaintiff, etc., who participated in a development conference of a compression ground type connector under Samsung Electronics' supervision, were in a position of a subcontractor who should follow Samsung Electronics' instructions as a secondary vendor of Samsung Electronics. Thus, the plaintiff bears the confidentiality obligation under the business practice related to the product development, such as the development process and technical contents of the compression ground type connector, which was being planned by Samsung Electronics. Therefore, the plaintiff is in a relationship to keep the confidentiality of the contents of the prior invention for Samsung Electronics, and this relationship does not change even if the plaintiff and Hwashin Connector were in a competitive relationship for developing the compression ground type connector as subcontractors (*see* Supreme Court Decision No. 99Hu1768 rendered on February 23, 2001, etc.).

[Inventiveness Judgment]

6. Patent Court Decision No. 2015Heo857 rendered on October 30, 2015 [Final Rejection (Patent)]

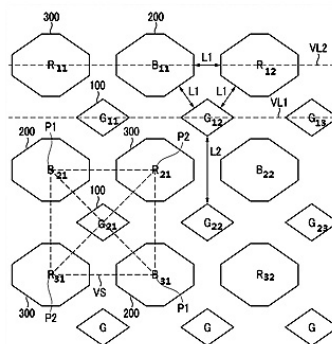
[Main Issue and Holdings]

The decision specified whether claims can be interpreted in view of the effect expected from the elements described in the claims and disclosed in the specification the content illustrated in the drawings, and whether a person of ordinary skill in the art could have easily overcome the difference in constitutional elements and the difference in effect caused therefrom in view of a publicly known technology.

[Summary of the Decision]

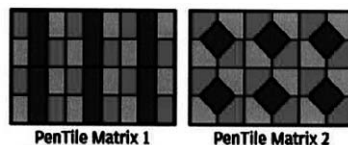
▷ Claim interpretation

Regarding Element 7 of the Subject Patent, i.e., “each of a plurality of second pixels and each of a plurality of third pixels are alternately arranged to surround a first pixel,” ① the specification of the patent discloses that “each of a plurality of B pixels having a center point located in a first vertex and each of a plurality of R pixels having a center point located in a second vertex surround a G pixel” and “each of the plurality of B pixels and the plurality of R pixels is arranged to surround the G pixel to thereby enhance the opening ratio of each of G, B, and R pixels; ② the drawings illustrate a feature that R11-B11-R21-B21 surround G11, R11-B12-R22-B21 surround G12, etc.; and ③ the specification discloses an effect yielded from Element 7 as the effect of enhancing the opening ratio of all of the pixels including the G pixel (subpixel). In view of the above disclosures, the term “each” in Element 7 is interpreted to mean that, when a plurality of B pixels and a plurality of R pixels defining a virtual square (for example, when selecting R11-B11-R21-B21, B11-R12-B22-R21, B21-R21-B31-R31, etc. in the figure above) are selected, each of the pixels surrounds the G pixel.



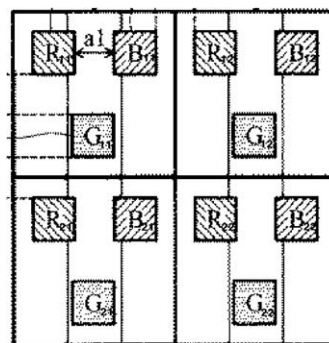
▷ Publicly known technology

To a person of ordinary skill in the art at the time of filing Claim 1 of the Subject Patent, the following technologies are found to have been widely known or used: ① the basic principle of configuring a unit pixel in a PenTile scheme and an RGB scheme in an OLED display panel; ② regarding the technology of arranging pixels (subpixels) in the RGB scheme, arranging the pixels (subpixels) in various forms using a stripe form or a delta structure; and ③ regarding the arrangement of the pixels (subpixels) in the PenTile scheme, arranging the pixels in a stripe form (PenTile Matrix 1 in the figure above) and arranging the R and G pixels with a B pixel as a center point to surround the B pixel (PenTile Matrix 2 in the figure above).



▷ Whether the claimed invention could have been easily conceived by a person of ordinary skill in the art from the prior art invention in view of the publicly known technology

① The Subject Patent differs from the Cited Reference in constitution in terms of Element 7, and due to the difference, the Subject Patent has the effects of securing a sufficient distance between pixels (subpixels) having the same color so as to improve deposition reliability, and decreasing the distance between adjacent pixels (subpixels) having a different color to improve space utilization thereby enhancing the opening ratio of each pixel (subpixel) including the G pixel.



② While the Cited Reference discloses an RGB scheme where the unit pixel has one of each R, G, B pixels, the Subject Patent discloses a PenTile scheme where the number of the G pixels differs from that of the B and R pixels. Therefore, the two inventions differ from each other in terms of the basic principle of configuring the unit pixel and the image processing method according to such principle. ③ The specification of the Cited Reference neither discloses nor suggests the feature that each of a plurality of B and R pixels is alternately arranged to surround a G pixel,

thereby securing a sufficient distance between pixels (subpixels) having the same color so as to improve deposition reliability, and decreasing the distance between adjacent pixels (subpixels) having a different color to improve space utilization in order to enhance the opening ratio of each pixel (subpixel) including the G pixel. ④ The pixel (subpixel) arrangement structure in the PenTile scheme that was well known to a person of ordinary skill in the art at the time of filing the Subject Patent is in a stripe form or in a form surrounding the R and G pixels based on the B pixel as a center point (PenTile Matrix 2). However, the above arrangement structures differs from the pixel (subpixel) structure of the Subject Patent where the B and R pixels are alternately arranged based on the G pixel as a center point to surround the G pixel. Further, the arrangement structure (PenTile Matrix 2) of surrounding the R and G pixels with the B pixel as a center point differs from the Subject Patent in that some of the plurality of second and third pixels do not surround the first pixel. Due to such differences, the effect of the Subject Patent of improving the deposition reliability along with improving the opening ratio of each pixel (subpixel) cannot be expected. ⑤ The conventional OLED had a problem in that a high resolution is difficult to implement compared with the LCD panel, and the RGB scheme has a limitation in enhancing the resolution due to the limitation in the precision of deposition technologies for organic materials. Since the PenTile scheme can display an image using a smaller number of pixels (subpixels) than the RGB scheme, it is possible to secure the space between pixels (subpixels) and increase the size of each pixel (subpixel). However, the OLED in the PenTile scheme known before the filing of the Subject Patent still had a lower resolution and difficulty in displaying a detailed image compared to the LCD panel. The Subject Patent conceived the pixel (subpixel) arrangement structure that can improve the deposition reliability while improving the opening ratio using the PenTile scheme. Thus, the Subject Patent overcame the limitations of the existing OLED and made implementation of high resolution possible.

Summarizing the above considerations overall, a person of ordinary skill in the art could not have easily conceived the Subject Patent from the Cited Reference in view of the publicly known technology. Thus, the inventiveness of the Subject Patent is not denied by the Cited Reference (the plaintiff's request for relief is granted).

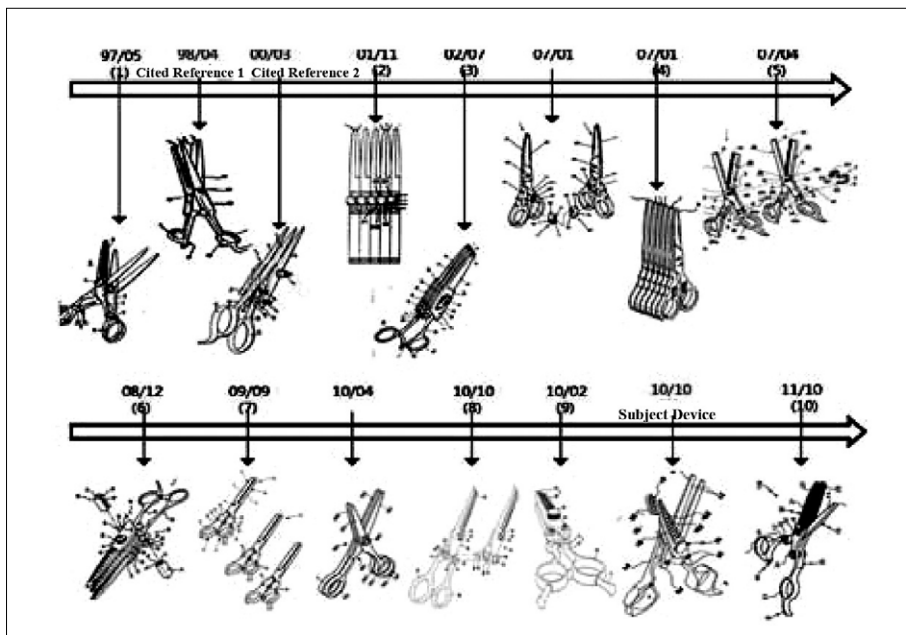
7. Patent Court Decision No. 2015Heo666 rendered on May 27, 2016 [Invalidation of Registration (Utility Model)]

[Main Issue and Holdings]

Upon synthesizing the trend in technology development together with a basic difference between the subject device and the Cited Reference in terms of constitution and functional effect, it is difficult to deem that the subject device could have been easily conceived from the Cited Reference.

[Summary of the Decision]

Further, the development trend of multi-blade hairdressing scissors as shown in the drawing below, i.e., multi-blade hairdressing scissors having a structure of directly connecting an outermost blade with a handle had not been released at all for about 10 years since the cited references were published, also demonstrates that a person of ordinary skill in the art who encountered Cited Reference 1 could not have easily conceived a connection structure such as Constitutional Elements 5 and 6 of Claim 1.

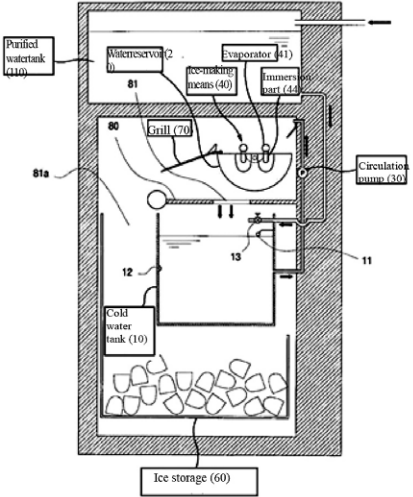
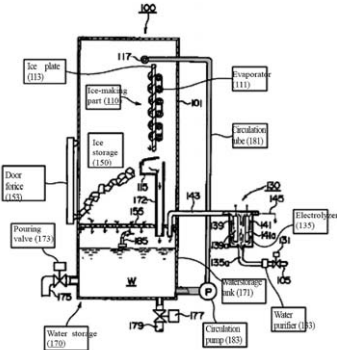
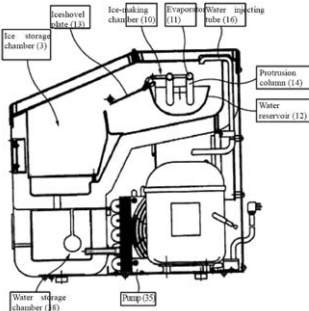


8. Patent Court Decision No. 2016Heo106 rendered on September 30, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

The fact that a product of the patented invention has been commercially successful is but one of the reference materials to be considered in acknowledging inventiveness. The inventiveness of the patented invention should be judged according to whether the invention could have been easily conceived by a person of ordinary skill in the art from the prior technologies based on the objective, constitution, and effect of the invention. Based on such considerations, the Subject Patent could have been easily derived by merely replacing an ice-making part of a water purifier having an ice maker.

[Summary of the Decision]

Subject Patent	Cited Reference 1
 The diagram of the Subject Patent shows a cross-sectional view of a water purification system. It includes a 'Partial water tank (110)' at the top, a 'Water reservoir (2)' below it, and an 'Evaporator (41)' and 'Ice-making means (40)' within a central chamber. A 'Circulation pump (30)' is located at the bottom right, connected to a 'Cold water tank (10)' and an 'Ice storage (60)' at the bottom. Other components labeled include 'Inlet (70)', 'Outlet (80)', 'Door (13)', 'Pouring valve (17)', and 'Water storage (170)'.	 The diagram of Cited Reference 1 shows a cross-sectional view of a water purification system. It includes an 'Ice plate (113)' at the top, an 'Ice-making part (110)' and 'Ice storage (150)' within a central chamber. A 'Circulation pump (163)' is located at the bottom right, connected to a 'Water storage (170)' and a 'Water purifier (13)' at the bottom. Other components labeled include 'Door (133)', 'Pouring valve (173)', 'Evaporator (131)', 'Accumulation plate (181)', 'Electrotherm (135)', 'Water storage tank (171)', and 'Circulation pump (163)'.  The diagram of Cited Reference 2 shows a cross-sectional view of a water purification system. It includes an 'Ice-making chamber (10)' and 'Ice storage (12)' within a central chamber. A 'Pump (35)' is located at the bottom right, connected to a 'Water storage chamber (40)' and a 'Water reservoir (12)' at the bottom. Other components labeled include 'Ice-making plate (11)', 'Evaporator (11)', 'Water purifier (12)', 'Protrusion column (14)', and 'Water storage chamber (40)'.

- ▷ Corrected Claim 9 relates to a cold and hot water purifier which may make ice and obtain cold water at the same time by a single evaporator. The invention improves a conventional water purifier having an ice maker, which uses two evaporators for obtaining ice and cold water. Thus, the objectives of the invention are to allow making ice and obtaining cold water at the same time only with the single evaporator and obtain a constant amount of ice by using cold water not exceeding a certain temperature as the source water for making ice.
- ▷ Cited Reference 1 relates to an apparatus capable of supplying electrolytic water and electrolytic ice at the same time. Cited Reference 1 has the main objective, structure, and effect of allowing ice making and obtaining cold water at the same time only with a single evaporator and providing a structure, in which the water remaining after making ice in the ice-making part is stored in a water storage tank located directly under the ice-making part and the remaining water is circulated back to the ice-making part to be used as source water for making ice, thereby improving the efficiency of making ice. These main objective, structure, and effect of Cited Reference 1 are common with those of Corrected Claim 9.
- ▷ The main difference between Cited Reference 1 and Corrected Claim 9 is the structure of the ice-making part. Cited Reference 1 adopts a flowing-type of ice making method, in which ice is made as water flows on an ice-making surface of an ice plate, whereas Corrected Claim 9 adopts an immersion-type of ice making method, in which ice is made by immersing the evaporator in cold water stored in a water reservoir which has a semicircular cross section and is rotatable. Thus, the issue is whether a person of ordinary skill in the art could have easily derived Corrected Claim 9 from Cited Reference 1 by overcoming such difference in the ice-making methods.
- ▷ Upon a review, the specification of Cited Reference 1 suggests that the structure of the ice-making part can be changed. Selecting a suitable ice-making method for a water purifier having an ice maker in consideration of the technologies relevant to the ice maker is a matter of technical common sense to a person of ordinary skill in the art of water purifier. Moreover,

various ice-making methods, such as a flowing-type ice maker, an immersion-type ice maker, etc., were already publicly known before the filing of the application for the Subject Patent. Further, miniaturization of water purifiers and improvement in ice-making efficiency were the basic tasks, development trend, and industrial requirements in the subject technical field. On the other hand, the specification of Cited Reference 2 suggests that using an ice-making part of Cited Reference 2 can reduce the volume of an ice-making device and reduce the time for making ice. Thus, there is a sufficient motivation to replace the ice-making part of Cited Reference 1 with that of Cited Reference 2, and it does not appear that such replacement involves any particular technical difficulty. In addition, the ice-making part of Cited Reference 2 includes all of the constitutional elements of Corrected Claim 9. Accordingly, the ice-making method of Corrected Claim 9 could have been easily derived by a person of ordinary skill in the art from the combination of Cited References 1 and 2.

▷ The defendant argued that since the water purifier having the ice maker of Corrected Claim 9 has achieved a substantial commercial success, such success demonstrates the inventiveness of Corrected Claim 9. However, the fact that the product of the patented invention has been commercially successful is but merely one of the reference materials in acknowledging the inventiveness of the patented invention, which should be judged according to whether the invention could have been easily conceived by a person of ordinary skill in the art from the prior art technologies on the basis of the objective, constitution, and effect of the invention. Thus, the above argument cannot be accepted (the plaintiff's request for relief is granted).

9. Patent Court Decision No. 2015Heo3849 rendered on July 22, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

- 1) The Subject Patent relating to a porous electrode wire for use in electrical discharge machining lacks inventiveness.
- 2) The alloy plated layer of Element 5 has cracks perpendicular to the

longitudinal direction of the electrode wire, wherein the cracks are intergranular or inter-crystalline cracks providing porosity, which in turn increases the surface area of the layer. This, however, corresponds to the disclosure of Cited Reference 1 that “an electrode wire’s surface is roughened because the surface layer is made of, for example, an alloy having a high concentration of zinc and has low ductility, so that the surface is roughened upon drawing, and the rough surface results in a larger surface area.” On this basis, it is deemed that Element 5 could have been easily conceived from Cited Reference 1.

[Summary of the Decision]

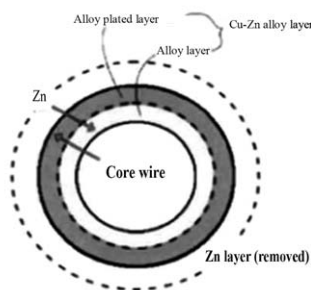
In view of the facts and reasons set forth below, Element 5 could have been easily conceived by a person of ordinary skill in the art from Cited Reference 1.

① It had been obvious to a person of ordinary skill in the art that a crack occurs by a mechanical stress, such as tensile strength, and particularly occurs in a portion under a relatively high stress (low elongation) when there is a difference in the stress (herein, “elongation” is another expression for tensile strength or ductility) between a reference portion and a compared portion. In the Subject Case, Claim 4 of the Subject Patent and Cited Reference 1 are the same in terms of coating a brass core wire by molten zinc plating. Further, Claim 4 of the Subject Patent forms an alloy layer in which the zinc concentration gradually increases towards the surface of the plated core wire, as shown in Fig. 1 or 2 of Cited Reference 1. Such alloy layer generally has a higher rigidity and a lower tensile strength than a core wire. In other words, the specification of the Subject Patent discloses that a crack is formed by drawing in an alloy layer or a zinc-plated layer whose rigidity and elongation is different from a core wire. Cited Reference 1 also discloses that the surface layer having a higher zinc concentration has low elongation and thus its surface is roughened upon drawing. Thus, the two inventions form a crack or a rough surface based on the same principle in terms of relying on the difference in elongation, which is a physical property of the core wire, the alloy layer, and the plated layer, and are subjected to the same drawing step.

② Further, Cited Reference 1 discloses that “since the surface is rough, the surface area is larger and exhibits sound water wettability, which involves a cooling effect and thus results in a higher machining rate, and since the concentration of low melting point metal elements in the surface area is high, there is little adhesion of electrode components to a processed surface and thus the finished state is good” (see p. 2, left col., lines 4-8, “Features of Invention”). Since no element to remove the roughened surface is added, exemplary embodiments will have a roughened surface in common, and it would have been obvious to a person of ordinary skill in the art that the roughened surface formed by drawing will contain cracks, grooves, and gaps, which are perpendicular to the longitudinal direction of the electrode wire.

③ The “rough surface” in Cited Reference 1 has the same technical meaning as the surface with “concave and convex portions (凹凸)” in Cited Reference 2. In other words, Cited Reference 2 also discloses that “multiple concave-convex defects existing on the surface are generated due to the extension of fine cracks occurring upon drawing at grain boundaries 9

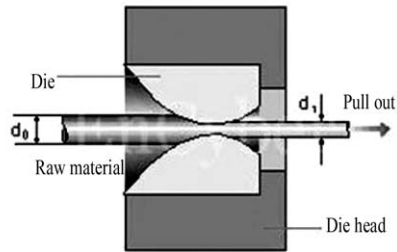
existing in the direction perpendicular to the machining direction, among the grain boundaries appearing on the wire surface 8.” Further, Cited Reference 2 discloses that “when there are adjacent crystal grains A and B, if crystal grain A exists earlier than crystal grain B in the direction of drawing, a crack occurs at a grain boundary and then the grain boundary section on the A side changes to a concave form (凹) and the grain boundary section on the B side changes to a convex form (凸) to thereby generate concave-convex defects.” Thus, a person of ordinary skill in the art who had been aware of such prior art technologies would have fully understood the following: “rough surface = surface with concave and convex portions (concave-convex defects) = extension of intergranular crack.”



④ As argued by Plaintiff, if Cited Reference 1 forms the plated layer to a higher thickness such that the copper concentration in the surface layer ranges between 0.5 and 5%, a larger number of cracks can form upon wire drawing.

This is because as an alloy plating layer, which has a higher rigidity and lower elongation than the core wire (i.e., if the plated layer is harder and thus hardly stretched), increases in thickness, a larger number of defects with little ductility (sites where cracks occur) occurs upon drawing.

⑤ In particular, during a drawing process in which a layer with relatively low rigidity and high elongation (a core wire with a high copper concentration) is covered with a layer having relatively high rigidity and low elongation (an alloy plated layer with a high zinc concentration)



and the layers are then drawn into a thin wire, the fact that a crack necessarily occurs in the alloy plated layer corresponds to a technical common sense. Cited Reference 1 exactly reflects such technical common sense by describing that “the surface of the electrode wire is roughened because the surface layer is made of, for instance, an alloy with a high zinc concentration and exhibits low elongation and is thus roughened upon drawing.”

⑥ Also, Element 5 limits the alloy plated layer as having “porosity.” The term “porosity” refers to a state of having a lot of fine voids inside or on the surface of the layer. Further, a metal with inter-granular cracks is obviously porous. Thus, Element 5 is not distinguished from Cited Reference 1 in terms of this limitation as well.

⑦ Further, the “rough surface” in Cited Reference 1 and the “crack” in the Subject Patent have the same technical characteristics of increasing the area in contact with a machining liquid (cooling water) during electric discharge machining. In other words, as discussed above, the specification of the Subject Patent discloses that “the surface area of the electrode wire is increased to increase the area in contact with the machining liquid during electric discharge machining and increase the cooling rate, thereby improving the machining rate” and “the plated layer has a porous structure and is thus able to achieve a still faster cooling rate than a conventional electrode wire, and this is because the surface area of the electrode wire is considerably increased in such a porous

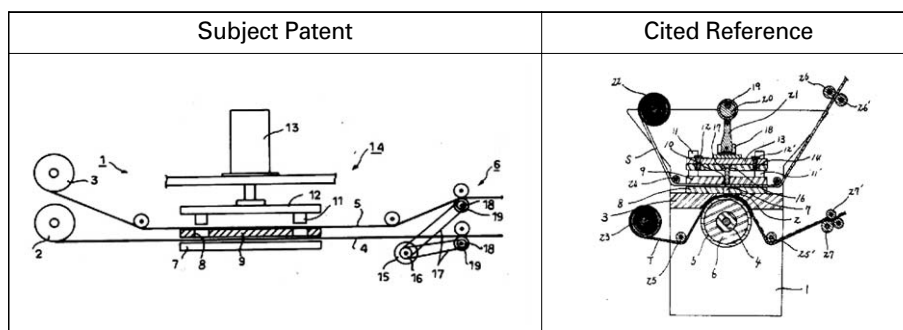
structure to thereby increase the area in contact with the machining liquid during electric discharge machining.” Similarly, Cited Reference 1 also describes that “since the surface is rough, the surface area is larger and exhibits sound water wettability, which involves a cooling effect and thus results in a higher machining rate.” Therefore, it is obvious that the area in contact (surface area) with the machining liquid (cooling water) is larger when there are cracks than when there are no cracks.

10. Patent Court Decision No. 2015Heo6374 rendered on July 8, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

A case where the Subject Patent relates to an apparatus of manufacturing a pressure tape for medical use and corresponds to the technical field in which facility standards are strictly regulated by the Pharmaceutical Affairs Act, whereas the Cited Reference relates to an apparatus for forming and attaching spangles for clothes. Nevertheless, the two inventions are not deemed to belong to technical fields that are inapplicable to each other or different in terms of the industrial field.

[Summary of the Decision]



- 1) In the field of technology development today, as technical specialization has intensified according to the advancement and diversification of technologies, the concept of technical fields has become increasingly segmented. This trend

has led to the narrowing of the scope of “the technical field to which an invention belongs.” On the other hand, the scope of applicable prior art technologies has been broadening according to the blending and commoditization of technologies and development of prior art search means. Thus, if the gist of the technical objective to be achieved by a patented invention relates not only to a unique technical element of the patented invention but also to technical elements widely applicable to various technical fields, it is reasonable to adopt a cited reference for denying the inventiveness of the patented invention by broadly acknowledging the scope of prior art technologies, and it is not necessary to restrict an exclusive right to be given to merely a general application of common technologies or basic technologies in various technical fields.

- 2) The industrial field in which the Subject Patent is applied is a medical treatment-related industry. In contrast, the Cited Reference is applicable to manufacturing a cloth or fabric and decorating the same. Thus, the Subject Patent and the Cited Reference are not deemed to be of the same industrial field to which the inventions are applicable.

However, upon an overall consideration of the objectives, technical problems to be solved, and the features of the Subject Patent and the Cited Reference, it can be acknowledged that the technical features of the Cited Reference are not applicable to a specific industrial field only but corresponds to features that a person of ordinary skill in the industrial field of the subject invention can apply without any particular difficulty in order to solve the encountered problem. Thus, the Cited Reference can be adopted as prior art in denying the inventiveness of the Subject Patent.

11. Patent Court Decision No. 2015Heo8226 rendered on June 17, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

The ease in combining cited references is denied on the ground that in order to derive Corrected Claim 3 by combining a well-known technology disclosed in Cited Reference 4 with Cited Reference 5, the structure of Cited Reference 5

should be modified substantially to the extent of abandoning the means for solving the problem in Cited Reference 5.

In a trial to cancel an IPTAB decision which accepted a correction and dismissed a request for invalidation trial, the entire IPTAB decision is cancelled upon invalidation of some of the claims on the ground of inseparability of the correction.

[Summary of the Decision]

▷ Inventiveness of Corrected Claim 3

Cited Reference 4 discloses that a component is delivered by a front-and-rear and right-and-left delivery of an air cylinder (A) and an air cylinder (B). Cited Reference 4 is a literature corresponding to a technology textbook document titled "Automation Equipment 300," which was published about 20 years before the filing of the Subject Patent. Thus, such air cylinder feature is deemed to correspond to a well-known technology widely used at the time of the filing date of the Subject Patent as argued by the Plaintiff.

Corrected Claim 3, however, organically combines "a first transfer means aligning a wedge on an extended line of a cutting path line or a line perpendicularly parallel to the cutting path line by moving the wedge laterally or vertically" and "a second transfer means of directly inserting the wedge aligned on the cutting path line into a cutting groove by a linear movement." By such combination, Corrected Claim 3 not only allows adjustment of the insertion position of the wedge according to size, thickness, cutting width, etc. of a metal plate to be cut, but also allows the first transfer means and the second transfer means to function as an additional biasing means as in Corrected Claims 4 and 5. Thus, Corrected Claim 3 aims to provide various circular teeth and cutting members with an optimized spacing extent only by one wedge.

On the other hand, as a means for achieving the objective of continuously maintaining a spacing of a cutting groove of a metal plate, Cited Reference 5 adopts the feature of sequentially inserting a plurality of wedges, as a circular tooth moves, by a plurality of wedge inserting devices arranged at a predetermined interval on an upper portion and a lower portion of a frame. Thus, the wedge inserting device is fixed in position and should move linearly in a direction vertically perpendicular to a cutting path line to allow the wedge to

be inserted into the cutting groove. However, if the wedge inserting device moves in a direction parallel to the cutting path line, the wedge inserting device comes into contact with or interferes with other wedge inserting devices arranged at its right and left sides and thus may hinder achievement of the objective of Cited Reference 5.

Therefore, in order to derive Corrected Claim 3 by combining such well-known technology above in Cited Reference 4 with Cited Reference 5, the structure of Cited Reference 5 should be substantially modified to the extent of abandoning the means for solving the problem in Cited Reference 5, i.e., “sequentially inserting the plurality of wedge.” Accordingly, it is difficult to consider that Corrected Claim 3 could have been easily derived by a person of ordinary skill in the art by combining the well-known technology in Cited Reference 4 with Cited Reference 5, and there is no evidence to acknowledge otherwise.

▷ Scope of Cancellation of an IPTAB decision

If a petition for correction is filed during a patent invalidation trial proceeding, the issue of whether the correction is accepted is reviewed in the invalidation trial proceeding therewith, and thus, unlike a petition for an independent correction trial, a decision concerning the petition for correction is not separately confirmed but is confirmed together when the IPTAB decision on the invalidation trial is confirmed (Supreme Court Decision No. 2010Hu2698 rendered on February 10, 2011). With respect to the IPTAB decision on the Subject Case, the plaintiff’s petition seeking cancellation of the patent invalidation of Corrected Claims 3 to 5 is groundless. However, as long as the plaintiff’s petition seeking cancellation of the patent invalidation of Corrected Claim 1 is reasonable and thus accepted, in the light of the above legal principle, cancellation of the part related to the petition for correction, which should be confirmed in the IPTAB decision on the Subject Case therewith, is also unavoidable.

Meanwhile, although invalidation of a patent is judged for each claim, a petition for correction during a patent invalidation trial proceeding is in an inseparable relationship in the absence of special circumstances, and thus whether to accept the petition should be judged as a part of the whole (*see* Supreme Court Decision No. 2007Hu1053 rendered on January 15, 2009, etc.).

However, although the petition for correction in the Subject Case relates directly to Corrected Claim 1, as long as Corrected Claims 3 to 5 depend from Corrected Claim 1, the petition for correction in the Subject Case affects not only Corrected Claim 1 but also Corrected Claims 3 to 5. Accordingly, the part of the IPTAB decision on the Subject Case concerning the invalidation of Corrected Claims 3 to 5 should also be cancelled, without having been confirmed separately, together with the part of the petition for correction on the Subject Case. Thus, the IPTAB decision on the Subject Case shall be cancelled in its entirety (the plaintiff's request for relief is granted).

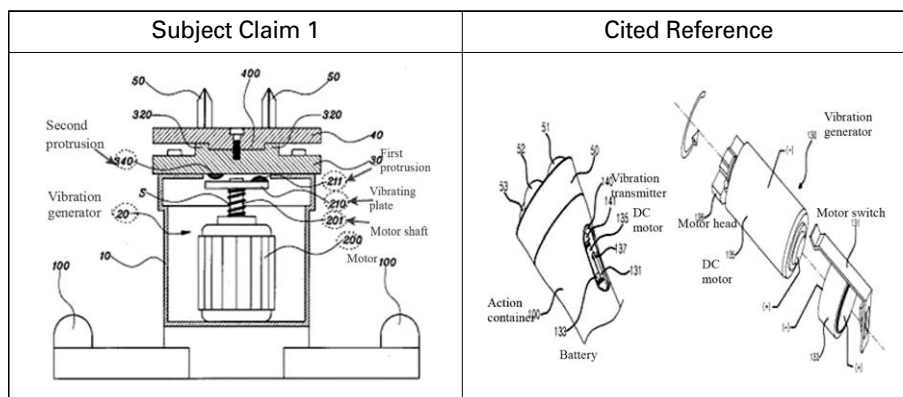
12. Patent Court Decision No. 2015Heo8578 rendered on July 21, 2016 [Final Rejection (Patent)]

[Main Issue and Holdings]

Since the Subject Invention relates to a chiropractic massager differing in structure, use, and application area from Cited Reference relating to a bottle for liquefied cosmetics having a vibration ball, it could not have been easily conceived by a person of ordinary skill in the art from Cited Reference. Accordingly, the IPTAB's decision, which found that the final rejection against the application is lawful, is canceled.

[Summary of the Decision]

“A chiropractic massager of a cube type” in Subject Claim 1 is a massager



with a structure having a suitable size or strength particularly for correcting a spine and differs in structure from “a cosmetic bottle” of Cited Reference that has a function of massaging facial skin.

In view of the structural difference between Subject Claim 1 and Cited Reference due to the above difference in use, a person of ordinary skill in the art could not have easily conceived of changing the use from “the cosmetic bottle” in Cited Reference to “the chiropractic massager of the cube type” in Subject Claim 1. Even if such a change of use is taken into account, deriving Subject Claim 1 from Cited Reference requires an accompanying change in the entire structure due to the change of use. Thus, it would have been difficult for a person of ordinary skill in the art to easily overcome the above difference.

13. Patent Court Decision No. 2014Heo4913 rendered on January 21, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

A case where a reasonable expectation of the possibility of success was presented as a criterion for judging the inventiveness of a cancer treatment agent medicinal use invention (Gleevec’s GIST therapeutic use invention).

[Summary of the Decision]

The field of cancer treatment medicine is a technical field where the level of difficulty in handling vital phenomena of humans is very high and it is very difficult to predict results. In addition, the causes of cancer are complicated and not yet completely known, and even if a clinical test is conducted on humans based on cell line experimental results from an animal model test or laboratory, completely different results may be obtained. Further, since cancer has many gene mutations, the chance of success in developing a cancer therapeutic agent targeted for one gene mutation is very slim, and enormous costs and time are required for developing cancer therapeutic agents. In consideration of such special characteristics of developing cancer therapeutic agents, the inventiveness of a cancer therapeutic agent medicinal use invention can be denied over the prior art only when a person of ordinary skill in the art could have reasonably expected the success of discovering the cancer treatment medicinal use from the

prior art, beyond the case where a person of ordinary skill in the art could have expected the possibility of discovering the cancer treatment medicinal use from the prior art.

14. Patent Court Decision No. 2015Heo3498 rendered on May 2, 2016 [Final Rejection (Patent)]

[Main Issue and Holdings]

The inventiveness of an application related to a cell culture was denied as lacking inventiveness over the prior art on the grounds that their technical objectives and effects are not deemed to be different and the critical significance of a claimed numerical limitation is not recognized either.

[Summary of the Decision]

[Claim 1] A cell culture comprising a mammalian cell ("lement 4"), which has the density of viable cell of at least 50×10^6 cell/ml ("lement 1") and is encoded by one or more gene transfected¹⁾ into the cell ("lement 2"), wherein the concentration of a desired biological substance is at least 5g/l ("lement 3").

In the subject invention, the critical significance is not recognized for the numerical limitation on the concentration range of a biological substance in Claim 1 for the following reasons:

1) Claim 1 corresponds to a numerical limitation invention which is expressed by limiting its constituent element, a concentration of a biological substance, with a specific numerical range. Claim 1 does not differ from the prior art in terms of the technical field and technical objective of enhancing the processing efficiency in producing biological substances by cell culture, and the effect of the claim should also be seen as an extension of the effect of the prior art. Further, the two inventions differ only in the numerical

1) The term "transfected" in Claim 1 was translated into Korean from the international application, and means changing a genetic trait of a cell by introducing DNA into the cell.

range related to the concentration of the biological substance (Element 3) and there are no other constituent elements to recognize the inventiveness of the claimed invention over the prior art. Thus, inventiveness of Claim 1 can only be recognized if there is a difference of a remarkable effect within and out of the limited numerical range of the biological substance concentration.

- 2) However, the subject invention discloses that the concentration of the biological substance can be as high as the solubility of the biological substance allows. Although it is apparent that such solubility depends greatly on the types of mammalian cells or biological substances, culturing conditions, etc., Claim 1 does not have any limitations on such elements.
- 3) In addition, the embodiments presented in the subject invention illustrate only the cases where the concentrations of the biological substances are 1.4 g/ℓ and 11.1 g/ℓ. Thus, it is not even known what criterion was used to select the numerical range of “at least 5g/ℓ” of Element 3 in Claim 1. That is, the specification of the subject invention describes a method for increasing a concentration of a biological substance in a culture cell wherein the biological substance is produced by a soil-drenching culture by alternating tangential flow and the concentration of a biological substance in a culture cell is increased by limiting the pore size of a filter to prevent the biological substance from passing through the pore. However, the specification only discloses embodiments in which the biological substance concentrations are analyzed by comparison with the previous culture methods including batch and fed-batch cultures.
- 4) Nowhere in the specification is there any description to consider that limiting the concentration of a biological substance to “at least 5 g/ℓ” has any technical significance or that there is a remarkable difference in effect within and out of the numerical range. In particular, the specification merely describes that a purification step in the downstream treatment process is inconvenient if the concentration of the biological substance is not high and does not mention any effect argued by the plaintiff such as simplification of the downstream treatment process, etc. That is, the subject

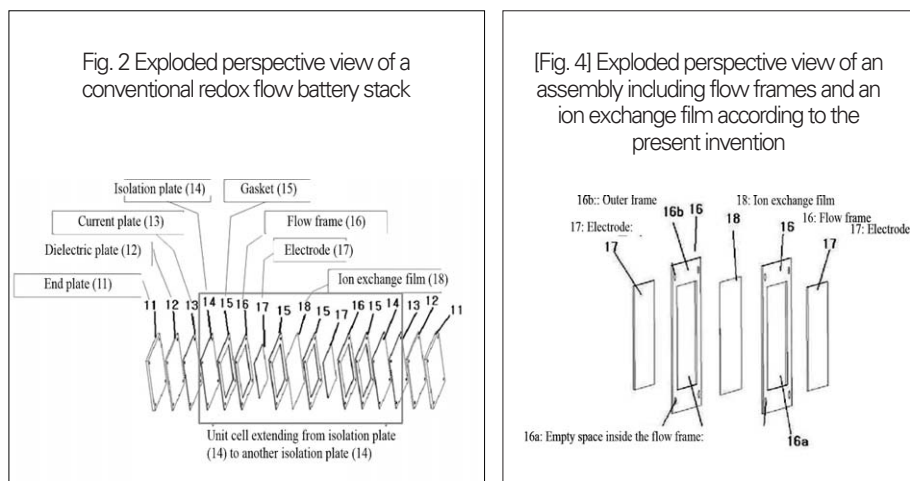
invention fails to provide any grounds that there is a remarkable difference in efficiency of the downstream treatment process within and out of the biological substance concentration range of 5 g/l or that a product can be conveniently recovered from a cell culture through a minimum purification process.

15. Patent Court Decision No. 2015Heo7346 rendered on May 27, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

Although a part of the claims of the Subject Patent that qualifies as a product-by-process claim, which defines a process (or method) of manufacture as a constitutional element of the invention, is found to lack inventiveness on the grounds that a completed product itself made by the process has no different structure or effect from a product made by the prior art or Cited References, another part of the claims of the Subject Patent that qualifies as a process claim is found to have inventiveness on the grounds that not only would it have been difficult to conceive the invention, but the effect resulting therefrom is also significantly remarkable or distinguishable over Cited References.

[Summary of the Decision]



▷ Product-by-Process Claim

Novelty of Claim 1 of the Subject Patent is denied due to a lack of any difference in structure or operative effect from the stack disclosed in the prior art or Cited References 1-3, or at least inventiveness is denied on the grounds that the claim could have been easily conceived by a person of ordinary skill in the art in view of Cited References 1-3.

(Omitted)

Both the feature of “fixing in advance an ion exchange film and flow frames, each placed on either side of the ion exchange film, to define the ion exchange film and the flow frames as a unit; forming a plurality of unit cells each formed by stacking an electrode, a gasket, and an isolation film on either side of the unit; and stacking the plurality of unit cells, and current plates, dielectric plates, end plates, and others to form a stack” as described in Claim 1, and the feature of “forming a stack by stacking in sequence an ion exchange film and flow frames, along with other elements, including end plates, dielectric plates, current plates, isolation plates, gaskets, electrodes, and others, but without defining the ion exchange film and the flow frames as a unit” as described in the prior art or Cited References 1-3, relate to a stack, which is, once completed, in a state that the ion exchange film and the flow frames, each placed on either side of the ion exchange film, are fixed or combined together irrespective of a form. Thus, the two features above have no difference in terms of the structure or effect of the completed stack itself, while only differing in term of the order of the constitutional elements being stacked or fixed, and there is also no evidence otherwise.

▷ Process Claim for Manufacture of a Product

Claim 5 of the Subject Patent describes the subject matter as a “method of assembling a stack for a redox flow battery,” wherein the method is characterized in “fixing in advance, when assembling the stack for a redox flow battery into which a plurality of plates are stacked one another and assembled, an ion exchange film 18 onto flow frames 16, each placed on either side of the ion exchange film 18, before stacking the plurality of plates.” Thus, Claim 5 defines a “method for manufacture of a product.”

Among the features of Claim 5, the feature of “fixing in advance the ion exchange film 18 onto the flow frames 16, each placed on either side of the ion

exchange film 18, before stacking the plurality of plates” (hereinafter, the “unit defining feature”) could not have been easily derived from Cited References 1-3, and a remarkable or distinguishable effect that can hardly be expected from Cited References 1-3 also results from the unit defining feature. Thus, Claim 5 could not have been easily conceived by a person of ordinary skill in the art in view of Cited References 1-3. Accordingly, the inventiveness of Claim 5 is not denied.

[First-to-File Rule]

16. Patent Court Decision No. 2016Heo3051 rendered on September 30, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

The issue of whether the Subject Patent violates the first-to-file rule (under Article 36(1) of the Korean Patent Act) if Cited Reference constitutes a narrower concept and the Subject Patent, whose application was filed later than that of Cited Reference, constitutes a broader concept (positive).

[Summary of the Decision]

Claim 3 of Cited Reference includes all of the features described in Claim 3 of the Subject Patent while further including an additional feature only, and both inventions have the same objective and effect. Further, Claim 3 of the Cited Reference can be broken down into only the features that are common with the Subject Patent, except for the additional feature, and unless the additional feature cannot be deemed an essential basic element for the invention, it is difficult to consider that the common features of the two inventions are systematically connected with the additional feature of Claim 3 of Cited Reference so as to constitute a new invention as a whole or that only the additional feature excluding the common features of Claim 3 of Cited Reference constitutes a separate invention.

If so, since Claim 3 of Cited Reference includes all of the features of Claim 3 of the Subject Patent while further including the additional feature only, the two

inventions cannot be deemed separate inventions. Thus, Claim 3 of Cited Reference constitutes a narrower concept than that of the Subject Patent.

Accordingly, since Claim 3 of Cited Reference constitutes a narrower scope invention of Claim 3 of the Subject Patent, the two inventions are deemed identical. Accordingly, Claim 3 of the Subject Patent of the later-filed application is not patentable under Article 36(1) of the Korean Patent Act.

[Specification Description Requirements]

17. Patent Court Decision No. 2015Heo3955 rendered on July 1, 2016 [Invalidation of Registration (Patent)]

[Main Issue and Holdings]

Whether the description requirements under Article 42(3) of the Patent Act are violated when a claim of a medicinal invention is described as a Markush-type claim.

[Summary of the Decision]

In the case where a claim of a medicinal invention is described as a Markush-type claim, even if some components of the selective elements thereof are not described as specific embodiments in the specification, if a person of ordinary skill in the art would not have had any difficulty in understanding and practicing the effect of the invention from the description of the specification and such effect can also be fully expected, such claim cannot be deemed to violate the description requirements of Article 42(3) of the Patent Act.

[Trial to Confirm Scope of Right]

18. Patent Court Decision No. 2015Heo6824 rendered on January 14, 2016 [Confirmation of Scope of Right (Patent)]

[Main Issue and Holdings]

In the case where the defendant in an infringement action presumed at the time of the close of the hearing procedure in the infringement action that the Court would issue an unfavorable decision and filed a negative scope confirmation action for a compared invention identical to the working product immediately after the close of the hearing procedure, it was judged that such a negative scope confirmation action has no interests in confirmation.

[Summary of the Decision]

Based on all of the following circumstances taken together, the petition for the present trial has no interests in confirmation:

① Since the present action is merely seeking an interim confirmatory judgment on the infringement action by a separate proceeding, disputes cannot be finally settled. Even in light of litigation economy, the action cannot be deemed a proper means.

② It is difficult to consider that there are any remaining insecurity or risks in legal position to be additionally removed by the present negative scope confirmation action.

③ The present action imposes not only costs but also an undue and unnecessary burden of response in terms of time upon the patentee who is properly carrying out means of exercising a right allowed under the Patent Act. Thus, the present action does not conform to the purpose of the Patent Act which is to protect and encourage inventions, and contribute to the development of industry by promoting the development of technology.

④ If a negative scope confirmation action filed by a party who receives or is expected to receive an unfavorable decision in a patent infringement action is accepted, it is the same as overlooking or accepting an actual means of circumventing the results of the patent infringement action.

⑤ Given that it is the Court that has the ultimate right to render a judgment on the right to request prohibition of patent infringement, allowing a negative

scope confirmation action, which is an administrative trial, while the right is being exercised through an action for prohibition of patent infringement, is against the principle of separation of judicial and administrative powers and such a legislation case is difficult to find.

⑥ According to the burden of argument and proof, there is a risk that the results of the patent infringement action may contradict or conflict with the results of the present action. Thus, if the issue is left unaddressed, it may harm confidence in the patent system and patent litigation proceedings.

19. Patent Court Decision No. 2015Heo4019 rendered on January 15, 2016 [Confirmation of Scope of Right (Patent)]

[Main Issue and Holdings]

Whether the defense of public domain technology is allowed when an invention subject to confirmation literally infringes the patented invention (negative).

[Summary of the Decision]

The legal principle of a public domain technology is that in the case where an invention subject to confirmation, which is compared with a patented invention, merely consists of the known technology or could have easily been practiced from the known technology by a person of ordinary skill in the art, such invention does not fall within the scope of the right of the patented invention. This legal principle is a restriction on the expansion of the scope of right for a patented invention to cover what could not be patented originally by applying the doctrine of equivalents. Thus, if the invention subject to confirmation includes all of the constitutional elements of a claim of the patented invention and thus literally infringes the right scope of the patented invention, the principle of a public domain technology is not applied.

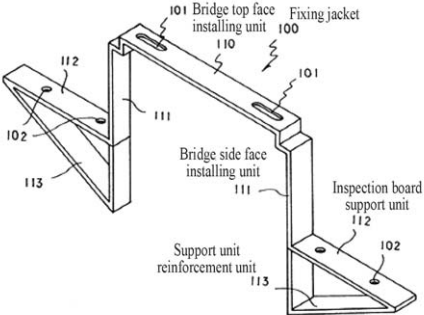
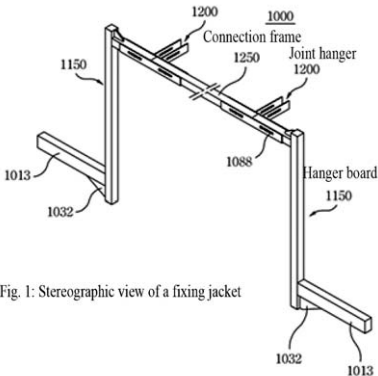
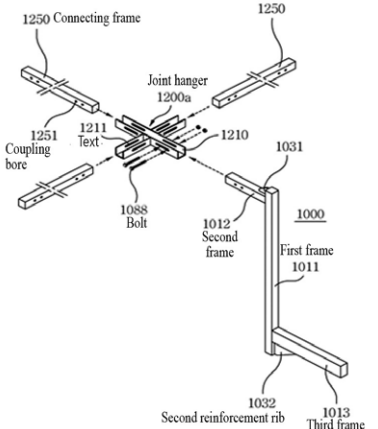
[Patent Infringement]

20. Patent Court Decision No. 2015Heo2570 rendered on November 6, 2015 [Confirmation of Scope of Right (Patent)]

[Main Issue and Holdings]

A decision holding that the scope of right of a patent invention is not limited to the drawings through a claim interpretation.

[Summary of the Decision]

Claim 1 of Subject Case	Invention subject to confirmation
	 Fig. 1: Stereographic view of a fixing jacket 

▷ Claim interpretation (Constitutional Element 1: a bridge top face installing unit that surface-contacts a top face of a bridge)

It was stated in the IPTAB decision that the bridge top face installing unit of Constitutional Element 1 is limited to “being curved to fit a top face width of a bridge.”

However, ① although the bridge top face installing unit formed of one frame is shown in the drawings of the specification and “Constitution and Function of Invention” describes that “the bridge top face installing unit (110), the bridge side face installing unit (111), the inspection board support unit (112), and the support unit reinforcement unit (113) are formed continuously in a single body,” the description of the specification above is understood to mean that each feature such as the bridge top face installing unit, the bridge side face installing unit, etc. defines “continuously a single body” but is not interpreted to mean that the bridge top face installing unit itself is formed as “one frame,” and the claimed scope of the bridge top face installing unit is not limited by the above drawings. ② In order to resolve the problem of cracks in the bridge caused by an anchor due to the conventional bridge inspection board being fixed to the side face of the bridge by means of the anchor, the Subject Patent provides a bridge inspection board configured of fixing jackets integrally installed in a bridge continuously from a top face to a side face of the bridge in a hanger type ($\cap$ -shape). To achieve such a technical objective of the Subject Patent, it is sufficient that the bridge top face installing unit, the bridge side face installing unit, etc., which form the fixing jacket, are continuously installed so that the load transferred from the bridge side face installing unit is supported by the bridge top face installing unit, and it is not required that the bridge top face installing unit itself is formed as one frame.

Upon an overall consideration of the claim language, the specification, etc. of the Subject Patent, “the bridge top face installing unit” of Constitutional Element 1 in Claim 1 of the Subject Case is interpreted as “the feature installed by surface-contacting the top face of the bridge to support the load transferred from the bridge side face installing unit,” and is not limited to being formed as one frame to be curved to fit the top face width of the bridge as argued by the Defendant.

▷ Whether or not the Invention subject to confirmation falls within the scope of right of Claim 1 of the Subject Case

The Invention subject to confirmation and Claim 1 of the Subject Case are different in Constitutional Element 4 in that the support unit reinforcement unit in Claim 1 of the Subject Case is curved continuously from a safety handrail end of the inspection board support unit in an inclined manner toward the side face of the bridge, whereas the second reinforcement rib in the Invention subject to confirmation is formed by welding between the lower side face of the first frame and the lower face of the third frame.

The support unit reinforcement unit of Constitutional Element 4 in Claim 1 of the Subject Case and the second reinforcement rib of the Invention subject to confirmation are positioned in the lower face of the inspection board support unit (the third frame) to reinforce the inspection board support unit (the third frame) where the footrest and the safety handrail are positioned and to keep the inspection board support unit (the third frame) horizontal. However, the inventions are different in the configuration in that the support unit reinforcement in Claim 1 of the Subject Case unit is inclined continuously from the end of the inspection board support unit toward the side face of the bridge, whereas the second reinforcement rib in the Invention to the confirmed is a triangular reinforcement plate. However, forming the reinforcement unit for reinforcing the support unit of the bridge inspection board to be inclined continuously from the end of the support unit as in Claim 1 of the Subject Case, to be spaced apart and inclined from the end of the support unit, and to be the triangular reinforcement plate as in the Invention subject to confirmation are well-known technologies to a person of ordinary skill in the art. Further, forming such a reinforcement unit by a curving or welding method could have been selected by a person of ordinary skill in the art as necessary and such a change does not result in a different function or effect of the support unit reinforcement unit (the second reinforcement rib). Thus, replacing or modifying the support unit reinforcement unit in Claim 1 of the Subject Case by or with the second reinforcement rib in the Invention subject to confirmation would have been obvious to the extent of being easily conceived by a person of ordinary skill in the art. Accordingly, in relation to Constitutional Element 4, Claim 1 of the Subject Case and the corresponding feature of the Invention subject to confirmation are in an equivalent relationship (the plaintiff's request for relief is granted).

21. Patent Court Decision No. 2015Heo5883 rendered on July 8, 2016 [Confirmation of Scope of Right (Patent)]

[Main Issue and Holdings]

Claim interpretation on the term “the top side portion” in Claim 5 of the Subject Case relating to a grass protection mat and applicability of the doctrine of prosecution history estoppel were at issue.

[Summary of the decision]

A. Interpretation of “a top side portion”

In Feature 2 of Claim 5 of the Subject Case, it is reasonable to interpret the term “a top side portion” as a height at which an integrated plate is installed at the substantially same height as a projection height of a projecting column such that the integrated plate can serve as a slide prevention means so that a shoe bottom of a human being can reach the integrated plate.

B. Applicability of the doctrine of prosecution history estoppel

Upon reviewing the prosecution history of the Subject Patent, since the plaintiff obtained the patent by limiting the height of the integrated plate in Claim 5 to be the same as or approximate to the height of the projecting column, it can be deemed that the plaintiff would not claim the scope of right for the feature that the height of the integrated plate is lower than the projecting column so that the shoe bottom cannot reach the integrated plate. Consequently, under the doctrine of prosecution history estoppel, it is reasonable to conclude that the plaintiff intentionally excluded, from the scope of right of Claim 5 of the Subject Case, the feature of the Invention subject to confirmation wherein upon considering that a tap (a spike) projects from a bottom of a shoe (a golf shoe), a height of a support wall body is formed to be lower than a projecting column to the extent that a space recessed deeper than a tap projecting length is formed.

22. Patent Court Decision No. 2015Heo6244 rendered on July 14, 2016 [Confirmation of Scope of Right (Patent)]

[Main Issue and Holdings]

In light of the essential technical idea and the theory of solving the problem in the Subject Patent, the “All Elements Rule” is applied flexibly by judging that the constitutional elements, “a rear end replacing body” and “a rear end inclining body,” are combined to be in an equivalent relationship with “a rear end inclining body” in the Invention subject to confirmation.

[Summary of the Decision]

Constitutional element	Claims 1 and 2 of Subject Case	Invention subject to confirmation
1	A tubular body (10) (Claim 1)	A tubular body(100)
2	A front end closing body (20)(Claim 1)	A front end closing body (200)
3	A rear end replacing body(30)(Claim 1)	A rear end inclining body (400)
4	A rear end inclining body(40)(Claim 2)	
Representative drawing		Fig.4(a side cross-sectional view of Fig.3)

The above differences in Constitutional Elements 3 and 4 may be deemed to be within the equivalent range on the following grounds:

- ① Same theory of solving the problem
- The specification of the Subject Patent describes that since "the conventional inner case has problems that the molding and manufacturing thereof are

relatively complicated due to one end being closed and a frequent replacement is required because the end side where the flame is discharged is easily damaged to thereby reduce the lifespan,” in order to solve such problems, “the problems to be solved and the objective are to provide an inner case for a wood pallet burner configured such that the inner case is manufactured with many parts to thereby facilitate the manufacture thereof, the end side of the inner case can be replaced to thereby extend the lifespan, and a replacement block is provided in an inner lower surface of the inner case to thereby facilitate a replacement of a region, which is damaged by the flame, through an inside lower surface of the inner case,” and describes that “although there has been a problem that a large amount of heat that should be initially supplied to the boiler is discharged to the outside so that heat loss is very large and high heat efficiency cannot be expected, this problem was solved by the prior art of the Subject Patent.”

Upon an overall consideration of the descriptions of the specification and the technologies known at the time of filing the application, the essential technical ideas in Claims 1 and 2, on which the unique solving means are based, of the Subject Case may be deemed that “the many parts of the inner case for the wood pallet burner, i.e., the tubular body (10), the front end closing body (20), the rear end replacing body (30), and the rear end inclining body (40), are manufactured separately so that the manufacture thereof is facilitated and the end side of the inner case, i.e., the rear end replacing body (30) and the rear end inclining body (40), can be replaced so that the lifespan is extended” (The specification of the Subject Patent describes another objective to the effect that “the flame discharged through the fuel port is concentrated by installing the rear end inclining body and the inlet is narrowed so that the coupling with the boiler is performed more easily.” However, this feature merely relates to the rear end inclining body²⁾, which is further defined in Claim 2 of the Subject Case, and is no more than an additional matter which cannot be considered as the essential technical ideas in Claims 1 and 2 of the Subject Case).

The above differences in Constitutional Elements 3 and 4 directly relate to the

2) According to the specification of the Subject Patent, the process of the Subject Patent appears to have been constituting Claim 1 with the essential technical idea of separating the inner case, which was conventionally an integral type, in particular, separating the end side from which the flame is discharged, and then adding specific features as dependent claims such as Claim 2, etc.

essential technical ideas in Claims 1 and 2 of the Subject Case reviewed above, i.e., “the many parts of the inner case for the wood pallet burner, i.e., the tubular body (10), the front end closing body (20), the rear end replacing body (30), and the rear end inclining body (40), are manufactured separately so that the manufacture thereof is facilitated and the end side of the inner case, i.e., the rear end replacing body (30) and the rear end inclining body (40), can be replaced so that the lifespan is extended.”

However, the Invention subject to confirmation is also configured such that the tubular body (100), the front end closing body (200), and the rear end inclining body (400) are manufactured separately and the rear end inclining body (400), which corresponds to the end side, can be detached and replaced as reviewed above.

Thus, despite such differences, the inventions have the same theory of solving the problem in “manufacturing many parts separately to thereby facilitate the manufacture and allow the end side to be replaceable to thereby extend the lifespan.”

② Possibility and easiness of substitution

The rear end replacing body (30) in Constitutional Element 3 in Claim 1 of the Subject Case and the rear end inclining body (400) in the Invention subject to confirmation have the same effect concerning the essential technical ideas of Claims 1 and 2 of the Subject Case in view of “being detachably positioned at the end side of the inner case to thereby extend the lifespan of the inner case.”

As can be understood from the description on the effect of “the rear end inclining body” of the Subject Patent, i.e., “the flame discharged through the fuel port is concentrated by installing the rear end inclining body so that the firepower is increased, and the inlet of the inner case is narrowed so that the coupling with the boiler is performed more easily” (Paragraph No. [0033]), the rear end inclining body (400) of the Invention subject to confirmation has the additional effect that “the flame to be discharged is concentrated so that the firepower is increased, and the inlet of the inner case is narrowed so that the coupling between the inner case and the boiler can be performed more easily. However, the effect merely relates to the rear end inclining body which is an additional limitation in Claim 2 of the Subject Case, and is no more than an additional matter which cannot be considered as an essential technical idea of

Claims 1 and 2 of the Subject Case. Therefore, it cannot be considered that there is a difference in substantial functional effects based on a difference in effect therefrom.

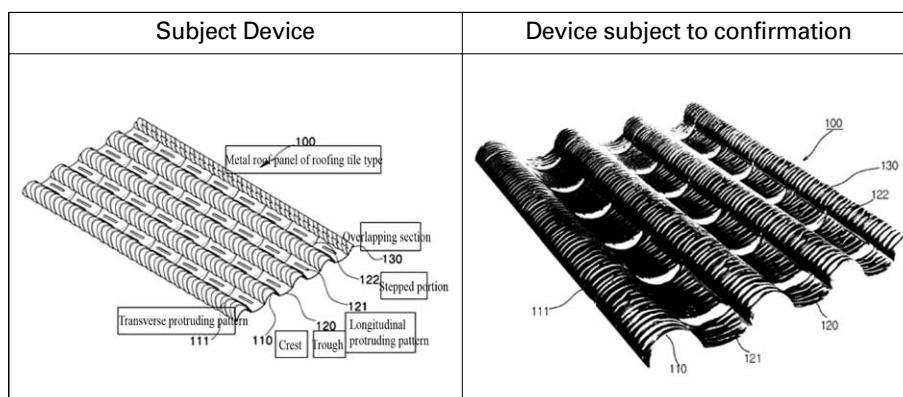
23. Patent Court Decision No. 2015Heo7025 rendered on October 7, 2016 [Confirmation of Scope of Right (Utility Model)]

[Main Issue and Holdings]

A case where Constitutional Elements 2 and 4 of the Subject Device and the corresponding features of the Device subject to confirmation are not equivalent to each other.

[Summary of the Decision]

Claim 1. A metal roof panel of a roofing tile type, having crests and troughs continuously alternating with each other in a width direction, and an overlapping section for overlapping with another metal roof panel adjacent at an end of one side (Constitutional Element 1), wherein transverse protruding patterns (111) in an arc shape and protruding toward an upper surface or lower surface are repeatedly formed on crests (110) curved upwardly over an entire longitudinal length direction (Constitutional Element 2), stepped portions (122) in a predetermined interval are continuously repeatedly formed on troughs (120) curved downwardly over an entire longitudinal length (Constitutional Element 3), and longitudinal protruding patterns (121) in a straight shape and protruding toward an upper or lower surface are continuously repeatedly formed between a primary stepped portion (122) and a secondary stepped portion (122) (Constitutional Element 4).



- 1) There is a difference in that the transverse protruding patterns formed in the crests of the Subject Device have an arc shape and protrude regularly with a predetermined interval, whereas the transverse protruding patterns formed in the crests of the Device subject to confirmation have inconsistent and different shapes and protrude irregularly and disorderly. Further, there is a difference in that the protruding patterns formed in the troughs of the Subject Device protrude with a straight shape in the longitudinal direction, whereas the protruding patterns formed in the troughs in the Device subject to confirmation have inconsistent shapes in the transverse direction and protrude irregularly and disorderly.

- 2) At the time of filing the application for the Subject Device, forming protruding patterns (embossing, central projections, etc.) on the surface of a metal panel roofing tile to improve the strength was a well-known technology generally used in the art.

- 3) The technical objective of the Subject Device is to improve the strength of the metal roof panel by forming a number of protruding patterns in the metal roof panel according to stress actions (tensile stress, compression stress, normal stress, and shear stress) thereof. In order to achieve the objective, as the unique means for solving the problem, it can be understood that the Subject Device adopts repeatedly forming “the arc shaped transverse protruding patterns” in the crests over the entire length, repeatedly forming “the stepped portions” with a predetermined interval in the troughs over the

entire length, and forming “the straight shaped longitudinal protruding patterns” between the stepped portions.

Consequently, upon an overall consideration of the descriptions of the specification and the publicly known technology at the time of filing the application, the essential technical idea of the Subject Device, on which the unique solving means are based, i.e., the characteristic feature constituting the unique technical idea that cannot be found in the prior art, is deemed to reside in particularly improving the strength of the metal roof panel more than the well-known technique at the time of filing, and forming the protruding patterns in the crests and the troughs in different directions and simultaneously forming the stepped portions and the protruding patterns formed in the troughs in different directions such that the pressures exerted in various directions can be borne to prevent being distorted and crushed.

However, as reviewed above, in the Device subject to confirmation, the protruding patterns are formed in the crests and the troughs in the same direction (in the transverse direction) and the stepped portions and the protruding patterns formed in the troughs are formed in the same direction (in the transverse direction) so that the strength of the metal roof panel is reinforced only in one direction. Thus, such a Device subject to confirmation cannot be considered as having the characteristic feature of the Subject Device that cannot be found in the prior art.

Therefore, since the Device subject to confirmation is not considered to have the essential technical ideas, on which the unique solving means of the Subject Device are based, it is difficult to deem that the two inventions have the same theory of solving the problem.

- 4) The protruding patterns in Constitutional Elements 2 and 4 of the Subject Device have “an arc shape” and thus have an effect of further improving the strength of the metal roof panel more than a simple protruding pattern {“an arc shape” means “a structure of an arch shape,” and such a structure of arch shape is known as functioning to disperse the vertical upper load with its shape and thus being advantageous in supporting a large load}. Further, “the straight shaped longitudinal protruding patterns” are formed between the stepped portions of the troughs together with the arc shaped transverse protruding patterns formed in the crests so that the strength of the metal

panel is improved in both the longitudinal and transverse directions, and through such features, the effect of reinforcing the strength throughout the entire panel is significantly improved.

By contrast, in the corresponding features of the Device subject to confirmation, the protruding patterns are formed between the stepped portions of the troughs and in the crests only in the transverse direction and according to this configuration, the strength of the metal panel is reinforced only in one direction. Thus, the Subject Device has the improved functional effect that cannot be expected from the Device subject to confirmation.

- 5) The Subject Device and the Device subject to confirmation are different in terms of the theory of solving the problem, and Constitutional Elements 2 and 4 of the Subject Device and the corresponding features of the Device subject to confirmation are also different in terms of the functional effect. Thus, the corresponding features of both inventions cannot be deemed to be in an equivalent relationship.

Major Decisions of Patent Court on Trademarks and Designs in Recent 1 Year Period

Kisu KIM*

[Introduction]

I selected and summarized the following major Patent Court decisions on trademarks and designs rendered from October 1, 2015 to October 7, 2016:

(1) Patent Court Decision 2015Heo5043 as to whether '**360do BRUSH**' is a descriptive mark in view of the trademark registration requirements; (2) Patent Court Decision 2015Heo8110 holding that in case of a geographical name used by a number of people in a specified region, even if such a name is not known notably nationwide, it can be seen as a notable geographical name; (3) Patent Court Decision 2016Heo1574 as to whether a mark similar to the national flag of an allied nation is registrable; (4) Patent Court Decision 2015Heo7292 holding that 'TIARA' does not include the name of the renowned girl group 'T-ara' and thus does not fall under trademarks containing a name, title or acronym of a renowned person; (5) Patent Court Decision 2015Heo5432 holding that there is no concern of misunderstanding of or confusion of the pre-registered trademark "다움" with the trademark applied for registration, "Ddum"; (6) Patent Court Decision 2015Heo6503 holding that '' is likely to be confused with 'ANIPANG' that is widely known to the consumers and thus it is a deceiving trademark of consumers; (7) Patent Court Decision 2015Heo6558 holding that the service mark applied for registration, '**FLUKE**', is difficult to be seen as used for unfair purpose of taking unfair benefit by making use of the pre-registered trademark '**FLUKE**'; (8) Patent Court Decision 2015Heo7940 holding that in connection with the events of cancellation of trademark registration due to unfair use of trademarks, even if actual trademark has been long used from before the registered trademark was registered, if the mark of the actually used trademark

*Judge, the Patent Court of Korea.

is similar to that of the registered trademark and continued use of the actually used trademark would cause more concern about misunderstanding and confusion about the origin of the product than using the registered trademark, such use can be unfair use of the registered trademark; (9) Patent Court Decision 2015Heo6671 holding that in connection with cancellation of registration of a trademark due to non-use of the trademark, use of “모크베이비” or “MOCH” cannot be seen the same with ‘**Moch Baby**’, the registered trademark; (10) Patent Court Decision 2015Heo7001 holding that even when the trademark applied for registration is registered, the applicant is deemed an interested person who may claim for judgment to cancel; (11) Patent Court Decision 2016Heo1536 holding that in connection with the benefit of confirmation by judgment of confirming scope of rights, its judgment that when the respondent just licensed the service mark subject to confirmation in the past, in view of all the circumstances, the benefit of confirmation can be said to be recognized only when the service mark subject to confirmation is likely to be licensed in the future; and (12) Patent Court Decision 2016Heo1314 on design of ‘power plug for toys’ in connection with the reasons of invalidation of design registration.

[Descriptive Marks]

1. Patent Court Decision 2015Heo5043 dated May 4, 2016 [Decision of Rejection (Trademark)]

[Main Issue and Holdings]

The subject mark **360do BRUSH** consists only of marks indicating quality and effect of the designated goods in a normal way of use, does not have any distinctiveness and thus is just a descriptive mark.

[Summary of the Decision]

The subject mark **360do BRUSH** is a combination of number ‘360’, English lower-case letters ‘do’ and English capital letters ‘BRUSH’ meaning ‘a brush, to brush and to brush teeth’ and can be separately viewed as ‘360do’ and ‘BRUSH’, and considering the level of English education in Korea at the time when the application for registration of the trademark was rejected, the part of “360do” is

pronounced as '360[do]' and thus there is no difficulty in recognizing it as a combination of number '360' and angular measurement 'do(°)' in English transcription 'do' to signify '360°' in relation to the designated product toothbrush, and likely, there is no difficulty in recognizing the part of 'BRUSH' as a 'toothbrush' being the designated good. On the other hand, before the decision of rejection, a number of toothbrushes named '360° toothbrush' were sold domestically and accordingly, the term of '360° toothbrush' was normally accepted by domestic consumers and traders as meaning 'toothbrushes with bristles planted in 360°' or 'toothbrushes of which bristles can be rotated at 360° to brush your teeth' (the Plaintiff asserts that the subject trademark is a creative product with distinctiveness having never been used before the Plaintiff created, but, setting the initial time of creation aside for a separate argument, at the time of rejection of the trademark application for registration, considering the concept of the trademark, relationship with the designated good, and the circumstances that the trading society and general consumers, etc. recognized the trademark as '360° toothbrush' and the ordinary meaning as the foregoing, the Plaintiff's foregoing assertion is not acceptable).

Therefore, if the subject trademark is used in respect of "toothbrush" which is the designated good, general traders or consumers would recognize it as meaning "a toothbrush of which bristles are planted in 360°" or "a toothbrush with bristles can rotate 360°", and thus the subject trademark is a trademark consisting solely of the marks indicating quality and effect of the designated goods in a common manner of use, isn't itself distinctive but is just a descriptive mark and, therefore, the subject trademark is not eligible for registration pursuant to Article 6(1)3 of the Trademark Act.

[Conspicuous Geographical Name]

2. Patent Court Decision 2015Heo8110 dated June 16, 2016 [Confirmation of the Scope of Rights (Trademark)]

[Main Issue and Holdings]

Whether 'Shinchun' is a conspicuous geographical name in the Registered Service Mark 'Shinchun Halmae Tteokbokki' and the service mark to be

confirmed 'Shinchun Hwangjae Tteokbokki' (positive).

[Summary of the Decision]

A geographical name used by a lot of people in a specified region can be seen a conspicuous geographical name even if the name is not conspicuously known nationwide.

As seen in the acknowledged facts below, 'Shinchun' included in the Registered Service Mark and the questioned mark is widely used as a name of a river, administrative zone, market, road, station, or bistro, etc. and also is known as representing spicy tteokbokki and thus at least in Daegu region, it is a conspicuous geographical name.

(1) 'Shinchun' is a river originating from Gachang-myun, Dalsung-gun, Daegu and flowing into Kumho river around Chimsan-dong as described in "Gyeongsangdo Map" and "King Saejong Map" and today, there are 16 bridges (one of them is 'Shinchun Bridge') including Soosung bridge over the river named Shinchun, and along the banks of the river there are many apartments and facilities.

(2) In the Daegu region, in addition to a river name, 'Shinchun' is much used in names such as 'Shinchun market', 'Shinchun-dong', 'Shinchun road', etc., and 'Shinchun-dong' consists of Shinchun 1, 2, 3 and 4-dongs, and there are also a bus stop named 'Shinchun market' and a subway station named 'Shinchun station'.

(3) In the Daegu region, there are 33 bistros using trade names including 'Shinchun'.

(4) Today, the 'Sincheon tteokbokki' is widely known as a pronoun of spicy Tteokbokki in the Daegu region, since Mrs. Yokryun Yoon sold spicy tteokbokki in Sincheon Market of Daegu for over 20 years.

[Flag of an Allied Nation]

3. Patent Court Decision 2016Heo1574 dated June 16, 2016

[Main Issue and Holdings]

The subject trademark should be rejected from registration pursuant to Article 7(1)1-2 of the Trademark Act since it is similar to the flag of The Netherlands.

[Summary of the Decision]

The subject trademark ') with a difference that a small hot-air balloon is added.

However, the subject mark and the flag of The Netherlands are common in the arrangement of red, white and blue rectangles and the ratio of the horizontal and the vertical proportions as 4:3. In view of the common features and that the ratio of the area of the hot-air balloon is small compared to the whole mark and its color arrangement is in the same order of red, white and blue, the subject mark as a whole is similar to the flag of The Netherlands.

[Trademark Containing a Name, Title or Acronym of a Celebrity]

4. Patent Court Decision 2015Heo7292 dated May 19, 2016

[Main Issue and Holdings]

The subject trademark '**TIARA**' does not include the name of a famous girl group 'T-ara' and thus does not fall under Article 7(1)6 of the Trademark Act.

[Summary of the Decision]

Article 7(1)6 of the Trademark Act provides that any trademark containing the name, title, or trade name, portrait, signature, seal, literary name, stage name, pen name of a prominent person, or his/her abbreviated title shall not be registered as a trademark. Whether a name of another person is prominent should be judged considering the period, manner, type and frequency of use, the

scope of trading and the reality of trading of goods using the name and considering whether the name of another person becomes widely recognized in the ordinary life or the relevant trading society (*see*, Supreme Court Judgment 2012Hu1033 dated October 31, 2013).

Pursuant to the proviso clause of Article 7(1)6 of the Trademark Act, with approval of another person, trademarks containing the name of that famous person can be registered, Article 7(1)6 is separately provided under the Trademark Act in addition to Article 7(1)10 of the Act and thus the purpose of the provision of Article 7(1)6 of the Trademark Act is not to be seen as a provision to prevent misunderstanding or confusion of the origin of products or service but to be seen as a provision to protect moral rights of another person.

Considering the facts and circumstances set out below, 'T-ara' as of the date of application for registration of the subject trademark, November 11, 2013, is a name of a famous person.

- 1) 'T-ara', Korean girl group, consisting of 6 (or 7) girls who are 'Jiyeon, Hyomin, Soyeon and Eunjung, etc.', sang popular songs such as 'Lie', 'Got Mad Because of You', etc. since their debut in April 2009 and acted as models for advertisement of 'I-river' and cosmetics, etc.
- 2) 'T-ara' received various awards over the years, such as rookie award of the 24th Golden Disc in 2009, the 2nd Melon Award Top 10 in 2010, the 4th Mnet 20s Choice in 2010, special female award for CF model in 2011 MTN broadcasting festival, the 3rd and the 4th Melon Music Award Music Video Award in 2011 and 2012, the 3rd Asia Jewelry Award-Diamond Award for Singers in 2011, Star Award in Cable TV Broadcasting Award in 2011, 2012 Billboard Japan Music Award, 2011 Top Pop Artists, The 20th Korea's Best Idol Singer Award in 2012 and the Digital Award in the 27th Golden Disc Awards in 2013, etc.
- 3) Today, the Internet is widely used and information is shared actively through social network service (SNS) as well as media such as TV, and thus information is transmitted quickly and public attention and influence on music or video are broadly expanded.

Considering the foregoing legal principle and the circumstances set out

below, the subject mark ‘**TIARA**’ can be seen as an expression of an English word meaning a shape trademark ‘’ (small crown) that has been registered and used by the Plaintiff for a long time, whereas the trademark cannot be concluded to include the English title of a famous girl group ‘T-ara’.

(1) Article 7(1)6 of the Trademark Act is a provision that does not purport to prevent misunderstanding and confusion of the origin of goods or service but to protect moral rights of other persons and provides for a trademark containing the name, etc. of a celebrity, does not provide for any form of a trademark the same with or similar to a certain trademark (*see*, Article 7(1)9), and does not require concern about the misunderstanding or confusion with the origin of goods among the consumers (*see*, Article 7(1)10, 11) for its application.

(2) Since around 2003 the Plaintiff has already applied for registration, registered and used more than 20 trademarks of a small crown shape ‘’ by attaching it to the goods.

(3) However, the girl group T-ara has used its name as ‘T-ara’ intentionally in order to avoid duplication or confusion with another girl group Tiara.

(4) The Plaintiff may register its trademark containing the name, etc. of a celebrity subject to consent from the celebrity but in the present case, there is a room that the name and the terms to be approved by T-ara are not clear.

[Trademark Similar to a Pre-Registered Trademark]

5. Patent Court Decision 2015Heo5432 dated December 18, 2015 [Decision of Rejection (Trademark)]

[Main Issue and Holdings]

The Intellectual Property Trial and Appeal Board (“IPTAB”) decision that pre-registered trademark “” and the subject trademark “” are similar is cancelled.

[Summary of the Decision]

(1) In view that the Plaintiff (Kakao, *f.k.a.* Daum Communication) has used ‘다음’ or ‘Daum’ as its corporate image for a long period; subscribers to the portal site operated by the Plaintiff are more than 38 million persons; and the corporate image and the portal site are called as ‘다음’ in the trading society, the subject trademark is called as ‘다음’.

(2) The subject trademark is associated with a meaning of ‘next in line of a certain order’ and the Plaintiff’s portal site advertisement is associated with a meaning of ‘gather together, join’, etc., whereas the pre-registered trademark means having a certain characteristic or attribute such as ‘beauty’ and ‘manliness’ to be different from the subject trademark.

(3) There is not seen a case in which consumers of the designated goods misunderstood or confused between the subject trademark and the pre-registered trademark. Together with the Plaintiff’s business particulars and scope and marks such as trademarks, service mark and corporate image (CI), the consumers encountering the subject trademark are likely to recognize the origin of the goods as the Plaintiff, and the subject trademark and the pre-registered trademark are not likely to cause misunderstanding and confusion about the quality or origin of the goods in the trading society. (Plaintiff’s claim is quoted).

[Trademark Deceiving Consumers]

6. Patent Court Decision 2015Heo6503 dated June 24, 2016 [Invalidation of Registration (Trademark)]

[Main Issue and Holdings]

The pre-used trademark/service mark was widely known as indicating goods or services of the Plaintiff to domestic consumers or traders in relation to such goods or services around August 27, 2013 when the registered trademark was determined to be registered.

[Summary of the Decision]

Registered Trademark of the Defendant	Plaintiff's Pre-Used Trademark/ Service Mark
	ANIPANG

1) The extent to which the pre-used trademark/service mark is known

(i) The period from July 30, 2012 when the Plaintiff's Anipang game was released using the Plaintiffs pre-used trademark/service mark to August 27, 2013 when the registered trademark was determined to be registered is only one year and a month, but only in two months from the date of release, the number of persons having installed the game, market share and recognition in the market of the game experienced explosive growth; (ii) 'Anipang' in the Plaintiff's Anipang game does not only function as the name of the game but also is used as a distinctive mark of goods and services that are 'game applications for cell phones and game service business' pursuant to the Plaintiff's general planning and management; and (iii) the Anipang earned higher recognition than expected of in respect of normal games as shown by the number of persons having installed the game, number of users, market share, relevant news releases and awards, etc. Considering all of these facts, it is reasonable to view that the pre-used trademark/service mark was widely known to domestic consumers and traders in relation to the relevant goods and services as indicating the Plaintiff's goods or services around August 27, 2013 when the registered trademark was determined to be registered.

2) Degree of relevance of the designated goods of the Registered Trademark to the relevant goods and services of the pre-used trademark/service mark

It is acknowledged that (1) the Plaintiff has operated pop-up stores on-line and off-line to sell goods attaching Anipang characters and is actually selling Anipang character goods; (2) the Plaintiff has continued to release many mobile games in a series using Anipang characters; (3) 'portable Anipang mini speaker' sold by the Plaintiff is related to 'electronic audio system' among the designated goods of the Registered Trademark; (4) 'paper towel, paper tissue and toilet

paper' among the designated goods of the Registered Trademark are household items that are easy to be developed as character goods; (5) mobile brands such as 'Kakao' and 'Line' also commercialize characters on all the ranges of household items including toothpaste and toothbrushes, etc. that are easily accessible, and a game character 'Angry Bird' is commercialized in goods such as towel, speaker and tissue similar to the designated goods of the Registered Trademark; and (6) it is general tendency to commercialize characters of popular games in dolls, toys, clothing and books, etc. Considering the circumstances together with the fact that the pre-used trademark/service mark was widely known so that such mark was recognized as the trademark or service mark of the Plaintiff in the area of 'game application for smart phones and game service business' around August 27, 2013 when the Registered Trademark was accepted for registration, the designated goods of the Registered Trademark that are electric audio apparatus, discs, electronic media containing music, paper towel, paper tissue and toilet paper' and the relevant goods and the relevant services of the pre-used trademark/service mark that are game applications for smart phones, character goods and game service business' can be seen closely relevant to each other in economic respects.

[Trademark Used for the Unfair Purpose]

7. Patent Court Decision 2015Heo6558 dated February 16, 2016 [Decision of Rejection (Trademark)]

[Main Issue and Holdings]

The service mark of which registration is applied for (the "Subject Service Mark") is the same with or similar to the pre-used and pre-registered trademark which is recognized as indicating the goods of a certain person among domestic or overseas consumers, but so long as there was not seen any unjust purpose at the time of application for the Subject Service Mark, the Subject Service Mark cannot be said as falling under Article 7(1)12 of the Trademark Act.

[Summary of the Decision]

In view of the following circumstances, it is difficult to see that the initial applicant of the Subject Service Mark '**FLUKE**' or the Plaintiff, as successor in interest to the applicant, damaged intangible value such as business reputation or customer drawing power embodied in the pre-used and pre-registered trademark '**FLUKE**'; inflicted damage to the right holder of the pre-used and pre-registered trademark Fluker in the manner of interfering with its domestic operations; took unfair benefit by making use of the pre-used and pre-registered trademark; or otherwise used the Subject Service Mark with unfair intent.

Even if the Subject Service Mark, '**FLUKE**' is the same with or similar to the pre-used and pre-registered trademark '**FLUKE**' that is recognized as indicating product of a certain person among domestic and overseas consumers, but so long as the Plaintiff is not seen to have had unfair purpose at the time of application for registration of the Subject Service Mark, the Subject Service Mark cannot be seen as falling under Article 7(1)12 of the Trademark Act. Therefore, the IPTAB Decision reaching the opposite conclusion is illegitimate.

(i) Fluker was incorporated in the U.S.A. around 1948, has sold for more than 60 years electronic testing tools and software, etc., around 1961 in the U.S.A. first used and registered the pre-used and pre-registered trademark '**FLUKE**' with respect to 'electricity supply equipment, precise registers, frequency synthesizer, frequency comparing meters, distributing amplifiers, precise voltage dividers, etc.' and thereafter has continued to advertise, manufacture and sell products with the pre-used and pre-registered trademark and as a result, the pre-used and pre-registered trademark was well known so that the trademark was recognized by domestic and overseas consumers as the trademark of Fluker with respect to electronic meters including thermometers, etc. as of the time when registration of the Subject Service Mark was applied for.

(ii) However, the pre-used and pre-registered trademark '**FLUKE**' is an English word meaning 'a lucky chance', though the word is not a widely recognized word understandable by the Koreans with normal English knowledge, but in the U.S.A., the word is also used as a slang word in the field of sports such as tennis and golf, etc. as meaning 'an accidentally scored ball or a ball scored by chance' and accordingly, at the time of application for registration of the Subject Service Mark, "fluke" or Japanese transliteration "hurukku" was

widely used in the press and media as well as in private conversation in the field of sports such as billiards, table-tennis and golf, etc. as meaning ‘a good chance’ or ‘lucky’.

(iii) On the other hand, OOO who initially applied for registration of the Subject Service Mark ‘**FLUKE**’ started clothing business at a place near Hongik Univ. around 1999, completed business registration as ‘YH Company’ around 2007, since then has engaged in clothing business and used the brand “FLUKE” with respect to the clothing the person sells.

Then the applicant OOO distributed “FLUKE” branded clothing on on-line markets such as G-Market, Auction and 11th Street, etc., and, with the popularity of the clothing especially among young consumers, has continuously expanded the clothing business using marks including “FLUKE”.

(iv) After having incorporated YH Company on July 27, 2011, the Applicant OOO opened an official web site Influx (www.influx.co.kr) to exclusively sell “FLUKE” branded clothing and also entered department stores owing to the popularity of the brand and opened a total of 10 stores selling “FLUKE” branded clothing in local Lotte Department Stores as of October 13, 2015.

(v) Further, as “FLUKE” branded clothing sales went up, OOO, as the actual operator of YH Company was concerned about imitation brands entering the market, filed an application for registration of trademark ‘’ that contains “FLUKE” on February 9, 2010 with respect to designated goods of clothing and completed the TM registration on May 6, 2010. Since then, OOO filed additional applications for registration by slightly changing the design of the emblem containing the English word, “FLUKE,” and the application for registration of the Subject Service Mark was filed as one of them. The name of the applicant of the Subject Service Mark registration was changed to the Plaintiff on April 30, 2014 as the Plaintiff assumed the office of the representative director of YH Company on December 3, 2013.

(vi) The Subject Service Mark, ‘**FLUKE**’ and the pre-used and registered trademark, ‘’ are in common in that they consist of the English word, “FLUKE”, but as the word “FLUKE” itself is not a coined mark newly created or

made by combination of letters by the right holder of the pre-used and registered trademark but has been included in the dictionary and used in real life, and thus, irrespective whether there is any pre-used and registered trademark, anyone could select “FLUKE” as an emblem of a service mark; and the Subject Service Mark did not adopt any peculiar color or design from the pre-used and registered trademark, and thus it cannot be concluded that the emblem of the Subject Service Mark imitated the pre-used and registered trademark.

(vii) Most of all, the primary goods or designated goods of the pre-used and registered trademark are electronic measuring devices such as thermometers, current controllers and ammeters, etc. consisting of electronic components, whereas the designated service of the Subject Service Mark is the clothing, which is an article to protect or shield human bodies and consists of fabrics such as cotton or silk, etc., that the respective goods at issue are totally different in their intended uses and shapes, and the electronic measuring devices are manufactured and sold by instrumentation engineering companies and their consumers are those who engage in engineering related industry, whereas the clothing is manufactured and sold by apparel industry and the consumers are the general public who need the clothing irrespective of their ages or sexes. In addition, even though business diversification is a usual trend, it cannot be said that it is usual that a corporation exclusively engaging in manufacture and sale of electronic measuring devices, etc. would manufacture and sell clothing, such that it is difficult to say that the two businesses have relevance to each other from the economic point of view.

[Unfair Use of Similar Trademarks]

8. Patent Court Decision 2015Heo7940 dated April 8, 2016 [Cancellation of Registration (Trademark)]

[Main Issue and Holdings]

In applying Article 73(1)2 of the Trademark Act that provides for the events of cancelling registration of a trademark due to unfair use of the trademark by the trademark holder, whether the trademark actually used by the Plaintiff, the

trademark holder, should be one after registration date of the registered trademark/ service mark (negative).

[Summary of the Decision]

Registered Trademark	Actually Used Trademark	Subject Trademark
		

As asserted by the Plaintiff, if the Registered Trademark was transformed to the actually used trademark to look similar to the Subject Trademark after the registration of the Registered Trademark, and such use made it more likely for the consumers to misunderstand or confuse with the source of goods than when the Registered Trademark is used as it is, then such use surely falls under the unfair use of trademarks pursuant to Article 73(1)2 of the Trademark Act.

However, even if the actually used trademark was not transformed after the registration of the Registered Trademark but had been used before the registration, in the case where the mark of the actually used trademark is similar to that of the Registered Trademark, and continued use of the actually used trademark makes it more likely to be misunderstood and confused of the source of goods in relation with the Subject Trademark than when the Registered Trademark is used, then such use shall be seen as falling under unfair use of the trademarks as set by Article 73(1)2 of the Trademark Act. In other words, the circumstances that the actually used trademark had been used before the registration of the Registered Trademark does not render the former as not falling under Article 73(1)2 of the Trademark Act, and in conclusion, the Plaintiff's assertion based on the opposing assumption cannot be accepted. (Plaintiff's claim was dismissed.)

[Cancellation of Non-use]

9. Patent Court Decision 2015Heo6671 dated June 10, 2016 [Cancellation of Registration (Trademark)]

[Main Issue and Holdings]

In determining that the Registered Trademark had been continuously used with respect to the designated goods for more than 3 years before the date when cancellation was claimed for, whether marks, “모크베이비” or “MOCH” could be seen as the same with the Registered Trademark, ‘**Moch Baby**’ (negative).

[Summary of the Decision]

- 1) With respect to whether marks, “모크베이비” or “MOCH” that is confirmed from the evidences submitted by the Plaintiff can be seen as the same with the Registered Trademark, ‘**Moch Baby**’, so long as there is no commonality between the two marks for the following grounds, even when the Plaintiff used marks “모크베이비” or “MOCH”, it cannot be said that the Registered Trademark was used.
 - A) Use of the Registered Trademark with respect to the designated goods means not only use of a trademark physically same with the Registered Trademark but also use of a mark that can be seen as the same in the trading society. Accordingly, transformed use to an extent of not damaging the sameness of the trademark is permitted but excess of the extent is not permitted and use of a similar trademark by itself cannot be equated with the use of the Registered Trademark. On the other hand, when the Registered Trademark is a composite mark and the symbols, characters or shapes forming the composite mark are all essential elements, if only a part of them is used, then it cannot be acknowledged that the Registered Trademark was used.
 - B) The Registered Trademark is a letter mark combining a word “**Moch**” without any particular meaning and an English word, “**Baby**”, meaning a baby, an infant, the youngest baby, a man like a baby or honey, etc. Leather shoes, loafers, boots and sandals among the designated goods that are sought by the Defendant to be cancelled are not intended for use by a particular age group; and the part of “**Baby**” has the similar size and font with the part of

“**Moch**” to claim a considerable importance in the whole mark. Accordingly, it is correct to see that not only the part of “**Moch**” but also the part of “**Baby**” among the Registered Trademark form the essential parts of the Registered Trademark. As a result, deletion of “**Baby**” from the Registered Trademark constitutes material transformation of the whole Registered Trademark and thus use of only “**Moch**” without “**Baby**” among the Registered Trademark cannot be seen as the use of the Registered Trademark.

C) Further, “모크베이비” which is confirmed from the evidences is just an expression used by a writer of the postings, being a consumer, to specify the subject goods, and particularly in Plaintiff’s Exhibit 4-2, it cannot even be confirmed what product the term is referring to. Accordingly, the mark cannot be said to be used as an indication of source of goods, and even if “모크베이비” is used as an indication of the source of goods, it is the Korean transliteration of the Registered Trademark ‘**Moch Baby**’, which can be seen to be similar to, but cannot be seen as the same with, the Registered Trademark.

2) With respect to this, the Plaintiff asserts that among the Registered Trademark, ‘**Moch Baby**’, “**Moch**” and “**Baby**” can be separately viewed in view of their composition, and “**Baby**” is a common noun meaning a baby or an infant and does not have any distinctiveness in relation to baby shoes, etc. and thus the Registered Trademark ‘**Moch Baby**’ and mark “MOCH” should be seen as within the scope of sameness in generally accepted idea in the trading society.

However, the designated goods at issue in the present case are “leather shoes, loafers, boots and sandals” intended for use by consumers of all age groups and not limited to such items as intended for use by infants or children. Accordingly, even though the Plaintiff had used the mark “MOCH” with respect to leather shoes, loafers, boots and sandals intended for use by infants or children, we cannot say on the basis of such use that the “**Baby**” part is not distinctive and that the “**Moch**” part is the same with the Registered Trademark and thus the Plaintiff’s assertion is not accepted.

10. Patent Court Decision 2015Heo7001 dated April 1, 2016 [Cancellation of Registration (Trademark)]

[Main Issue and Holdings]

(1) When a trademark is registered, whether the applicant for registration of the trademark is included in the interested persons who may apply for decision of cancellation for non-use as provided by Article 73(1)3 of the Trademark Act (positive)

(2) In the case where a foreign company has registered a number of trademarks domestically for 20 years and has received trademark license fees for the use of such trademarks by licensees without having manufactured or sold any of the designated goods, whether the foreign company can be seen to have an intention to use the trademarks as trademarks domestically (positive).

[Summary of the Decision]

1) An interested person provided by Article 73(6) of the Trademark Act, who may claim for cancellation of registration of a trademark in accordance with Article 73(1)3 of the Trademark Act, means those who are directly and practically interested in extinction of the Registered Trademark since they could be damaged or their legal status would be clearly affected by the existence of the Registered Trademark, since their use of any trademark the same with or similar to the Registered Trademark will be contested by the trademark holder and prohibited (*see*, Supreme Court Judgment 2001Hu188, April 24, 2001), and whether a person is an interested person should be judged as of the time of decision (Supreme Court Judgement 2005Hu3291, September 14, 2006). 'Interest' herein includes cases where the trademark holder files a claim for injunction or for damages on the ground of trademark infringement, files an objection against trademark registration with respect to a trademark applied for registration and does otherwise to contest against trademarks applied for registration; trademark registration is rejected on the ground that the trademark applied for registration is the same with or similar to the Registered Trademark of the trademark holder; the trademark holder has not yet contested but is likely to contest against use of the trademark

applied for registration since the same or similar marks are used with respect to the same or similar products with the designated goods; and trademark registration is completed but since the trademark applied for registration is the same with or similar to the Registered Trademark in respect of marks and designated goods, the trademark registration of the trademark applied for registration is likely to be invalidated in the future.

- 2) Article 73(1)3 of the Trademark Act provides as one of the events for claim for cancellation of trademark registration on the ground of non-use that 'any one among the trademark holder, exclusive licensee or non-exclusive licensee, without a proper reason, has not used the registered trademark with respect to the designated goods domestically for more than three years prior to the date when cancellation of the trademark is filed'; subparagraph 8 of the same Article provides that unfair use by the exclusive licensee or non-exclusive licensee shall be one of the events for which cancellation of the trademark registration can be claimed; and Article 2(1)7 of the Trademark Act defines use of trademarks based on the type of actions but does not limit the person to use trademarks to trademark holders. Considering the foregoing, use of trademarks under the Trademark Act includes cases where trademark holders attach trademarks to the goods they directly manufacture and sell and also cases where the trademark holders permit their licensees via trademark license contracts to attach the trademarks on the goods the licensees manufacture and sell. However, as seen in the foregoing, so long as the Registered Trademark of the Defendant has been used domestically through Panco, etc., even if the Defendant, being a foreign corporation, has registered a number of trademarks domestically for 20 years and has gained trademark royalty through trademark license contracts without directly manufacturing or selling any goods as asserted by the Plaintiff, such circumstances alone do not indicate that the Defendant has no intention to use the trademarks applied for registration with respect to the designated goods.

[Benefit of Confirmation]

11. Patent Court Decision 2016Heo1536 dated July 14, 2016

[Confirmation of the Scope of Rights (Trademark)]

[Main Issue and Holdings]

Cases where benefit of confirmation is acknowledged in the decision of confirmation of the scope of rights when the respondent implemented the Subject Service Mark prior to the decision but not as of the time of the decision

[Summary of the Decision]

In the event that the registered service mark holder claims for decision of confirmation of the scope of rights to the effect that the Subject Service Mark belongs in the scope of rights of the registered service mark, if the sameness between the Subject Service Mark specified by the applicant and the service mark implemented by the respondent is not acknowledged, even if the decision holding that the Subject Service Mark belongs to the scope of rights of the registered service mark becomes final, the decision only applies with respect to the Subject Service Mark specified by the applicant for decision but does not have any effect with respect to the service marks implemented by the respondent. Therefore, the application for decision on positive confirmation of the scope of rights lacks the benefit of confirmation, does not have any merits and should be dismissed (*see*, Supreme Court Decision 2002Hu2419 dated June 10, 2003, Supreme Court Decision 2011Hu2626 dated October 25, 2012).

Further, the benefit of claim for decision should be judged as of the time of decision and thus, in principle, the benefit of confirmation can be acknowledged in the case where the Subject Service Mark is implemented as of the time of decision, but otherwise, if the respondent implemented the Subject Service Mark before the time, in view of the circumstances, the benefit of confirmation can be acknowledged exceptionally in the case where the Subject Service Mark is likely to be implemented in the future (*see*, Supreme Court Decision 2003Hu2836 dated July 22, 2004).

[Uneasiness of Creation of a Design]

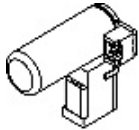
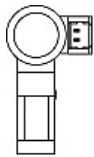
12. Patent Court Decision 2016Heo1314 dated June 24, 2016 [Invalidation of Registration (Design)]

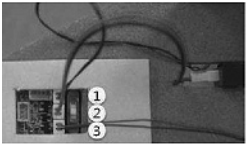
[Main Issue and Holdings]

Even if the Registered Design in the present case imitated, converted or partly transformed the shape and figure of prior design 1, it is difficult to acknowledge the creativity of the Registered Design, and as a whole the Registered Design is only a commercial/functional transformation of which aesthetic value is not recognized or merely a change, composition or conversion of the Registered Design in creative means or means of expression that are commonplace in the design field.

[Summary of the Decision]

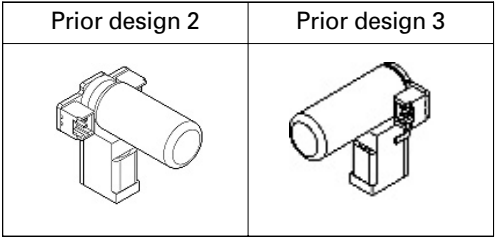
1) It is not disputed between the litigants that the prior power plugs for toys were manufactured and released by the Defendant in a form of capacitor and DC power plug soldered to motor by electrical wires (Plaintiff's Exhibit 10-2, page 2) or in a form of the printed circuit board having on it two motor terminals and a lithium polymer battery (corresponding to capacitor but to be charged by a separate charging device, differently from capacitor) that is separated from the printed circuit board (Plaintiff's Exhibit 10-4, page 3-Figure, ① and ③ are motor plugs and ② is the plug connected to lithium polymer battery), and that prior to the application for design registration of prior design 1, the design of power plug for toys in the form of printed circuit board on which capacitor, motor plug and DC power plug are all located was never disclosed.

Registered Design in the present case	Prior design 1
	
	



Considering the foregoing circumstances, the part of the Registered Design attracting the attention of viewers is the figure and shape of capacitor, motor plug and DC power plug allocated on the printed circuit board, and the Registered Design and the prior design 1 are the same in that capacitor, motor plug and DC power plus are all distributed on the printed circuit board and that the dominant characteristic can be said as similar.

- 2) With respect to the difference between the Registered Design and the prior design 1, ① the colors combined with the printed circuit board, capacitor, motor plug and DC power plug of the Registered Design



are commonly used in the relevant goods and thus are simply added the color to the form and the figure (difference 1), ② the fact that the motor plug of the Registered Design is formed with a 45o slant is, in overall view, just a simple commercial/functional change without any aesthetic value recognized (difference 2) and ③ prior to the application for the Registered Design, a design with motor plug formed on various locations on the printed circuit board was already disclosed in the industry of power plug for toys {the motor plug is formed on the right side of the capacitor in the prior design 1, on both sides of the capacitor in the prior design 2, and on the opposite sides of the capacitor (backside of the printed circuit board) in the prior design 3. See, Defendant’s Exhibit 5-4, 5-5 and 5-6}. In view of all these things, locating the motor plug from the side of capacitor to the upper side of capacitor is just a commercial/functional change or a simple creative means or means of expression (difference 3).

- 3) Then, the Registered Design imitated or appropriated the figure and shape of the prior design 1, or even if the Registered Designed partly transformed the figure and shape of the prior design 1, it is not to the degree where creativity can be acknowledged, and as a whole, is just a commercial/functional transformation of which aesthetic value is not recognized or just a change, composition or conversion using means of usual creative means or

expressions in the field of design. Therefore, in conclusion, the Registered Design can be said to be a design that can be easily created by ordinary designers referring to the prior design 1.

Articles

A Proposal for Adjusting the Standards on Inventive Step Assessment

Jongsun CHOI*

This article purports to identify a way to adjust inventive step standards through examination of guidelines on inventive step practiced by some of the key countries, and jurisprudence on inventive step as adjudicated in the Supreme Court Decisions, Case No. 2013Hu2620 dated July 23, 2015 (Case 1) and Case No. 2013Hu3326 dated November 27, 2015 (Case 2).

1. Case 1

A. History of the Case

Plaintiff had filed an invalidation trial (Case No. 2012Dang2544) to the Intellectual Property Trial and Appeal Board alleging invalidation of the claimed invention entitled “multi slide typed portable phone capable of moving upward and downward” for lack of either novelty or inventive step, but the Board dismissed the petition. Plaintiff then appealed said decision to the Patent Court (Case No. 2013Huh1351), and the Patent Court overturned the Board’s decision finding the claimed invention to be invalid for lack of inventive step. Defendant in turn appealed to the Supreme Court.

B. Case Summary (quashed and remanded)

1) Ruling

Article 29(2) of the Patent Act (prior to the amendment of March 3, 2006) provides that the inventive step of an invention shall be denied where a person of ordinary skill in the art (hereinafter, the “POSA”) can easily derive the invention after having studied an invention published or practiced in Korea prior to the application of the claimed invention or an invention disclosed in a publication distributed in Korea or overseas or became available to the public

*Judge, the Patent Court of Korea.

through electric telecommunication line as defined by the Presidential Decree prior to the application of the claimed invention (hereinafter, the "Prior Art"). When determining whether or not the invention at hand is inventive on the standard of the ease of derivability based on the Prior Art, factors such as the scope and content of the Prior Art, the difference between the subject invention and the Prior Art and the skill of the POSA must be evaluated at the very least. After evaluating these factors, the inventive step of the subject invention must be assessed based on whether the POSA can derive the subject invention despite the difference between the subject invention and the Prior Art. In this assessment, hindsight is not permitted assuming knowledge of the technology described in the specification of the invention (*see* Supreme Court Decision Case No. 2006Hu138, August 24, 2007; Supreme Court Decision Case No. 2007Hu3660, November 12, 2009; Supreme Court Decision Case No. 2010Hu2537, March 24, 2011).

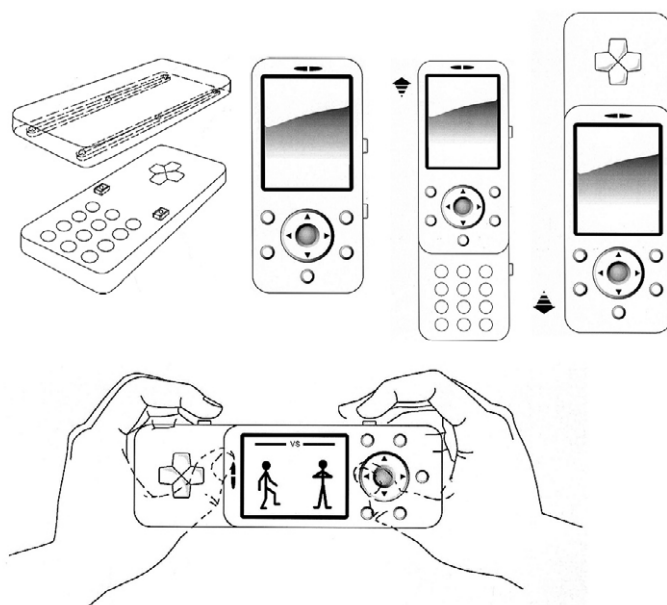
Also, when a claim is composed of a plurality of elements, the technical idea of each element organically combined as a whole becomes the subject of the inventive step analysis, and not each element independently. As such, each element of a claim cannot be separately analyzed to determine it is disclosed in the Prior Art, rather the claim as a whole should be analyzed for ease of derivability based on the principle of the solution offered for the specific technical problem also taking into consideration the specific effect offered by the invention as a whole combining all elements. Moreover, there must be a suggestion, motivation, etc. in the prior art disclosures to combine the referenced technologies to derive the subject invention in order to deny the inventive step citing said prior art disclosures. In the absence of such, it must be admissible that the POSA could easily derive the subject invention based on the technical level, knowledge, the fundamental technical problem in the area, development trends, industry demand, etc. at the time of the application of the subject invention (*see* Supreme Court Decision Case No. 2005Hu3284, September 6, 2007).

2) Solution to the Problem

Claim 1 as amended (hereinafter, the "Amended Claim 1") of the subject invention claims slide typed portable terminal ("Element 1-1"), and specifically relates to a bidirectional multi slide typed portable terminal ("Element 1-2") comprising an upper main body having a display window

("Element 2"), a lower main body having two or more key pad sections with functions different from the other ("Element 3"), wherein sliding the upper main body in one direction against the lower main body exposes at least one of the key pad sections of the lower main body ("Element 4") on a side opposite to the said one direction, and wherein the upper main body has a first function key pad section in the lower portions such that the display window is located between two sides symmetrically, enabling two hands to manipulate the terminal when the upper main body slides downward against the lower main body ("Element 5").

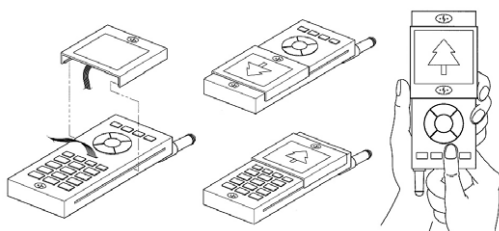
Key figures of the Subject Invention



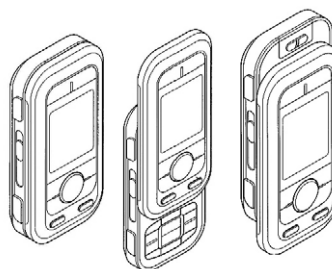
In comparison, Cited Inventions 2 and 4 which are premised on the use of the functional key sections by one hand do not contain elements identical to Element 5 of the Amended Claim 1. However, Cited Invention 2 contains "an element of a cover which exposes a key button when slide in the upper direction against the main body and exposes a functional key when slide in the lower direction against the main body" similar to Element 4 of the Amended Claim 1, and Cited Invention 4 contains "an element of arranging a circular functional key section and a functional button at the lower portion of the display section of the frontal folder" as in the case of the element "the upper main body having a first function

key pad section in the lower portion” of the Amended Claim 1.

Key figure of Cited Invention 2



Key figure of Cited Invention 4



The specification of Cited Invention 2 describes that “propelled by the recent rapid development in the telecommunications technology, mobile telecommunications devices are becoming smaller at the same time their use is diversified enabling various functions including internet searches, video streaming, and games. In response to such diversified use of the mobile telecommunications devices, there is a demand for the window display to become bigger to display a number of information at once and the key buttons to input a variety of signals.” However, in light of the description that follows, namely, “in case of a foldable mobile telecommunications device, a display screen and a key button can be located separately it would be possible to achieve bigger screen and a diversified key button, but in case of a bar type telecommunications device with a flip covering the key pad, it is not possible to increase the size of the screen and diversify the key button as both functions are located in a bar” and “the goal is to provide a mobile telecommunications device that contains a bigger display window and diversified key buttons that overlap each other”, it can be deduced that the technical idea of Cited Invention 2 does not reach beyond a one-hand-held device and arriving at the idea of arranging the key buttons on either side of the display window so that two hands can operate the device.

Also, while Cited Invention 2 describes the amplification of the display screen as one of the technical goals as indicated above, adding the functional key on the cover that contains the display screen contradicts such goal. As such, it cannot be concluded that there is any motivation or suggestion to combine the main body of Cited Invention 2 and the folder part of Cited Invention 4 based on the above specification of Cited Invention 2, and based on the technical level, knowledge,

the fundamental technical problem in the area, development trends, industry demand, etc. at the time of the application of the subject invention, the POSA would not easily be able to derive at a device whereby “that the display window is located between two sides symmetrically, enabling two hands to manipulate the terminal when the upper main body slides downward against the lower main body” and there is no clear evidence to otherwise recognize such derivation.

Therefore, unless a hindsight analysis is made based on the contents of the claimed invention based on the description in the specification, the POSA would not easily derive at Element 5 of the Amended Claim 1 from Cited Inventions 2 and 4. Such hindsight analysis is prohibited as described above.

2. Case 2

A. History of the Case

Plaintiff had filed an invalidation trial (Case No. 2011Dang1962) to the Intellectual Property Trial and Appeal Board alleging invalidation of the claimed invention entitled “surface mount technology compatible EMI gasket and a method of installing an EMI gasket on a ground trace” (hereinafter, the “Claim X Invention” for each claim) for lack of inventive step, but the Board dismissed the petition. Plaintiff then appealed said decision to the Patent Court (Case No. 2013Huh1658), and the Patent Court overturned the Board’s decision finding that the claimed invention to be invalid for lack of inventive step. Defendant in turn appealed to the Supreme Court.

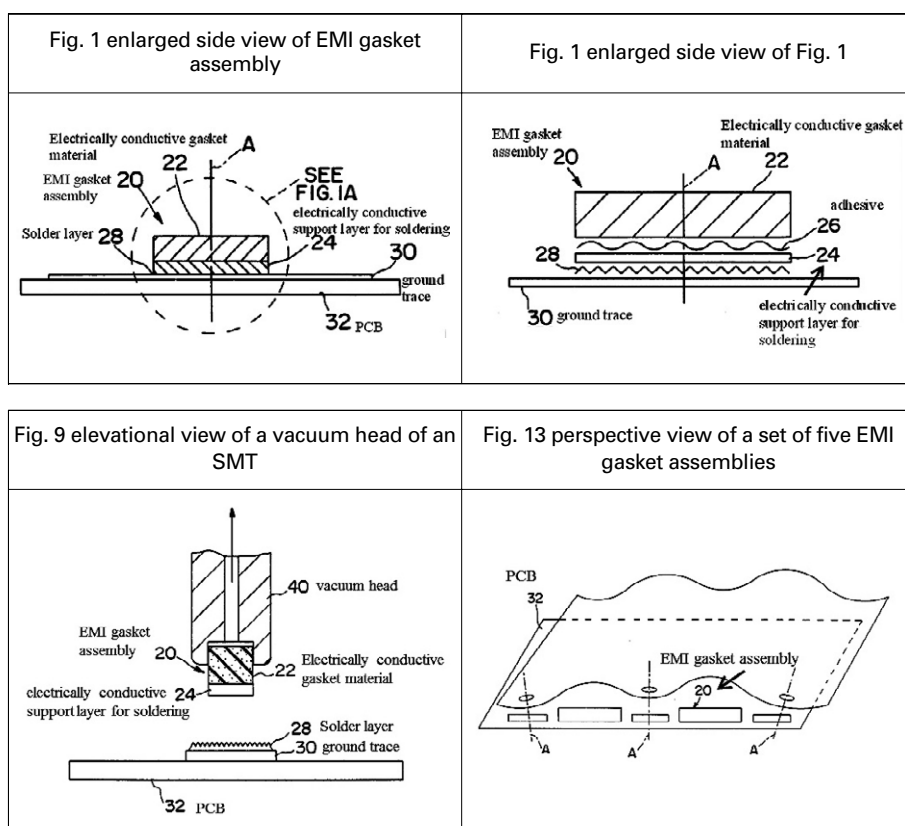
B. Case Summary (quashed and remanded in part)

The Claim 17 Invention is dependent claim to the Claim 12 Invention¹⁾

1) A method of installing an electromagnetic interference (EMI) gasket assembly on at least one of a ground trace of a printed circuit board and a conductive surface of an EMI shield, said EMI gasket assembly being of the type comprising an electrically conductive gasket material, said method comprising the steps of: a) feeding a selected EMI gasket assembly to a surface mount technology (SMT) machine;b) picking up the selected EMI gasket assembly with at least one of a vacuum head and a gripper head of the SMT machine;c) disposing the selected EMI gasket assembly onto said one of a ground trace of a printed circuit board and a conductive surface of an EMI shield; andd) soldering or adhering the EMI gasket assembly to said one of a ground trace of a printed circuit board and a conductive surface of an EMI shield.

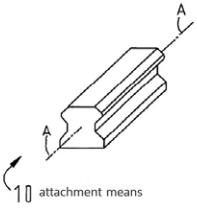
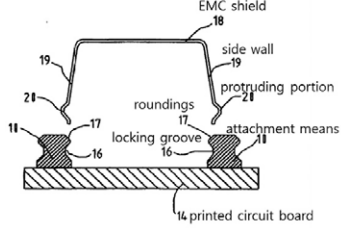
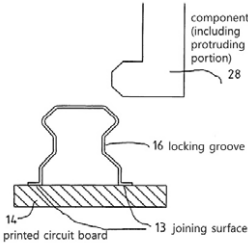
wherein “EMI gasket assembly” is further limited to include a conductive support layer. However, in consideration of the specification of the claimed invention as a whole, it is recognizable that the “conductive support layer” is an element for method of installing the EMI gasket assembly to SMT machine for efficiently adhering on to the PCB (Printed Circuit Board), that is, an element for (i) adding strength to prevent distortion that may arise in a SMT process and (ii) enabling a sturdy soldering.

Key figures of the Subject Invention



However, corresponding elements to the conductive support layer are not described in Cited Invention 2. Cited Invention 4, on the other hand, describes “the second layer of metal material is introduced to maintain the form when the first layer of elastic material does not provide strength to support the gasket.”

Key figures of Cited Invention 2

Fig. 3a. axonometric projection of an embodiment	Fig. 4a. illustration of the EMC shield attachment	Fig. 5e. illustration of other embodiment
		

According to the specification of Cited Invention 4, it can be deduced that the above invention suggests the second layer as an element for preventing an excessive bending in treating a flat gasket for manual installation of the EMI on the premise that the process is a manual installation method, which is unrelated to the SMT process.

Also, pursuant to the specification of Cited Invention 2, it is understood that (i) the attachment means of the above invention is an element for fixing while withstanding the spring force of the side wall of the EMC (Electro Magnetic Compatibility) shield, and (ii) the above invention recognizes the problem of the attachment means made of an elastic material in the aspect of frequent engagement and disengagement between the attachment means and the EMC shield rather than the aspect of suitability for the SMT process. Under this perception, even if the second layer of Cited Invention 4 is applied to the attachment means of Cited Invention 2, it is reasonable to assume that it will be rounded when engaged with the EMC shield, i.e., a locking groove which constitute a side portion of the attachment means. In this sense, it is unnatural to adopt adding an extra support layer to a curved portion in order to enhance the intensity of the attachment means instead of simply changing the attachment means into a high intensity material since the adoption of the extra support layer causes a complex structure, a higher cost of manufacturing, and a possibility of peeling off due to different degrees of abrasion between two layers. Actually, the specification of Cited Invention 2 suggests another embodiment which enhances the intensity by making the attachment means with relatively inelastic material

in comparison with the side wall of the EMC shield, while pointing out a problem resulting from the attachment means made of the elastic material.

Accordingly, it cannot be concluded that (i) there is any motivation or suggestion to reach the invention of ‘the EMI gasket assembly further comprising the conductive support layer’ set forth in claim 17 of the claimed invention by the combination of the attachment means of Cited Invention 2 and the second layer of Cited Invention 4 based on the above specifications of Cited Inventions 2 and 4, or (ii) the POSA would easily be able to reach the combination in order to achieve the function for attaching the EMI gasket on the PCB by installation of the EMI gasket assembly onto the SMT machine in view of the technical level at the time of the application of the subject invention, common knowledge, the fundamental technical problem in the area, development trends, industry demand, etc., and there is no clear evidence to otherwise recognize such derivation.

Therefore, unless a hindsight analysis is made based on the contents of the claimed invention based on the description in the specification, the POSA would not easily derive the specific element of claim 17 of the claimed invention from Cited Inventions 2 and 4. Such hindsight analysis is prohibited as described above.

3. Objective

The inventive step standard proffered by Case 1 is a compilation of the inventive step principle adjudicated by the Supreme Court so far.

Such legal principle is reflected in the Examination Guideline of the Korea Intellectual Property Office (KIPO), and that of the US, Europe, and Japan does not differ significantly. That is, due to the international nature of a patent, the inventive step standard of key countries in intellectual property is substantially identical. Moreover, the above decision of the Korean Supreme Court is evaluated as more implicit standard on inventive step than the KSR decision of the US.²⁾

Notwithstanding, the standard is not properly applied in practice, and there is a continued criticism on how frequently inventive step is denied when

2) Sang-Wook Han, *et al*, “Do we have a World-class Standard of Judgment on Inventive Step?” Looking at the Future through the IP Window, Ye-On Publishing (2010), 220~221.

compared to other countries. The inventive step standard of each country will be examined below thereby seeking to find a specific way to properly apply the inventive step standard in practice.

4. Examination Guideline on Inventive Step of Key Countries

A. Examination Guideline on Inventive Step of Korea, Japan, Europe, and the US

The examination guideline on inventive step, which reflects the court and tribunal decisions, of Korea, Japan, Europe, and the US is as provided below.

Examination Guidelines on Inventive Step of KIPO³⁾

Part III Requirements for Patentability

Chapter 3 Inventive Step

5.1 Procedure of determining the inventive step

The procedure of determining the inventive step is as follows.

- (1) The examiner specifies an invention for which an applicant requests grant of a patent. The method of specifying the claimed invention is the same with that of 「determining novelty」 in Chapter 2.
- (2) The examiner specifies cited inventions. The method of specifying the cited inventions is the same with that of 「determining novelty」 in Chapter 2. The examiner shall specify the cited inventions from the point of view of a person skilled in the art, on the assumption of the common technical field and technical problems of the claimed invention.
- (3) The examiner chooses a cited invention which is the closest to the claimed invention and makes a clear difference by comparing the cited invention with the claimed invention. In doing so, the examiner shall take into consideration the structural combination of the elements of an invention. More specifically, structurally combined elements of an invention shall be compared as one integrated unit (without being separated) with their corresponding elements in the cited invention.

3) Online: Korea Intellectual Property Office <http://www.kipo.go.kr/kpo/user.tdf?a=user.html.HtmlApp&c=3073&catmenu=m06_01_04> (last accessed: March 16, 2016).

- (4) The examiner determines whether an invention described in the claims could have been easily made by a person skilled in the art, in view of cited inventions or the common general knowledge before the filing, even though there is a difference between the claimed invention and the cited inventions

6. Concrete method of determining Inventive step

6.1 Probable cause or motivation

The following cases can be strong grounds for determining that a person skilled in the art would have been led to the claimed invention based on the cited invention; suggestions shown in the disclosures of the cited inventions, close similarity of a problem to be solved, close similarity of a function, work, or operation, close relevance of technical fields.

6.2 Mere exercise of ordinary creativity of a person skilled in the art

A common improvement based on general applications of a known art, reasoning based on known physical properties, or referring to other technical filed to solve a known problem fall into the category of ordinary creativity of a person skilled in the art. Among exercises of ordinary creativity of a person skilled in the art are selecting an optimal material from publicly known materials in order to achieve a specific object, optimizing a numerical value range, replacing with equivalents, a workshop modification of a design in applying a specific technology, partially removing technical features and simply changing the use. When the differences between the claimed invention and the cited invention under comparison falls only under these categories, it is usually considered that a person skilled in the art could easily arrived at the claimed invention, unless there is another ground for assessing the inventive step.

6.3 Advantageous effects to be considered

- (1) If an effect derived from matters defining a claimed invention is advantageous in comparison with an effect of a cited invention, it is taken into consideration as a fact to affirmatively support its inventive step.

7. Determination of the inventive step of a combination invention

- (2) Determining the inventive step of the combination invention can be made by combining more than two disclosures (well-known or commonly used art) but the

combination of the disclosures is limited to the condition where a person skilled in the art can easily combine the disclosures at the time of filing. In this case, there is no special limit on the number of prior art disclosures to be combined. When the examiner determines the inventive step by combining various prior arts, the examiner mainly considers whether the cited inventions contain a motivation or hint leading to the claimed invention by combining or assembling the prior art disclosures. Nevertheless, taken into account the state of the art, the common general knowledge at the time of filing, the general technical problems of the technical field, the technical trend and demands in the industry, if the combination of prior art disclosure is deemed to be easily made by a person skilled in the art, the examiner can deny the inventive step of the claimed invention.

(3) The determination whether a prior art disclosure contains a motivation, hint, or the like for a combination shall be made by synthetically assessing the following: whether the motivation, hint, or the like is explicitly taught in the prior art; whether the motivation, hint, or the like is inherent from the technical problem to be solved by the invention; or whether the motivation, hint, or the like is part of the common general knowledge or empirical rules of a person skilled in the art.

(4) In general, as a prior art disclosure referring to another disclosure can be considered to explicitly suggest a hint or motivation of a combination in the prior art disclosure, it is regarded as obvious to combine the two disclosures and the inventive step is therefore negated. Also, combining a plurality of technical features in the same disclosure is considered obvious, for a person skilled in the art would have combined the technical features without difficulty. It is normally considered to be obvious to combine a well-known technology with another prior art disclosure.⁴⁾ However, if a technical feature to be combined is a well-known technology in the art, but a combination with another technical feature results in an advantageous effect, the combination is not regarded as obvious.

4) It is questionable to conclude that a well-known technology can be combined without difficulty. A well-known technology would also require, as in other prior art disclosures, a motivation to combine. However, given the common use of a well-known technology, it can often be seen that a motivation or a hint exists.

(5) In general, if a combination invention achieves an effect by functional interaction between technical features, which is different from or greater than the sum of the effects of the individual technical features, e.g., a combined synergistic effect, the inventive step may be acknowledged since a set of technical features is considered to be a technically meaningful combination. If a combination invention described in a claim is regarded not as a meaningful combination, but merely as a juxtaposition (array) or aggregation (simple collection) of features, the inventive step of the combination invention may be denied by proving that the individual features are obvious insofar as there are no other grounds supporting the inventive step.

(6) In determining the inventive step of a combination invention, care must be taken as the fact that one or more cited inventions must be combined with the closest cited invention in order to arrive at the claimed invention may indicate the presence of an inventive step. Also, it should be noted that the higher number of combined cited inventions, the more likely is that the claimed invention results from an ex post facto view or lacks a valid reason for rejection. When determining whether it would have been obvious to combine two or more other prior arts, the examiner should take into consideration of the followings: ① whether there is good possibility to combine them, ② whether the prior arts come from similar or neighboring technical fields, and ③ whether there is a reasonable basis to associate each other for the combination.

8. Other factors to be taken into account in determining obviousness

- (1) If a prior art document teaches not referring to the prior art thereof, i.e., if there is a description in the prior art document that precludes the reasoning that a person skilled in the art would easily arrive at the claimed invention, the inventive step is not denied by the prior art despite the similarity between the prior art and the claimed invention. In addition, the fact that the prior art in a prior art document is described as inferior cannot be necessarily considered as a factor that precludes the inventive step.
- (2) Commercial success or favorable comments from the industry or the fact that the claimed invention had not been implemented by anybody for a long time before the claimed invention was filed may be regarded as indicative of the inventive step as secondary evidence. However, those facts alone are not to be regarded as indicative of the inventive step. First of all, as the inventive step should be

determined based on the contents disclosed in the specification (i.e., the objective, structure, and effect of the invention), commercial success is not to be regarded as a reference for the determination of the inventive step, provided that such success does not derive from the technical features of the invention but from other factors (e.g., improvement in sales techniques or advertising).

- (3) The fact that a claimed invention solves a technical problem that a person skilled in the art has attempted to solve for a long time or fulfills a long-felt need may be regarded as an indication of the inventive step. In addition, such a solution of a technical problem or a need should be fulfilled by the claimed invention for the first time as a matter that has been recognized by a person skilled in the art for a long time. To accept this as an indication of inventive step, objective evidence is required.
- (4) If an invention is made by employing technical means which a person skilled in the art has abandoned due to technical prejudice interfering with the research and development of a technical problem in the relevant field of the art, thereby solving the technical problem, this is regarded as an indicator of the inventive step.
- (5) If a claimed invention proposes means for overcoming technical difficulties not resolvable by other means or for solving a technical problem, this is regarded as advantageous evidence for an inventive step.
- (6) If a claimed invention falls within the area of a brand-new technology and has no prior art relevant to the invention, or if the closest prior art to the invention is far away from the invention, the inventive step is likely to be acknowledged.

9. Notes on determination as to whether the claimed invention has an inventive step

- (1) When determining the inventive step in the light of knowledge obtained from the matters disclosed in the specification of a patent application, which are the subject of examination, it should be noted that the examiner can rapidly conclude that it would have been obvious for a person skilled in the art to arrive at the invention described in the claims without difficulty.
- (3) If a product invention explicitly has an inventive step, a process invention for making the product or a use invention for using the product has also an inventive step in principle.
- (5) A degenerate invention does not involve an inventive step.

Examination Guidelines of Japan Patent Office⁵⁾

Part III Patentability

Chapter 2, Section 2 Inventive Step

3. Detail of Determination of Inventive Step

The examiner selects the prior art most suitable for the reasoning (hereinafter referred to as “the primary prior art” in this Chapter), and determine whether it is possible to reason that a person skilled in the art would easily arrive at the claimed invention from the primary prior art by following the steps (1) to (4). The examiner should not regard the combination of two or more independent pieces of prior art as the primary prior art.

Where there are two or more claims, the examiner should determine the existence of an inventive step for each claim.

- (1) The examiner determines whether or not the reasoning is possible based on the various factors in support of the non-existence of an inventive step (see 3.1) for the differences between the claimed invention and the primary prior art by adopting other pieces of prior art (hereinafter referred to as “secondary prior art” in this Chapter) or considering the common general knowledge.
- (2) If the examiner determines that the reasoning is impossible based on the above step (1), the examiner determines that the claimed invention involves an inventive step.
- (3) If the examiner determines that the reasoning is possible based on the above step (1), the examiner determines whether the reasoning is possible by comprehensively assessing various factors which includes factors in support of the existence of an inventive step (see 3.2).
- (4) If the examiner determines that the reasoning is impossible based on the above step (3), the examiner determines that the claimed invention involves an inventive step.

5) Online: Japan Patent Office <http://www.jpo.go.jp/shiryou/kijun/kijun2/pdf/tukujitu_kijun/03_0202.pdf> (last accessed: March 16, 2016).

If the examiner determines that the reasoning is possible based on the above step(3), the examiner determines that the claimed invention does not involve an inventive step.

Factors in support of the non-existence of an inventive step

- Motivation for applying secondary prior art to primary prior art
 - (1) Relation of technical fields
 - (2) Similarity of problems to be solved
 - (3) Similarity of operations or
 - (4) Suggestions shown in the content of prior art
- Design variation of primary prior art
- Mere aggregation of prior art

**Factors in support of the existence an inventive step**

- Advantageous effects
- Obstructive factors

Example: It is contrary to the purpose of the primary prior art to apply the secondary prior art to the primary prior art

3.1 Factor in support of the non-existence of an inventive step**3.1.1 Motivation for applying secondary prior art to primary prior art**

If the secondary prior art (B) is applied to the primary prior art (A) and then the resultant (A+B) is equivalent to the claimed invention (Note 1), the motivation to attempt this application is a factor in support of the non-existence of an inventive step.

It is determined whether or not there is motivation for applying the secondary prior art to the primary prior art by comprehensively considering the following points of view (1) to (4). The examiner should note that it is not always possible to determine whether there is motivation by paying attention to only one of these points of view (1) to (4).

- (1) Relation of technical fields
- (2) Similarity of problems to be solved
- (3) Similarity of operations or functions
- (4) Suggestions shown in the content of prior art

(1) Relation of technical fields

It is regarded as the exercise of the ordinary creativity of a person skilled in the art that he/she attempts to apply to the primary prior art any technical means of the technical field related to the primary prior art in order to solve the problems in the primary prior art. For example, the presence of a technical means that would be replaced in or be added to the prior art in the technical fields related to the primary prior art could be grounds for determining that there is motivation for a person skilled in the art to derive the claimed invention by applying that means.

In determining the presence of the motivation for applying the secondary prior art to the primary prior art, with respect to the "relation of technical fields", the examiner should also consider another point among the points of view (1) to (4) for motivation.

However, in the case where the understanding of "technical field" involves consideration of the points of view for problems to be solved, operations and functions as well as the point of view for products to which the prior art is applied, the determination based on the "relation of technical fields" also involves the consideration of "similarity of problems to be solved" and the "similarity of on the "relation of technical fields" without considering the other points of view for motivation, it is not necessary to consider the "similarity of problems to be solved" and the "similarity of operations or functions" for determination whether or not motivation involves.

(2) Similarity of problems to be solved

The similarity of the problems to be solved between the primary prior art and the secondary prior art can be a ground for determining that there is motivation for a person skilled in the art to derive the claimed invention by applying the secondary prior art to the primary prior art.

The similarity of problems to be solved can be recognized where there is similarity of the problems obvious to or easily conceived by a person skilled in the art at the

time of filing between the primary prior art and the secondary prior art. The examiner determines whether the problems to be solved by the primary prior art and the secondary prior art are obvious or easily conceived based on the state of the art at the time of filing.

The examiner can also attempt the reasoning by a thinking process different from the claimed invention, based on the primary prior art which solves a problem different from the claimed invention. Same applies to a claimed invention of which the problem to be solved cannot be recognized, such as an invention obtained through trial and error.

(3) Similarity of operations or functions

The similarity of the operations or functions between the primary prior art and the secondary prior art can be a ground for determining that there is motivation for a person skilled in the art to derive the claimed invention by applying the secondary prior art to the primary prior art or associating the secondary prior art with the primary prior art.

(4) Suggestions shown in the content of prior art

The suggestion shown in the content of prior art for applying the secondary prior art to the primary prior art is a strong evidence for motivation for a person skilled in the art to derive the claimed invention by applying the secondary prior art to the primary prior art.

3.1.2 Factor in support of the non-existence of an inventive step other than motivation

(1) Design variation etc.

If a person skilled in the art would arrive at the claimed elements that correspond to the differences between the claimed invention and the primary prior art by the following items (i) to (iv) (hereinafter referred to as "design variation etc." in this Chapter) starting from the primary prior art, there is a factor in support of the nonexistence of an inventive step. Moreover, suggestion in the primary prior art for the design variation etc. is an effective factor in support of the non-existence of an inventive step.

- (i) Selection of optimum materials from publicly known materials to solve certain problems

- (ii) Optimally or preferably modified numerical ranges to solve certain problems
- (iii) Materials replaced by equivalents to solve certain problems
- (iv) Design variation or design choice associated with an application of specific techniques to solve certain problems

This is because they are merely regarded to be art derived from the ordinary creativity of a person skilled in the art.

(2) Mere aggregation of prior art

Mere aggregation of prior art means that each of the claimed elements is well-known and their functions and operations are not related to each other. The claimed invention is determined to be made by the exercise of the ordinary creativity of a person skilled in the art where it is a mere aggregation of prior art. Mere aggregation of prior art is a factor in support of the non-existence of an inventive step. Moreover, the implication for aggregation of prior art in the primary prior art is an effective factor in support of the non-existence of an inventive step.

3.2 Factor in support of the existence of an inventive step

3.2.1 Advantageous effects

Advantageous effects over the prior art are factors in support of the existence of an inventive step. Where the examiner understands such effects based on the description, claims and drawings, the examiner should take them into consideration as factors in support of the existence of an inventive step. Advantageous effects mean effects which are given by the claimed invention and advantageous over the prior art(particular effects).

3.2.2 Obstructive factor

- (1) The factor which obstructs application of the secondary prior art to the primary prior art (obstructive factor) supports the existence of an inventive step. However, if it is sufficiently reasoned that a person skilled in the art would easily conceive the claimed invention after considering the obstructive factor, the claimed invention does not involve an inventive step.

Examples of obstructive factor are the following.

- (i) The secondary prior art applied to the primary prior art cannot achieve the purpose of the primary prior art.

(ii) The secondary prior art applied to the primary prior art cannot adequately function.

(iii) The secondary prior art which is considered to be excluded from application and unable to be adopted by the primary prior art.

(iv) The secondary prior art which a person skilled in the art would not apply due to a publication disclosing that the secondary prior art is inferior to the other embodiment in respect of operations and effects of the prior art.

(2) A piece of prior art is inappropriate for citation where the publication which discloses the prior art provides the descriptions that obstruct a person skilled in the art from easily arriving at the claimed inventions. Therefore, there is an obstructive factor for reasoning where the primary prior art or the secondary prior art is inappropriate. However, even if the prior art documents etc. provide the descriptions that obstruct a person skilled in the art from easily arriving at the claimed inventions at first glance, the prior art is appropriate as cited prior art where there is a sufficient factor in support of the non-existence of an inventive step and the reasoning.

3.3 Notes for determining an inventive step

(3) The examiner should not omit to consider the reasoning (considering whether or not there is a factor teaching away from applying the well-known art) only because the cited prior art as the ground of the reasoning or design modification is well-known.

Examination Guidelines of European Patent Office (EPO)^{6), 7)}

Part G Patentability Chapter

VII Inventive Step

6) Online: European Patent Office <http://www.epo.org/law_practice/legal_texts/guidelines.html> (last accessed: March 16, 2016)

7) Translation hereinafter is taken from the article written by Seung Gon Kim, "A Few Points Raised by the Problem-and-Solution Approach of the European Patent Office used in examination of inventive step during trial", A Study on Patent Litigation Vol. 6 (2013), Patent Court 47-53.

5. Problem and solution approach

In the problem-and-solution approach, there are three main stages:

- (i) determining the “closest prior art”,
- (ii) establishing the “objective technical problem” to be solved, and
- (iii) considering whether or not the claimed invention, starting from the closest prior art and the objective technical problem, would have been obvious to the skilled person.

Stage 1 ► Determination of the closest prior art

The closest prior art is that which in one single reference discloses the combination of features which constitutes the most promising starting point for a development leading to the invention. In selecting the closest prior art, the first consideration is that it should be directed to a similar purpose or effect as the invention or at least belong to the same or a closely related technical field as the claimed invention. In practice, the closest prior art is generally that which corresponds to a similar use and requires the minimum of structural and functional modifications to arrive at the claimed invention(see T 606/89).

Stage 2 ► Formulation of the objective technical problem

In the second stage, one establishes in an objective way the technical problem to be solved. To do this one studies the application (or the patent), the closest prior art and the difference (also called “the distinguishing feature(s)” of the claimed invention) in terms of features(either structural or functional) between the claimed invention and the closest prior art, identifies the technical effect resulting from the distinguishing features, and then formulates the technical problem.

Features which cannot be seen to make any contribution, either independently or in combination with other features, to the technical character of an invention cannot support the presence of an inventive step (T 641/00). Such a situation can occur for instance if a feature only contributes to the solution of a non-technical problem (T 931/95).

In the context of the problem-and-solution approach, the technical problem means the aim and task of modifying or adapting the closest prior art to provide the technical effects that the invention provides over the closest prior art. The technical problem thus defined is often referred to as the “objective technical problem”.

The objective technical problem derived in this way may not be what the applicant presented as “the problem” in his application. The latter may require reformulation, since the objective technical problem is based on objectively established facts, in particular appearing in the prior art revealed in the course of the proceedings, which may be different from the prior art of which the applicant was actually aware at the time the application was filed.

The extent to which such reformulation of the technical problem is possible has to be assessed on the merits of each particular case. As a matter of principle any effect provided by the invention may be used as a basis for the reformulation of the technical problem, as long as said effect is derivable from the application as filed (see T 386/89). It is also possible to rely on new effects submitted subsequently during the proceedings by the applicant, provided that the skilled person would recognise these effects as implied by or related to the technical problem initially suggested (T 184/82).

It is noted that the objective technical problem must be so formulated as not to contain pointers to the technical solution, since including part of a technical solution offered by an invention in the statement of the problem must, when the state of the art is assessed in terms of that problem, necessarily result in an *ex post facto* view being taken of inventive activity (T 229/85). Where the claim refers to an aim to be achieved in a non-technical field, however, this aim may legitimately appear in the formulation of the problem as part of the framework of the technical problem to be solved, in particular as a constraint that has to be met (T 641/00, T 172/03).

The expression “technical problem” should be interpreted broadly; it does not necessarily imply that the technical solution is an improvement to the prior art. Thus the problem could be simply to seek an alternative to a known device or process which provides the same or similar effects or is more cost-effective.

Sometimes, the objective technical problem must be regarded as an aggregation of a plurality of “partial problems”. This is the case where there is no technical effect achieved by all the distinguishing features taken in combination, but rather a plurality of partial problems is independently solved by different sets of distinguishing features (T 389/86).

Stage 3 ► Could-would approach

In the third stage the question to be answered is whether there is any teaching in the

prior art as a whole that would (not simply could, but would) have prompted the skilled person, faced with the objective technical problem, to modify or adapt the closest prior art while taking account of that teaching, thereby arriving at something falling within the terms of the claims, and thus achieving what the invention achieves. Even an implicit prompting or implicitly recognisable incentive is sufficient to show that the skilled person would have combined the elements from the prior art (T 257/98).

In relation to the could-would approach, the following is the order of questions that would assist the skilled person to determine whether the invention is obvious.⁸⁾

- (i) Would the skilled person take into account D2 when starting off from the prior art disclosure (D1), which contains the closest similarity?

This question relates to what reference the skilled person would consider when faced with an objective technical problem. In order to answer this question, the following factors must be considered: what constitutes the common general knowledge of that skilled person (T 426/88, T 537/90, T 766/91, T 939/92)? Does D2 fall under the same technical field as the closest prior art (T 176/84, T 195/84)? In case D2 falls under a different technical field, is there an incentive to prompt the skilled person to D2 (T 560/89, T 955/90, T 454/87)?

- (ii) Could the skilled person find a solution from D2?

What is of interest is the level of understanding of D2 by the skilled person? The problem is whether the technical effect aimed by the skilled person as disclosed in D2 and the types of technical feature contributing to the technical effect will be acknowledged.

- (iii) Can the solution sought by the skilled person in D2 be applied to D1?

Under the assumption that the skilled person considers D2 and recognizes that D2 discloses a solution for the objective technical problem, it would be necessary to determine whether such teaching can be applied to D1. In this regard, the following issues may be taken into account: Is there a technical hurdle in applying the teaching of D2 to D1 by the skilled person (T 324/93, T 869/03)? Would the skilled person require more than a routine test and a standard procedure in transferring the technical feature of D2 to D1 (T 1449/06, T 841/93, T 506/06, T 556/07)?

8) Thomas M. Leber, The could/would ► problem in the problem ► solution approach: a proposal to solve this issue in a systematic manner, *European Intellectual Property Review* (2010), 32(5) as cited in *supra* 7.

If the answer to all of the above questions is yes, then the skilled person would attempt to combine the teachings of D1 and D2 to arrive at a particular solution for the invention thereby denying its inventive step. However, if at least one of the answers to the above questions is no, the subject invention would be found to have inventive step over D1 and D2 as could-would transfer is not established.

7. Combination vs. juxtaposition or aggregation

The invention claimed must normally be considered as a whole. When a claim consists of a “combination of features”, it is not correct to argue that the separate features of the combination taken by themselves are known or obvious and that “therefore” the whole subject-matter claimed is obvious. However, where the claim is merely an “aggregation or juxtaposition of features” and not a true combination, it is enough to show that the individual features are obvious to prove that the aggregation of features does not involve an inventive step. A set of technical features is regarded as a combination of features if the functional interaction between the features achieves a combined technical effect which is different from, e.g. greater than, the sum of the technical effects of the individual features. In other words, the interactions of the individual features must produce a synergistic effect. If no such synergistic effect exists, there is no more than a mere aggregation of features (T 389/86 and T 204/06).

Aside from this, the decisions from the EPO demonstrate that an attention must be paid to “recognition of a problem” as shown below.⁹⁾

“Discovery of a problem not recognized before can become patentable despite the claimed solution being non-progressive in retrospect and obvious (T 2/83).”

The problem within such type of invention cannot be confirmed without ex post facto consideration, it is outside the realms of the “problem and solution” mechanism in determining its inventive step.

As such, where the recognition of a problem is deemed an important contribution to the patent achievement, such invention will have inventive step.

9) Hereinafter from the book entitled “Recent European Patent” by Paterson, Gerald as translated by Jong Hyo Park, Korea Institute of Patent Information (2009), 700.

On the contrary, "if a new problem could be introduced by a person in the technical field, such introduction does not translate to any contribution the patent achievement in the subject solution. Such is the case when the problem is composed merely of removal of deficiency that arise in using the subject (T 109/82)."

Examination Guidelines of USPTO

MPEP 2143 Examples of Basic Requirements of a *Prima Facie* Case of Obviousness
Following are 7 examples of obviousness arranged by USPTO in view of the KSR decision.^{10), 11)}

1. First, combining prior art elements according to known methods to yield predictable results. To reject a claim based on this rationale, it must be found that a multiple prior art references include each element claimed with the only difference between the claimed invention and the prior art being the lack of actual combination of the elements in a single prior art reference; that one of ordinary skill in the art could have combined the elements as claimed by known methods; that one of ordinary skill in the art would have recognized that the results of the combination were predictable; and those elements, when separated, could perform the same function.
2. Second, a simple substitution of one known element for another to obtain predictable results. To reject a claim based on this rationale, it must be found that the prior art only differed from the claimed device by the substitution of some components with other components; and that they were known in the art; that one of ordinary skill in the art could have substituted one known element for another, and the results of the substitution would have been predictable.

10) Online: USPTO <<http://www.uspto.gov/web/offices/pac/mpep/s2143.html>> (Last accessed: March 16, 2016)

11) Translation hereinafter is from an article written by Seung Jae Choi, "A Study on Improvement on Inventiveness Examination Standards" A Study on the Special Law Vol. 12, Judicial Development Foundation (2015), 377~380; and an article written by Hun Lee, "A Study on the US Inventive Step Standards", Patent Court Working Study Group Presentation, 29~33.

3. Third, the use of known technique to improve similar devices (methods or products) in the same way. To reject a claim based on this rationale, it must be found that the prior art contained a “base” invention upon which the claimed invention can be seen as an “improvement;” and that one of ordinary skill in the art could have applied the known “improvement” technique in the same way to the “base” invention.
4. Fourth, applying a known technique to a known device (method or product) ready for improvement to yield predictable results. To reject a claim based on this rationale, it must be found that the prior art contained a “base” invention containing a known technique; and that one of ordinary skill in the art would have recognized that applying the known technique would have yielded predictable results and resulted in an improved system.
5. Fifth, “obvious to try”, where choosing from a finite number of identified, predictable solutions, with a reasonable expectation of success. To reject a claim based on this rationale, it must be found that at the time of the invention, there had been a recognized problem; that there had been a finite number of identified, predictable potential solutions; and that one of ordinary skill in the art could have pursued the known potential solutions with a reasonable expectation of success.
6. Sixth, known work in one field of endeavor may prompt variations of it for use in either the same field or a different one based on design incentives or other market forces if the variations are predictable to one of ordinary skill in the art. To reject a claim based on this rationale, it must be found that the scope and content of the prior art, whether in the same field of endeavor as that of the applicant’s invention or a different field of endeavor, included a similar or analogous invention; that there were design incentives or market forces which would have prompted adaptation of the known invention; and that the claimed variation would have been predictable to one of ordinary skill in the art.
7. Seventh, some teaching, suggestion, or motivation in the prior art that would have led one of ordinary skill to modify the prior art reference or to combine prior art reference teachings to arrive at the claimed invention.

B. Common Elements of the Guidelines

As can be seen above, the examination guidelines of Korea and Japan are very similar as those of Europe and the US are similar in the critical components. The common factors of inventive step analysis are enumerated below.

- (i) Identification of the claimed invention
 - (ii) Identification of the primary prior art
 - (iii) Lifting commonalities and differences in the claimed invention and the primary prior art
 - (iv) Analysis of the ease of overcoming such difference
 - examine whether or not an element exists to relieve the difference with secondary prior art
 - examine negative or positive elements relating to combining primary prior art and secondary prior art
- Positive elements: close relevance of technical fields, close similarity of a problem to be solved, close similarity of a function, work, or operation, hint taught in the prior art, simple combination of prior art references, selecting an optimal material from publicly known materials in order to achieve a specific object, optimizing a numerical value range, replacing with equivalents, a workshop modification of a design in applying a specific technology, partially removing technical features resulting in lowered function or quality, simple change of use/limitation, common general application of a known art, degenerative invention, etc.
 - Negative elements: advantageous effect compared to the cited invention, a secondary prior art that contradicts when applied to the primary prior art, a secondary prior art resulting in non-functioning of the primary prior art when applied thereto, a secondary prior art that cannot be selected where the primary prior art excludes its application, a secondary prior art which a person skilled in the art would not apply due to a publication disclosing that the secondary prior art is inferior to the other embodiment in respect of operations and effects of the prior art, commercial success, a solution to a technical problem that has not been solved for a long time, overcoming a technical prejudice, failure by other person, discovery of a new problem or a cause, etc.

5. A Proposal for Adjusting the Inventive Step Standard

A. Proposals so far

There has been following proposals so far in an attempt to resolve the issues identified above.

(i) In order to reject inventive step of a patent invention, there must be a reasonable and sufficient logic inferred on the process of arriving at the patent invention from prior art references. Sufficient argument is necessary under an adversarial system where the petitioner claiming invalidity of a patent proffers a primary prior art (closest prior art), and then allege in detail the process of arriving at the patent invention through combining a secondary prior art thereby inducing the patentee to substantiate its claimed invention. The court then has the obligation to offer sufficient objective grounds supporting the decision that the claimed invention can easily be derived from prior art.^{12), 13)} This practice of starting the inventive step analysis from a primary prior art is common in the examination guidelines of Korea, Europe, and Japan.

(ii) Factual testing of materials for inventive analysis must be strengthened. In particular, relating to the technical skills of the POSA, CAFC opined that the technical skills of the ordinary skilled person must be tested based on the education level of the inventor, technical problem faced in the relevant technical field, solutions to the problem proffered in prior art references, the speed at which the innovation occurs in the relevant technical field, technical complexity in the relevant technical field, education level of the skilled person active in the relevant technical field, etc. examining them diligently.^{14), 15)}

12) Hun Lee, "A Study on the US Inventive Step Standards", Patent Court Working Study Group March 2015 Presentation 92-93.

13) In the same vein, Seung Jae Choi, "A Study on Improvement on Inventive Step Examination Standards", A Study on the Special Law Vol. 12 (2015), Special Litigation Working Study Group 412.

14) *Supra* 12 at p.93-94.

15) In the same vein, Dong Soo Han, "How to Determine the Inventive Step of Inventions Case", Jurisdiction Vol.12 (2010), 270~272; Hae Eun Shin, "In Search of Reasonable Standards for Inventive Step Determination", A Study on Patent Litigation Vol. 5 (Dec. 2010) 131~134; Young Joo Hwang, "Comparison of the Non-Obviousness Standard", Festschrift in Celebration of the 10th Anniversary of the Patent Court, 145.

(iii) In relation to determining the inventive step, the so-called secondary element must be proactively analyzed. When difficulty of composition and existence of marked effectiveness are not clear, the secondary element such as commercial success, long-felt need for a solution to a problem, or failure of others can be considered as a reference point in deducing the difficulty of composition and existence of marked effectiveness. Moreover, given that the technical level of the POSA is closely related to most of the secondary elements as indicated above, the secondary element should be taken into consideration in determining the inventive step whenever appropriate.^{16), 17)}

The above proposals are worth paying attention to and should continue to be taken into account in practice.

B. Additional Proposal

In the practical perspective, the above proposals can be further specified as below. A large part of this proposal is derived from the jurisprudence contained in Supreme Court decisions, including Cases 1 and 2.

First, as shown in the table below, each element of the claimed invention is correlated to those of prior art references, namely, “Elements A and B” are reflected in “Elements a and b” of Prior Art 1; “Element C” is reflected in “Element c” of Prior Art 2; “Element D” is reflected in “Element d” of Prior Art 1; and “Element E” is reflected in “Element e” of Prior Art 3. Thereafter, without

Claimed Invention	Prior Art 1	Prior Art 2	Prior Art 3
A	a	a	
B	b	b	b
C		c	c
D	d		
E			e
	f		
	g		
		h	
			i

¹⁶⁾ *Supra* 12 at 94.

¹⁷⁾ *Supra* 15, Dong Soo Han at 272~273; Hae Eun Shin at 129~131.

clarifying which of prior art references are the primary prior art reference to which the other references are combined, generally conclude that combination of Prior Arts 1 to 3 will arrive at the claimed invention. The proposal attempts to avoid this tradition method.

Unless there is some special circumstance to conclude that the POSA knew of the claimed invention, it is unnatural to examine by simply extracting elements that corresponds to the claimed invention (Elements a, b, and d from Prior Art 1; Element c from Prior Art 2; and Element e from Prior art 3) and then combining them. Rather, it would be natural for the POSA, who is not knowledgeable about the claimed invention, to examine each of prior art references as a single invention and consider any combination thereof.

In the same vein, when the POSA specifically combines prior art references, it is unnatural to combine particular elements lifted from prior art references centered around nothing, but rather it would be natural to start off from one prior art reference (primary prior art) as a whole and then combine the whole or particular element(s) from another prior art reference (secondary prior art).

That is, the POSA would not just examine "Elements a, b, and c" of Prior Art 1 against corresponding elements of the claimed invention, but would examine all elements "Elements a, b, d, f, g" of Prior Art 1 and try to combine with Prior Art 2 containing "Elements c, e, h, i" which are lacking in Prior Art 1. If in order to combine with Element c of Prior Art 2 Element f of Prior Art 1 needs to be eliminated, unless there is a justifiable reason for such elimination, such combination would not be considered as easy. In the instance of the traditional method of examination, if only Elements a, b, and d of Prior Art 1 that correspond to the claimed invention were combined, there is a risk of overlooking at the conflict between Element f of Prior Art 1 and Element c of Prior Art 2.

In order to avoid such conflict between Elements c and f, Prior Art 2 may be selected as the primary prior art and then combine Elements d and e of Prior Arts 1 and 3, in which case, there may not be any obstructive factors for combination. As such, depending on what prior art reference is selected as the primary prior art, the elements or the context of combination may change thereby changing the incentive or obstruction for combination ultimately changing the conclusion on inventive step. Accordingly, petitioner, who owes the duty to allege lack of inventive step and discharge the burden of proof thereof, must be made to clearly allege the incentive or the form of combination

in detail. In so doing, patentee in return can appropriately defend its case by claiming obstructive factors in response thereto.

The proposed method suggests that not only during examination but in the judgment itself, it is recommended that in the judgment, the primary prior art be selected and compared against the patent invention as a whole and arrive at any difference between the two, and then examine a secondary prior art to overcome such difference in a logical fashion. The traditional method of examination gives the impression of hindsight analysis going against the current of the general flow of invention by examining a number of prior art references concurrently enumerating elements from them that match elements of the claimed invention.

Second, even if the elements of the claimed invention are abstract, the elements of prior art references should not likewise be combined in abstract terms. In order to compare the abstract element of the claimed invention with the specific corresponding elements of a prior art reference, it is necessary to compare the elements of a prior art reference in abstract terms to the extent of the abstract features extracted from the claimed invention. However, such abstracting of specific elements of the prior art reference should stop at comparison stage and should not extend to the combination stage. That is, while it is necessary to abstract Elements a, b, c, and d to correspond to the abstract features of Elements A, B, C, and D of the claimed invention to determine correspondence with Elements a, b, and d of Prior Art 1 and Element c of Prior Art 2 with Elements A, B, C, and D of the claimed invention, but when combining Prior Art 2 with Prior Art 1, Element c of Prior Art 2 should be combined with Elements a, b, and d of Prior Art 1 in the state as disclosed therein. It is unnatural for the POSA, without the knowledge of the claimed invention, to combine the elements of prior art references in abstract with the abstract features of the claimed invention, rather it would be natural to examine the combination elements as disclosed. It should be noted; however, that this does not mean that the POSA is prohibited from making a simple design change while combining prior art references.

The court of first instance in Case 2 had considered “attachment means” of Cited Invention 2 as corresponding to “gasket” of the claimed invention “that has the function of a gasket” conferring an abstract idea to Cited Invention 2 thereby concluding that the POSA could easily conceive adding an electrical conductive layer of Cited Invention 4 to the “attachment means” made of an elastic material to confer sturdiness. The court of first instance abstracted “attachment means”

disclosed in Cited Invention 2 as “that having the function of a gasket” of the claimed invention while eliminating all other specific features disclosed about “attachment means” of Cited Invention 2. However, “attachment means” as disclosed in Cited Invention 2 can be manufactured with an elastic material for an elastic combination and accordingly has the weakness of “separation due to reshaping of the elastic”. As such, as long as the manufacture using an elastic material is disclosed under Cited Invention 2 it would be natural for the POSA to manufacture attachment means using the method disclosed in Cited Invention 2 if attachment means were to be manufactured using an elastic material. Therefore, when the POSA considers manufacture attachment means using an elastic material as disclosed in Cited Invention 2, it must be examined whether or not the POSA could easily conceive the notion of adding “an electrical conductive layer” of Cited Invention 4 in line with the above process. In contrast, the addition of a strengthening layer must not be concluded as a mere common innovation that the POSA can easily conceive based on the abstract notion that attachment means of Cited Invention 2 is a mere “part that has the function of a gasket”.

Third, those that are claimed to be the incentive for combining prior art references must be specifically examined for such inducement.

According to the examination guidelines of Korea and Japan, inventive step will be denied for having the motivation to combine where there is a hint of prior art combination, where the technical fields of prior art references are related, where there is a commonality in the problem of prior art references, where there is functional/application commonality in the prior art reference, etc.

In the traditional practice, there was a tendency to quickly recognize combination of prior art references when the technical fields of the prior art references are deemed to be related. However, the above factors, including the relatedness of technical fields, must be considered as a whole to determine whether or not there is a “sufficient” motivation to combine, and it should not come to a quick conclusion that motivation to combine exists when any one of the factors is recognized. Especially, the relationship of technical fields often functions as a *de minimus* condition for combination barring any special circumstances and it is rarely a sole condition.

When determining whether or not the problem and function/application of prior art references are in common, the problem and function/application of prior art references should not be considered overtly abstract or as a generic

concept thereby concluding that they are common. Also, even if there is a commonality among the problem and function/application of prior art references, it is possible that it would be difficult to lead to the claimed invention for causes such as numerous possibilities of combination or partial difference in the problem and function/application thereby limiting a certain combination. As such, it would be necessary to examine whether or not the above motivation specifically leads to combination with the claimed invention. Same applies when examining based on the standard offered by the Supreme Court, that is, the combined effect of the technical level, knowledge, the fundamental technical problem in the area, development trends, industry demand, etc. at the time of the application of the subject invention.

In relation to Case 2, although Cited Inventions 2 and 4 both contain the element of a “gasket” and its function/application; however, they are different in terms of the form and the method of engagement (elastic engagement), etc. thereby unable to lead to the structure disclosed in the claimed invention. This is a case of limiting the combination for reason of difference in the function/application.

As for Case 1, while the general problem of diversifying the key button provides a motivation to combine with Cited Inventions 2 and 4, such fundamental problem is highly abstract and only suggests combination of the key button of the claimed invention with other methods and does not specifically lead to the key button of the claimed invention.

Fourth, in the event the claimed invention is considered a mere aggregate invention (denoting a subordinate concept to a combination invention as defined by the below examination guidelines), the inventive step will be denied even if there is no special motivation to combine. It is merely an ordinary expression of innovation by the POSA.

The Examination Guidelines of KIPO provides that in the case where “the claims of the combination invention merely ‘enumerates (lists) the technical features or a simple combination (simple collection)’ , which cannot be recognized as a technically meaningful combination, each technical feature would be considered obvious thereby denying inventive step of the combination invention unless other evidence exists to support inventive step”.¹⁸⁾

18) 3317, Example 1 of the Guidelines provides that where “the claimed invention is similar to the

The Examination Guidelines of JPO provides that “a simple aggregation of prior art references is when the specific elements of an invention are each disclosed and no relationship exists in terms of function or application. When an invention is a simple aggregation of each feature, such invention is within the scope of an ordinary innovation in the relevant field. A simple aggregation of prior art references would act to reject inventive step. Also, if the primary prior art teaches a combination of prior art references it would act as an important factor to deny inventive step”.¹⁹⁾

The Examination Guidelines of EPO provides that “a claimed invention should be examined as a whole. Where the feature of the invention is combination, it is not advisable to conclude that the entire invention lacks inventive step for the reason that each feature is well-known or obvious. However, where the invention is not more than an aggregation of each feature and not a meaningful combination, then it would be sufficient to establish that each element is obvious to conclude that the combination lacks inventive step. A set of technical features is regarded as a combination of features if the functional interaction between the features achieves a combined technical effect which is different from, e.g. greater than, the sum of the technical effects of the individual features. In other words, the interactions of the individual features must produce a synergistic effect. If no such synergistic effect exists, there is no more than a mere aggregation of features (T 389/86 and T 204/06)”.

cited invention 1 except for a servo motor modified from a hydraulic actuator of cited invention 1 and a bending means described in cited invention 2 and substituted for the spindle of cited invention 1. In this case, if the modification or substitution of the elements does not lead to structural difficulties and the functional effect of new elements is not regarded as greater than the summed effects of the cited invention 1 and the cited invention 2, the claimed invention falls within an aggregation, and is therefore denied inventive step. Example 2 of the Guidelines further provides that “the claimed invention corresponds to an aggregation of an ordinary injection molding machine disclosed in cited invention 1, a vacuum chamber disclosed in cited invention 2, and a mold fastening system disclosed in cited invention 3, wherein the vacuum chamber enables injection molding to be performed in vacuum and the mold fastening system facilitates work convenience. In this case, if the combination of the elements does not lead to particular difficulties, nor does the functional effect result in any remarkable difference, the aggregation is considered to be obvious to a person skilled in the art, thereby arriving at the claimed invention.

19) As a specific example, “it is mere aggregation of prior art to attach a well-known windbreak cover member and a well-known tool storage means to a gondola apparatus for working at an outward walls of a building comprising a well-known lift means A”.

The Examination Guidelines of USPTO provides that “combining prior art elements according to known methods to yield predictable results. To reject a claim based on this rationale, it must be found that a multiple prior art references include each element claimed with the only difference between the claimed invention and the prior art being the lack of actual combination of the elements in a single prior art reference; that one of ordinary skill in the art could have combined the elements as claimed by known methods; that one of ordinary skill in the art would have recognized that the results of the combination were predictable”.²⁰⁾

Accordingly, it is necessary to distinguish whether or not a claimed invention is a mere aggregation invention or a meaningful combination invention. As pointed out in common in the above examination guidelines, the focus of examination should be on the relationship of function or application of each element of the claimed invention.

Fifth, factors obstructing the combination should be sufficiently examined. For example, where there is unexpected effects from combination of prior art references, where the prior art references teach away combination thereof, where the combination of prior art references contradicts the objective of the primary prior art or renders it to not function properly, etc.

Case 1 pointed out that adding the functional keys to the cover where the window display of Cited Invention 2 is located contradicts the technical problem of enlarging the window display. This is a case of combination of prior art references contradicting the objective of the primary prior art.

Case 2 pointed out that it would be difficult to expect the combination of an additional layer to the attachment means of Cited Invention 2 due to the

20) As a specific example, the Guideline provides “*Anderson’s Black Rock, Inc. v. Pavement Salvage Co.*: where a “Anderson’s Black Rock, Inc. v. Pavement Salvage Co. paving machine which combined several well-known elements onto a single chassis. Standard prior art paving machines typically combined equipment for spreading and shaping asphalt onto a single chassis. The patent claim included the well-known element of a radiant-heat burner attached to the side of the paver for the purpose of preventing cold joints during continuous strip paving. The prior art used radiant heat for softening the asphalt to make patches, but did not use radiant heat burners to achieve continuous strip paving. The Court concluded that “[t]he convenience of putting the burner together with the other elements in one machine, though perhaps a matter of great convenience, did not produce a ‘new’ or ‘different function’” and that to those skilled in the art the use of the old elements in combination would have been obvious” (as recited in *Supra* 12 at 29-30).

weaknesses in structure and the method of combination. This is a case of combination of prior art references rendering the primary prior art to not function properly.

Discovery of obstructive factors is closely related to the first and the second proposals. Unlike the traditional method which combines the elements corresponding to the claimed invention extracted and then abstracted, the invention as a whole must be specifically combined in order to not miss any obstructive factors noted above.

The conflict with the problem of Cited Invention 2, which acted as an obstructive factor in Case 1 would have been difficult to find if only the corresponding elements were lifted from Cited Invention 2 or the combination of prior art references were examined in abstract term.

The structure and the method of combination of the attachment means of Cited Invention 2, which acted as an obstructive factor in Case 2 would have been difficult to find if the combination of prior art references was not specifically examined.

In particular, it is highly likely that one would inevitably face obstructive factors, even without a party's allegation, when an attempt is made to combine prior art references as specifically disclosed without abstracting the elements of prior art references, and it is something that the judiciary may consider as counterevidence *ex officio*. The Supreme Court in Case 2 pointed out the obstructive factor without any one party's allegation.

6. Conclusion

Through a variety of cases, proposals will be raised that purports to specify the inventive standards, and in the process of active discussions regarding the proposals, a reasonable and anticipatory inventive standards would be established. This article ends with an expectation that good proposals would be raised in abundance that can fill in the gaps of the current proposal contained in this article.

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Presumption on Damages Based on Infringer's Profit

Boohan KIM*

I. Preface

1. Introduction

Article 128 of the Patent Act, as a special provision regarding the scope of compensation for tort damages in accordance with the Civil Act, is a provision on the presumption of the amount of damages and so on. According to Article 30 of the Utility Model Act, the above provision applies *mutatis mutandis* to registered utility models. Article 67 of the Trademark Act, Article 115 of the Design Protection Act, Article 125 of the Copyright Act, and Article 14-2 of the Unfair Competition Prevention and Trade Secret Protection Act are provisions having a similar purpose. In the following, Article 128 of the Patent Act, especially, Article 128, Paragraph 4 of the Patent Act as amended to be Act No. 14112 on March 29, 2016 and effective from June 30, 2016, is mainly discussed. Also, when necessary, provisions before the amendment or other regulations are discussed.

2. Legal provisions

- The Patent Act as amended to be Act No. 14112 on March 29, 2016, and effective from June 30, 2016

Article 128 (Right to claim compensation for losses)

(1) A patentee or exclusive licensee may claim compensation for losses inflicted by infringement against a person who has intentionally or negligently infringed his/her patent or an exclusive license.

*Judge, the Patent Court of Korea.

(2) Where the infringer has sold infringing products to third parties, the amount of losses referred to in paragraph (1) that the patentee or exclusive licensee has sustained may be calculated by multiplying the quantity of products thus sold by the profit per unit of the products that the patentee or the exclusive licensee could have sold without the infringement.

(3) The amount of losses referred to in paragraph (2) shall not exceed the amount calculated by multiplying the quantity of products that the patentee or exclusive licensee could have produced, minus the quantity of products actually sold, by the profit per unit: Provided that, if the patentee or exclusive licensee could not sell products due to any cause or event other than the infringement, quantity of the products that could not be sold due to such a cause or event other than the infringement shall be subtracted therefrom.

(4) Where a patentee or exclusive licensee claims compensation for losses pursuant to paragraph (1), the profit that the infringer has gained due to the infringement shall be presumed to be the damages that the patentee or exclusive licensee has sustained.

(5) Where a patentee or exclusive licensee claims compensation for losses pursuant to paragraph (1), the patentee or exclusive licensee may claim the amount that he/she would usually be entitled to receive for executing the patented invention as the losses that he/she have sustained.

(6) Notwithstanding paragraph (5), the amount of losses exceeding the amount specified in the same paragraph may also be claimed as damages. In such cases, the court may consider whether there was no intentional conduct or gross negligence on the person who infringed the patent or exclusive license in determining the damages.

(7) If the court finds in legal proceedings on infringement of a patent or exclusive license that losses have been incurred due to the infringement, and if it is extremely difficult to prove the facts necessary for evidencing the losses in light of the nature of the relevant facts, the court may award reasonable damages based on the gist of the entire arguments and the results of examination of the

evidence, notwithstanding paragraphs (2) through (6).

- The Patent Act as amended to be Act No. 12753 on June 11, 2014, and effective from January 1, 2015

Article 128 (Presumption of Losses, etc.)

(3) Where a patentee or exclusive licensee claims compensation for losses inflicted by a person who has intentionally or negligently infringed the patent or exclusive license, the profit that the infringer has gained due to the infringement shall be presumed as being the losses that the patentee or exclusive licensee has sustained.

- The Patent Act as amended to be Act No. 6411 on February 3, 2001, and effective from July 1, 2001

Article 128 (Presumption, etc. of Amount of Losses)

(2) Where a patentee or exclusive licensee claims compensation for losses from a person who has intentionally or negligently infringed a patent right or exclusive license, the profit gained by the infringer as a result of the infringement shall be presumed to be the amount of damages suffered by the patentee or exclusive licensee.

- The Patent Act as amended to be Act No. 4207 on January 13, 1990, and effective from September 1, 1990

Article 128 (Presumption, etc. of Amount of Losses)

(1) Where a patentee or exclusive licensee claims compensation for losses from a person who has intentionally or negligently infringed a patent right or exclusive license, the profit gained by the infringer as a result of the infringement shall be presumed to be the amount of damages suffered by the patentee or exclusive licensee.

3. The nature of presumption

According to Article 128, Paragraph 4 of the Patent Act, the profit that the infringer has gained is presumed to be the damages that the patentee, etc. has

sustained, which is a legal presumption. The nature of legal presumption may be explained according to various theories such as the legal factual presumption theory, temporary truth theory, loss evaluation theory, etc.¹⁾

According to any opinion, when an infringer proves that the patent owner's actual damage is less than the infringer's profit, rebuttal of the whole of, or a part of, the presumption should be allowed.

II. The scope of presumption, application requirements, rebuttal of presumption

1. The scope of presumption

A. Whether to presume occurrence of damages

Whether the occurrence of damages itself is presumed by Article 128, Paragraph 4 of the Patent Act is a controversial issue.

In this connection, Supreme Court Decision No. 2006Da1831 rendered on October 2, 2006, (Photosensitive Drum Case) stated that, "The profit referred to in Article 128, Paragraph 2 of the Patent Act prescribing the presumption of the amount of damages due to infringement of patent rights, etc. is the profit obtained by an infringer due to the infringement, which has no special limitation. However, this provision merely prescribes a method of evaluating the amount of damages that the patentee has sustained and is not applicable to a case where the patentee has no loss despite the infringement. Nevertheless, in regard to a degree of asserting and proving the occurrence of damages, it is sufficient to assert and prove that there is a concern or probability of occurrence of damages due to a competitive business relationship and so on."

The above decision also stated that, "The plaintiff, as a patentee of the claim 25 and 26 inventions of this case, has manufactured abroad photosensitive drums, which are laser printer parts and a patented product of this case, and

1) Sangjo JUNG, Sangsoo PARK, Co-edited, *The Patent Act Annotation II*, Pakyoungsa, 2010, 218-219 (the part written by Sangsoo PARK) and 164-167; the nature of Article 128, Paragraph 4 of the Patent Act (Article 128, Paragraph 2 of the former Patent Act) includes a profit restitution theory, a proof convenience theory, a loss evaluation theory, and an exemplary loss concept definition theory, and the provision is a standard for evaluating the amount of damages.

supplied them to laser printer manufacturers, so that the laser printers and cartridges equipped with the plaintiff's patented product have been sold domestically as well as in the U.S. The defendant, without the plaintiff's permission, produced the photosensitive drums domestically by working the claim 25 and 26 inventions of this case, thereby infringing the patent right of the plaintiff and obtaining profit by selling the infringed products domestically or exporting them to the U.S. Also, the defendant's infringing products seem to have the same technical characteristics and to be completely compatible with the plaintiff's patented product, and as a result, they compete with each other in the domestic or U.S. market directly or indirectly through cartridges adopting the plaintiff's patented product. Even considering that some of the defendant's infringing products were exported to the U.S. and that the plaintiff's patented products were genuine products certified by the laser printer manufacturers, while the defendant's infringing products were not certified, it is admitted that the plaintiff still has a concern or probability of damages caused by the defendant's infringement acts of this case. Thus, since it may not be seen otherwise even though there is no asserting and proving that the damages of the plaintiff are occurred in proportion to the profit of the defendant according to the infringement, the original decision admitting the entire amount of the defendant's profit as the amount of plaintiff's damages is right."

In connection with trademarks, Supreme Court Decision No. 96Da43119 rendered on September 12, 1997 (SUNX Case) stated that, "The provision of Article 67, Paragraph 1 of the Trademark Act merely prescribes presuming the profit gained by the infringer as the amount of damages suffered by the owner of a trademark right, etc. when the infringer of the right has earned the profit, considering the difficulty of proving the amount of losses when the owner of the trademark right, etc. claims compensation for the damages caused by the infringement. Accordingly, the provision should not be seen to have a purpose of presuming the occurrence of damages when a trademark right is infringed. Thus, in order to be covered by the above provision, a trademark owner is required to assert and prove that he or she uses the registered trademark as a matter of business, and that the trademark right is actually damaged by the infringement of the trademark right. In consideration of the purpose of the provision above, however, regarding a degree of asserting and proving the occurrence of such damages, it is sufficient to assert and prove the existence of a

concern or probability of the occurrence of damages. Thus, when the trademark owner proves that he or she operates the same type of business as the infringer's business, it may be presumed that the trademark owner has suffered business damages due to the infringement of the trademark right unless there are special circumstances."

Supreme Court Decision No. 2002Da33175 rendered on October 11, 2002 (PAPAYA Towel Case) stated that, "Article 67, Paragraph 2, of the former Trademark Act (prior to the amended Act No. 6414 of February 3, 2001), like Paragraph 1 of the same article, is a provision having a purpose of reducing the sufferer's burden of asserting and proving damages when claiming compensation for tort damages, but not having a purpose of admitting that the infringer is responsible for the compensation for losses even when it is clear that no damages occurred. In the case where a trademark owner claims compensation for losses suffered by infringement against an infringer in accordance with Article 67, Paragraph 2 of the same Act, the trademark owner, etc. does not need to specifically assert and prove the occurrence of damages and it is sufficient to assert and prove the infringement of rights and the amount that the trademark owner may typically receive. However, it is reasonable to interpret the provision that the infringer also may assert and prove that no damages occurred and if so the infringer may be exempted from the compensation for losses. ...It is understandable to be appropriate in conclusion that the original court dismissed the plaintiff's claim on the grounds that, i) the plaintiff does not manufacture or sell towels under the trademark of this case, or ii) an exclusive license is established and thus no damages have occurred to the plaintiff other than the exclusive licensee, due to the defendant's use of the trademark of this case within the scope thereof."

Regarding the reason why the interpretation according to the Patent Act or the Copyright Act is different from the interpretation according to the Trademark Act, there is an opinion as follows.²⁾ This is because the Korean legal system evaluates a trademark right to be different from a patent or copyright right. The value of a trademark right, even in the case where considerable efforts and investment have been made on the creation of a trademark, is based on the

2) Sungsoo PARK, *The Legal Nature of Article 67, Paragraph 2 of the Former Trademark Act*, Selected Hundred Information Act Precedents, Pakyoungsa, 2006, 240-242.

trademark owner's credit reflected in a trademark as a source indication or a business indication. In the case of a patent invention and a copyright work, it can be said that the value lies in the development of technology and intellectual creation. It is very suggestive that the Supreme Court of Japan stated in Decision No. *hei* 9. 3. 11. (Supreme Court Civil Precedent Collection vol. 51, sec. 3, 1055) that, "While a patent right or a utility model right is related to the creative invention or device, the rights themselves having property values, the property value of a trademark right does not lie in a trademark itself that is formed by combining a letter or a figure. The property value of a trademark right can be obtained only when business credit is attached to the trademark." The most problematic matter is that the trademark owner does not use his or her own trademark right. The above decision admitted an infringer's ground for defense in a case in which a trademark owner does not actually use a registered trademark. In the meantime, a trademark should not be carelessly considered to be a non-use trademark (1) when the trademark is used in an advertisement to sufficiently perform an advertisement and promotion function, though not used by being attached to a product, and (2) when the trademark was already used for a considerable period in the past enough to reflect the trademark owner's credit or customer attraction power on the trademark, but not used for the infringement period only.

It can be said that, even when a trademark owner does not operate a business by using his/her trademark, the trademark owner is harmed under special circumstances such as cases that the value of a trademark right itself is decreased or that allowing a license and receiving a royalty became impossible as other people infringed the trademark right.³⁾ The above Decision No. *hei* 9. 3. 11 of the Supreme Court of Japan also stated that, "The trademark right has its own feature in protecting the business credit of a trademark owner and simultaneously promoting protection of common customers by maintaining a distribution order of products, through a source identification function of a trademark, which is different from a patent right or a utility model right having the property value in itself. Even when a third party uses a mark similar to a

3) Yongsun MOON, *The Purpose of Article 62, Paragraph 2 of the Former Trademark Act Regarding Claiming Compensation for Damage Due To Infringement of Trademark Right*, Supreme Court Precedents Explanation vol. 42, Court Library, 2003, 185-188.

registered trademark by attaching the mark on products manufactured and sold by the third party, in the case in which no customer attraction power is admitted for the registered trademark and the use of the mark similar to the registered trademark clearly does not contribute to the sales of the third party's products, it is deemed that there is even no damage corresponding to a reasonable amount of royalty that could have been obtained by the trademark owner. Furthermore, the trademark of the plaintiff of this case has not been used at all in the Shikoku area and thus no reputation has been established among common customers, and no business credit has been reflected in the trademark and thus customer attraction hardly exists. ... Also, since the sales of the defendant's product have been totally based on the famousness of the plaintiff's chain, the advertisement/promotion or the quality of product, and the customer attraction of other mark of the defendant (not relevant to the trademark of this case), it may be admitted that no damages have occurred in the sales of products that the plaintiff sold due to the defendant's use of the trademark of this case, and further that the plaintiff suffered no damages due to losses of earnings that the plaintiff could have naturally obtained regarding the trademark right of this case. Therefore, the original decision of dismissing the claim for compensation for losses in accordance with Article 38, Paragraph 2, of the Act deems to be appropriate." According to the decision, in some cases where it is proved that, it cannot be admitted that a trademark owner lost a chance to obtain a royalty that could have been received by allowing (licensing) a third party to use of his or her trademark when infringing the trademark (where the argument of non-occurrence of damage is proved), the claim for compensation for losses in accordance with Article 38, Paragraph 2 of the Act (Article 67, Paragraph 2 of the Trademark Act) is not admitted.

Supreme Court Decision Nos. 2007Da22514 and 2007Da22521 rendered on October 29, 2009 (IAS Case) stated that, "The trademark owner has merely used a registered trademark on a product similar to some of the designated goods and did not actually perform any business activity such as manufacturing or selling products, by using the trademark, which are the designated goods themselves or may be seen to be the same as the designated goods based on the generally accepted ideas of trading society. Thus, it is difficult to admit that the business of the trademark owner sustained damages due to the infringement of the trademark right." There is a critical opinion regarding the above decision in that

there is a need to admit a normative damage according to the evaluation theory and in that it is inappropriate to differently treat provisions of the Patent Act and the Trademark Act.⁴⁾

In relation to unfair competition acts, Supreme Court Decision No. 2006Da22722 rendered on November 13, 2008 (NAFS-III Case) stated that, "Article 14-2, Paragraph 2, of the former Unfair Competition Prevention and Trade Secret Protection Act, like Paragraph 1 of the same article, is a provision having a purpose of reducing the sufferer's responsibility for asserting and proving damages in claiming compensation for losses due to an unfair competition act, but not admitting that the infringer is responsible for the compensation for losses even when it is clear that no damages occurred. Thus, it is deemed appropriate that the infringer is exempt from the compensation for losses when it is cleared that no occurrence of damages has occurred to one who is entitled to indicate the trademark, in spite of the unfair competition act. ... If the plaintiff did not perform any business activities such as manufacturing or selling of products with an "NAFS-III" trademark within the territory of Korea, no business losses has been caused accordingly.

In the case related to the infringement of a trademark right after the term of a non-exclusive license for a trademark is terminated, Supreme Court Decision No. 2013Da45037 rendered on October 29, 2015 (Cheflene Case) stated that, "Article 67, Paragraph 5 of the Trademark Act prescribes that 'the court may recognize a reasonable damages based on the gist of the entire arguments and the results of examination of the evidence in a litigation regarding the infringement of a trademark right, if it is found that losses have been incurred but it is extremely difficult to prove a fact needed to prove damages due to the infringement, in light of the nature of the relevant facts. The above article is a provision having a purpose of reducing the sufferer's responsibility for asserting and proving regarding the damages that the trademark owner has sustained when the trademark owner claims compensation for losses due to the infringement of a trademark right considering difficulty of proving such damages, but it has no purpose of presuming the occurrence of damages when there is an infringement of a trademark right. Thus, to be covered by the above provision, the trademark

4) Youngseon CHO, *Infringement of Non-Use Trademark and Compensation for Damage Thereof*, Human Right and Justice, vol. 437, Nov. 2013, Korean Bar Association, 12-17.

owner needs to assert and prove that his or her business has actually sustained damage by the infringement act of the trademark right. However, in view of the purpose of the above provision, the asserting and proving of the existence of a concern or probability of the occurrence of damage is sufficient in a degree of the above asserting and proving the occurrence of damages, so when the trademark owner proved that he or she operates the same type of business as the infringer, unless there are special circumstances, it is factually presumed that the trademark owner has sustained business damages due to the infringement of a trademark right (see Supreme Court Decision No. 96Da43119 rendered on September 12, 1997 and Supreme Court Decision Nos. 2007Da22514 and 2007Da22521 rendered on October 29, 2009). According to the grounds and records of the original decision, it may be seen that (1) the plaintiff is a legal entity who runs business of manufacturing and selling kitchen utensils such as stainless steel products, which is the same type of business as the defendant's, (2) the plaintiff established a non-exclusive license for a trademark of the case of the original decision, has received a trademark royalty, and has maintained a business of providing warranty services (A/S consultation) regarding products subject to the non-exclusive license, and (3) the defendant infringed the trademark right of the plaintiff by selling or distributing imported goods and goods in stock, on which the trademark of this case was attached, from February 1, 2010, to March 29, 2010, after the expiration of the non-exclusive license term, without a procedure such as an agreement on use of a trademark right with the plaintiff. Upon reviewing the above facts based on the present legal principle, it may be factually presumed that the plaintiff has sustained damages due to the defendant's infringement act on the trademark right. Therefore, the defendant is responsible for compensation for losses due to the infringement of the trademark right to the plaintiff."

B. Whether to presume causal relationship

If a causal relationship is not presumed by the provision of presuming the amount of damages, it will result in denying the effectiveness of the above provision. Accordingly, a causal relationship between an infringement act and the occurrence of damages should be presumed by the provision of presuming the amount of damages pursuant to Article 128, Paragraph 4 of the Patent Act.

In a case relating to trademark, Supreme Court Decision No. 91Da23776

rendered on February 25, 1992 (OK Powdered Wasabi Case) stated that, "In accordance with Article 37, Paragraph 2 of the former Trademark Act, when a trademark owner claims compensation for losses against an infringer of a trademark right, in the event that the infringer earns a profit due to the infringement act, the amount of the profit is presumed to be an amount of damages that the trademark owner has sustained. Accordingly, when claiming compensation for losses, the trademark owner needs to prove the profit that the infringer of a trademark right has earned, without having to prove a causal relationship between the infringement act and the occurrence of damages.

2. Right holder's working as application requirements

Regarding the application requirements of Article 128, Paragraph 4 of the Patent Act, whether a right holder who does not work his or her patented invention is entitled to claim compensation for losses against an infringer is a controversial issue. In this regard, there are several theories: a right holder's working necessity theory based on a balance theory about the concept of damages, a market chance loss theory based on the normative damage theory in Germany, and an exclusive technology damaging theory based on which profit according to exclusive possession of a patented invention is damaged in an abstract manner because the essential nature of a patent right is an exclusive right.⁵⁾

Seoul District Court Decision No. 2008Na17757 rendered on February 3, 2009, (Textile Machine Thread Storing and Supplying Apparatus Case, Supreme Court Decision No. 2009Da19925 rendered on October 15, 2009, finalized as an appeal rejection decision) stated that, "'Right holder's working of a patented invention' is not an active requirement for the application of Article 128, Paragraph 2 of the Patent Act."

Regarding the Trademark Act and the Unfair Competition Act, the aforesaid Supreme Court Decision Nos. 2007Da22514 and 2007Da22521 rendered on October 29, 2009, (IAS Case), Supreme Court Decision No. 2006Da22722

5) Sangjo JUNG, Sangsoo PARK, Co-edited, *The Patent Act Annotation II*, Pakyoungsa, 2010, 167-180 (the part written by Sangsoo PARK).

rendered on November 13, 2008, (NAFS-III Case), and Supreme Court Decision No. 2014Da59712 rendered on September 30, 2016, (Crown Jean Case) stated that no damage occurred when there is no business activity using a registered trademark (service mark) or a product mark.

Article 111, Paragraph 1, of the Trademark Act as amended to be Act No. 14033 on February 29, 2016, and effective from September 1, 2016, stipulates use of a registered trademark by a trademark owner as a requirement for claiming statutory damages.⁶⁾

3. Rebuttal of presumption

Not all of the profit that an infringer have earned may be obtained from the infringement of a patent right. The infringer's profit may be obtained from infringer's capital and sales ability, advertisement/promotion, product quality, manufacturing technology, trademark, design, company's credit, systematic sales system, use of characters, etc.

However, the presumption is not rebutted by the above-mentioned grounds. Rather, it can be said that the presumption is rebutted when it is proved that an actual amount of damages of a right holder is less than a presumed amount for the above reasons.

In a case relating to trademark, Supreme Court Decision No. 96Da43119 rendered on September 12, 1997, (SUNX Case) stated that, "The amount of the profit that the infringer has earned may be calculated by a method of multiplying the sales amount of the infringer by the net profit ratio of the trademark owner. In addition, the amount of profit calculated as above, which is the net profit amount of the infringer, is presumed to be the amount of damages

6) Article 111 of the Trademark Act (Claim for Statutory Damages)

(1) An owner of a trademark right or an exclusive licensee may claim compensation for a reasonable amount of damages up to 50 million won from a person who has intentionally or negligently infringed the trademark right or the exclusive license by using a trademark that is identical or similar to the registered trademark that is used by the owner or exclusive licensee for its designated goods or any other goods similar thereto, instead of claiming compensation as specified in Article 109 from such a person. In such cases, the court may recognize a reasonable amount of damages in consideration of all arguments and the result of examination of the evidence.

that the trademark owner has sustained due to the infringement of a trademark right, unless there are special circumstances such as the circumstances that the infringer has earned the profit from the product quality, technology, design, credit other than the trademark, sales policy, advertisement/promotion, etc., regardless of the use of the trademark.

Supreme Court Decision No. 2005Da75002 rendered on March 27, 2008, (Cheogajip Company's Fried Spicy Chicken Case) stated that, "Article 67, Paragraph 2 of the Trademark Act prescribes the presumption of an amount of the profit that the infringer has earned due to the infringement act to be an amount of damages that the right holder has sustained. However, when there are special circumstances, for example, when the infringer has earned the profit from the quality of a product or service, technology, design, credit other than the trademark or service mark, sales policy, advertisement/promotion, etc., regardless of the use of the infringed trademark or service mark, it is possible to admit differently from the presumption. Although the circumstances may include a fact that the infringer has earned profit by using a trademark or service mark other than the infringed trademark or service mark, the infringer has a burden of proof of this fact.

III. Significance of profit

1. Meaning of profit

The profit referred to in Article 128, Paragraph 4 of the Patent Act means all the profit that an infringer obtains by execution of a patented invention without permission.

Supreme Court Decision No. 2006Da1831 rendered on October 12, 2006, (Photoconductive Drum Case) stated that, "The profit referred to in Article 128, Paragraph 2 of the Patent Act is the one obtained by an infringer due to the infringement and has no special limitation. However, this provision merely prescribes a method of evaluating the amount of damages that the patentee has sustained and is not applicable to a case when the patentee has no losses despite infringement. However, in regard to a degree of asserting and proving the occurrence of damages, in light of the purpose of the provision, it is sufficient to

assert and prove that there is a concern or probability of occurrence of damages due to a competitive business relationship. ... The plaintiff, as a patentee of the claim 25 and 26 inventions of this case, has manufactured abroad photosensitive drums, which are laser printer parts and a patented product of this case, and supplied them to laser printer manufacturers, so that the laser printers and cartridges equipped with the plaintiff's patented product have been sold domestically as well as in the U.S. The defendant, without the plaintiff's permission, produced the photosensitive drums domestically by working the claim 25 and 26 inventions of this case, thereby infringing the patent right of the plaintiff and obtaining profit by selling the infringed products domestically or exporting them to the U.S. Also, the defendant's infringed products seem to have the same technical characteristics as and be completely compatible with the plaintiff's patented product, and as a result, they compete with each other in the domestic or U.S. market directly or indirectly through cartridges adopting the plaintiff's patented product. Even considering that some of the defendant's infringing products were exported to the U.S., and that the plaintiff's patented products were genuine products certified by the laser printer manufacturers while the defendant's infringing products were not certified, it is admitted that the plaintiff still has a concern or probability of damages caused by the defendant's infringement acts of this case."

2. Theories and precedents regarding the scope of profit⁷⁾

A. Net benefit theory

The net benefit theory is a view regarding the infringer's profit as an amount calculated by deducting manufacturing costs and business expenses incurred to raise sales (expenses necessary for sale and general management, public charge and tax, advertising expenses, etc.) from an amount of sales of a relevant product. It is stated that all expenses, i.e., fixed costs (a depreciation cost, general administrative expenses, etc. that are proportionally corresponding to a quantity of sales) and variable costs (a material cost, a selling expense, etc.), are deducted

7) Sangjo JUNG, Sangsoo PARK, Co-edited, *Patent Act Annotation II*, Parkyoungsa, 2010, 227-231 (the part written by Sangsoo PARK); and Hojun YEON, *View on Article 67 of the Trademark Act*, Law & Technology Vol. 3(1), Jan. 2007, Law Center of Seoul National University, 50-53.

from the infringer's profit.

B. Gross benefit theory

The gross benefit theory is a view to interpret an infringer's profit as an amount calculated by deducting the manufacturing and selling costs and the overhead expenses that the infringer directly needs to manufacture and sell a product by the infringement, from an amount of sales of a relevant product (wherein the general administrative expenses are not deducted).

C. Marginal profit theory

The marginal profit theory is a view to consider that an amount of profit obtained by infringement is calculated by deducting production-dependent variable costs only (increased amount of material costs, personnel expenses directly requiring additional expenses for the manufacture and sale of a product, and other expenses) from the infringer's amount of sales, rather than to consider in terms of the financial accounting concept. From this point of view, the infringed product's development costs, general administrative expenses, personnel expenses that are spent regularly regardless of its sales, and manufacturing/management expenses are not subject to deduction. In addition, in the absence of a need for new facility investment, recruitment, or personnel training in production of goods, it is stated that deduction of variable expenses only is sufficient while deduction of fixed or regular expenses is not necessary. That is, this theory describes that the lost profit increases since the product cost is divided into a variable cost and a fixed cost and the fixed cost is not deductible.

D. Precedents

Supreme Court Decision No. 2005Da75002 rendered on March 27, 2008, (Cheogajip Company's Fried Spicy Chicken Case) stated that, "A trademark owner or exclusive licensee may claim compensation for losses. Here, the infringer's profit are considered as the trademark owner or exclusive licensee's amount of damages, the infringer's profit being determined by deducting expenses that are additionally incurred due to the infringement of the trademark right from the profit that the infringer has gained as a result of the infringement of the trademark right." This decision appears to be based on the marginal profit theory.

3. Determination of profit in actuality⁸⁾

Supreme Court Decision No. 2006Da1831 rendered on October 12, 2006, (Photosensitive Drum Case) stated that, "In determining the plaintiff's damages by applying deduction pursuant to Article 128, Paragraph 2 of the Patent Act, i.e., from incomes that the defendant gains due to the infringement of the patent, expenses corresponding to the defendant's incomes are deducted therefrom, the defendant's expenses consist of several items. However, since no evidence has been submitted to accurately calculate any one of the several items, each item constituting the defendant's expenses had to be estimated. ... Such a method of calculating expenses is not a material fact in applying Article 128, Paragraph 2 of the Patent Act, and furthermore, the defendant's above preparatory brief seems to, according to the gist of the entire arguments, argue the plaintiff's alleged profit gained by the infringement of the patent, thereby concluding that judicial confession was not established." According to the precedent, the court shall employ a reasonable method for calculating the expenses regardless of the arguments of the parties involved, but the court shall not lose rationality in the way it employs this method.

A. Method of deducting costs from profit

- Seoul Central District Court Decision No. 2002Gahap30683 rendered on February 13, 2004 (finalized)

In calculating the profit that the defendant has gained by selling feeds using the patent of this case, it is reasonable in light of overall circumstances of this case to utilize a deduction method as follows: the gross profit on sales is calculated first on the basis of a ratio of the sales of the feeds, which use the features of the patent of this case or the related products thereof, to the defendant's gross sales, and then, from the previous calculation, the selling and general administrative expenses calculated on the basis of the same ratio above is deducted (except for the depreciation cost and executive salaries that seem to be spent regularly regardless of the sales obtained by utilizing the patent of this case) [gross profit on sales $\times$ sales related to feeds / gross sales -

8) Gapsik NO, *Presumption of Damages by Infringer's Profits and Consideration of Contribution*, Korean Patent Law Society Seminar, 2014TOP10 Seminar on Patent Cases, 106-110.

(selling and general administrative expenses - fixed costs) × sales related to feeds/gross sales].

- Seoul Central District Court Decision No. 2010Gahap131161 rendered on September 11, 2012 (finalized)

It is accordingly acknowledged that the sum amount of the sales is 242,107,129 Korean won (KRW, currency unit in South Korea). However, even additionally considering all evidence submitted by the plaintiff, the cost incurred by the defendant for the manufacture and sale of the defendant's product cannot be determined, and due to the absence of any reference informing the defendant's expenses, the fact that the plaintiff incurred damages due to the infringement of the patent right is acknowledged while it is said that in this case it is difficult to determine the amount of damages that the plaintiff has sustained. Therefore, as claimed by the plaintiff, the defendant's profit estimated by the plaintiff's damages shall be determined pursuant to Article 128, Paragraph 2 of the Patent Act, and complementally, such a determination shall be considered by applying Paragraph 5 of the same Article of the Patent Act.

... It is acknowledged that the defendant's gross sales in 2011 was 2,904,627,428 KRW, the gross profit on sales was 755,355,962 KRW, and the operating income obtained by subtracting the selling and general administrative expenses from the gross profit on sales was 448,467,490 KRW. According to the above acknowledgement, the rate of operating income in comparison with the defendant's gross sales in 2011 (hereinafter, referred to as 'the rate of operating profit') was 15.439% ($=448,467,490 / 2,904,627,428 \times 100$, digits after four decimal places are not considered), and the rates of operating profit of the defendant in 2008, 2009, 2010, and 2012 were also estimated to be close to the above numerical values. Therefore, when determining the defendant's profit based on the rate of the defendant's profit margin in 2011 (15.439%), the defendant's profit estimated by the plaintiff's damages eventually becomes 37,378,919 KRW ($=242,107,129 \text{ KRW} \times 15.439\%$, digits are rounded to the nearest KRW).

B. Method of utilizing standard income rate

- Suwon District Court Decision No. 2010Gahap17614 rendered on May 24,

2012 (finalized as Supreme Court No. 2013Da18806 rendered on July 24, 2014 (Dismissal of Appeal))

According to the income statement written and submitted by the defendant, the defendant's operating income has been determined by deducting 'the selling and administrative expenses' from the defendant's annual 'gross profit on sales'. However, so long as the deducted 'selling and administrative expenses' include significant amounts of the depreciation cost, amortization on intangible fixed assets, bad debt expenses, etc., the operating income is not deemed to be determined in an appropriate manner. Thus, the above deduction method will not be suitable to be used as a basis for determining the profit obtained due to the infringement. In addition, no specific and obvious method exists in any other way to estimate the profit obtained due to the infringement, and data on the defendant's operating income rate dependent upon the sales of the defendant's product all belongs to the defendant, and thus, it is difficult in reality for the plaintiff to obtain such data. In this regard, this circumstance that it is extremely difficult to prove the facts for evidencing the plaintiff's damages under Article 128, Paragraph 2 of the Patent Act in light of the nature of the relevant facts. Therefore, pursuant to Article 128, Paragraph 5 of the Patent Act, reasonable damages based on the gist of the entire arguments and the results of examination of evidence may be admitted.

Meanwhile, in view of all the circumstances described above, the defendant's operating income rate dependent upon the sales of the defendant's executed product of this case does not seem to be much different from the standard income rate (in this regard, the defendant argued that the amount corresponding to the corporate tax rate should be reduced, even in a case when the amount of the defendant's profit is determined by applying the standard income rate. However, the defendant's alleged approach to deducting fixed cost, such as corporate tax, in determining the damages of the infringer would result in inequity, since an opposite party, i.e., a patentee cannot receive enough profit that could have been obtained in the absence of the infringement. Thus, the defendant's arguments are not acceptable). Therefore, according to the arguments of the plaintiff, the defendant's profit shall be determined according to the estimation method applied to the amount of income as described in the Income Tax Act.

The fact that the sum of the export sales of the executed product of this case in which a gear was equipped, from December 3, 2007, to November 26, 2010, was 15,644,427,386 KRW is acknowledged by the defendant. In addition, according to the description of each of the Plaintiff's Exhibit Nos. 13 (1) to (5), the simple expense rate notified by the National Tax Service (NTS) from 2007 to 2010 for 'computer and its peripheral equipment (Code No: 300100)' was 90%, and thus, the standard income rate becomes 10% (= 1 - simple expense rate). Therefore, it is reasonable to determine that the amount that the defendant shall compensate, i.e., the plaintiff's damages due to the infringement of the patent right of this case, is 1,564,427,386 KRW as claimed by the plaintiff, out of 1,564,442,738 KRW (= 15,644,427,386 KRW × 10%, digits are rounded to the nearest KRW).

- Seoul Central District Court Decision No. 2010Gahap34123 rendered on November 12, 2010 (finalized as Dismissal of Appeal)

According to the statistics of the National Tax Service (NTS)..., the standard income rate of medicine manufacturing industry in 2001 was 14.2%, and the simple expense rate from 2002 to 2008 was 85.8%. In addition, according a daily newspaper reported on July 31, 2003, the average operating income rate of the listed pharmaceutical companies in 2002 was 16.5%.

First..., the sales data of the defendant's product will be examined.

The plaintiff argued that the amount of drug bills of the defendant's product based on data collected by the Health Insurance Review & Assessment Service (HIRA) is not accurate due to the absence of drug bills of arbitrarily uninsured drug or other reasons (if a hospital charges a patient a non-deductible (uninsured) payment with/without agreement with him/her, even though there is no reason for non-deductible payment as determined by the National Health Insurance Act or the like, the hospital does not charge the National Health Insurance Service (NHIS)). In this regard, the plaintiff argued that the amount of the defendant's sales shall be determined based on the sales data written by UBcare Company. However, based on the following considerations, it is reasonable to determine the sales of the defendant's product based on the drug bills charged to the HIRA: the defendant's product is a prescription medicine that requires a doctor's prescription; the data prepared by UBcare Company represents the gross sales estimated based on

drug preparation data for prescriptions from about 2,400 sample pharmacies (Plaintiff's Exhibit No. 38), but considering the given number of the samples or the objectivity of sampling, it is difficult to acknowledge that the data of UBcare Company is more accurate than the data of the HIRA; even though some hospitals illegally charge non-deductible bills, the amount of such illegally charged bills is much smaller than the amount of the charged drug bills of the HIRA (note that the total amount of refunds due to non-deductible bills in 2008 is 4,621,830,000 KRW, Plaintiff's Exhibit No. 39(4)); and there is no evidence to prove that the defendant's product has been traditionally priced in a non-deductible manner or that the difference between the sales written by UBcare Company and the charged drug bills of the HIRA is originated from the arbitrary uninsured benefits of drug bills.

... Next, regarding the operating income rate in comparison with the defendant's sales, according to the above acknowledgement, it is acknowledged that the standard income rate of 'medicine manufacturing industry' from 2004 to 2008 (= 1 - simple expense rate) was 14.2%. Although accurate data relating to the defendant's operating income rate by the sales of the defendant's product is not provided, in light of the fact that all of the relevant data is owned by the defendant and the plaintiff in reality is unable to obtain the data, it is extremely difficult to prove the amount of the plaintiff's damages pursuant to Article 128, Paragraph 2 of the Patent Act due to the nature of this matter. Thus, pursuant to Article 128, Paragraph 5 of the Patent Act, based on the gist of entire arguments and the results of examination of evidence, the plaintiff's reasonable amount of damages may be acknowledged. In view of all the circumstances described above, the defendant's operating income rate by the sales of the defendant's product does not appear to be much different from the standard income rate.

Therefore, it is reasonable to determine that the amount of the plaintiff's damages due to the infringement of the patent right of this case is 303,906,412 KRW [= 2,170,760,089 KRW $\times$ 14% as asserted by the plaintiff, which is within the above standard income rate range (digits to the right of the decimal point are abandoned), digits are rounded to the nearest KRW].

C. Method of estimating income

- Suwon District Court Decision No. 2008Gahap23845 rendered on April 22,

2010 (mediation is concluded in the court of appeals)

The infringer's profit refers to an amount determined by deducting additional costs incurred due to the infringement from incomes that the infringer has gained due to the infringement on the utility model right (refer to Supreme Court Decision No. 2005Da75002 rendered on March 27, 2008). In this regard, the description of each of Defendant's Exhibit Nos. 16 and 19 to 22 and the references submitted by the defendant (customer's account ledger, tax invoice, etc.) are not enough to directly calculate the amount of profit from the defendant's act of infringement based on the registered device of this case. Thus, the amount of profit from the defendant's act of infringement shall be calculated, based on the data acknowledged by the evidence above, using a method analogizing the estimation method applied to the amount of income as described in the Income Tax Act. According to the method, the amount of profit shall be calculated as follows: "amount of profit due to the infringement = Sales of infringed product - main expenses related to infringed product (purchase price + rent expenses + personnel expenses) - (sales of infringed product $\times$ basic expense rate)."

D. Method of estimating defendant's income rate using right holder's income rate

- Supreme Court Decision No. 96Da43119 rendered on September 12, 1997 (SUNX Case)

When a trademark owner claims compensation for losses against a person who has infringed his/her trademark right (hereinafter, referred to as an infringer) pursuant to Article 67, Paragraph 1 of the Trademarks Act, it is a principle that the amount of the infringer's profit is calculated by multiplying the total sales of an infringed product by a net profit ratio of the infringed product or multiplying the quantity of the manufacture and sale of the infringed product by a net profit per the infringed product. However, in view of the ordinary property of the infringement of the trademark right that the infringer operates in the same area of business as the trademark owner, and at the same time, is in a position to use the trademark owner's credits that are reflected in the trademark without permission, the capital and effort that the trademark owner has given to obtain these credits should be considered. Accordingly, unless there are special circumstances, it is presumed and admitted that a net profit ratio of the infringer is not less than that of the

trademark owner in selling such trademark products. In this regard, the amount of the infringer's profit can be also calculated according to a method of multiplying the sales of the infringer by the above net profit ratio of the trademark owner. Here, the amount of profit calculated as described above is the net profit of the infringer. That is, as long as there is no special circumstance that there exists profit obtainable regardless of use of the trademark because of the quality, technology, design, and trademark credit, sales policy, advertisement, etc., it should be deemed that the amount of profit calculated as described above is estimated to be the amount of the trademark owner's damages due to the infringement of the trademark.

- Uijeonbu District Court (Goyang branch) No. 2011Gahap11443 rendered on September 12, 2012

In this case, where the calculation of standard income rate is difficult in the synthetic resin fabric processing industry, the income rate of the defendant is presumed to be the same as the income rate of the plaintiff belonging to the same industry. By applying a contributory percentage of the winding process within the entire fabrication process to the defendant's income calculated based on the assumption above, the amount of the defendant's profit obtained by the fabric process was 57,860,984 KRW ($1,935,149,987 \text{ KRW} \times 5.98\% \times 50\%$, digits are rounded to the nearest KRW).

⇒ Seoul High Court Decision No. 2014Na2017372 rendered on May 12, 2016
(Decision of appellate court after reversal and remand)

Finally, in this case, it appears difficult to substantiate the facts necessary to prove the amount of damages due to the nature of this matter. Thus, in accordance with Article 128, Paragraph 5 of the former Patent Act, considering the comprehensive circumstances, such as sales of each of the plaintiff and the defendant, the plaintiff's income rate in comparison with sales, a percentage that the winding process would occupy during the entire fabrication process, status of companies operated by each of the plaintiff and the defendant, duration and history of the infringement, situation after the infringement, etc., which are found based on the gist of entire arguments and the results of examination of evidence, it is acknowledged that the amount of the plaintiff's damages is 23,000,000 KRW.

IV. Related issues

1. Determination of contribution in the case where only a part of a product corresponds to infringement

A. Significance

In the case that a patent right is executed only on a part of an infringed product, rather than the case when the entire of the infringed product infringes a patent right, whether all profit from sales of the infringed product are estimated as damage of a patent holder is a controversial issue. This also matters to a case when another patent right, utility model right, or design right in addition to the patent right at issue applies to one infringed product.

B. Gross benefit theory and contribution theory

The gross benefit theory is a view to grant damages for the entire profit in order to sufficiently protect a patentee's profit and inhibit infringement of a patent. On the other hand, the contribution theory is a view to proportionally divide an amount of damages by determining a contribution of an executed part of a product within an entire product when calculating the amount of damages.

C. Precedents

As a case regarding infringement of utility model rights, Supreme Court Decision No. 2000Da48272 rendered on March 11, 2003 [Paper tube processing device] stated that, "The registered invention of this case is the one automating only a series of finishing operations, such as a flocking process, a drying process, etc., on a formed paper tube, rather than automating the whole paper tube processes. In this regard, productivity may significantly drop due to the need for a manual operation if not using the registered device of this case. However, such a matter is not enough to conclude that the contribution of the registered device of this case on the entire product (the final product) is 100%, and thus, the acknowledgement of the original court that the contribution of the registered invention of this case is 100% is not appropriate. Accordingly, arguments in the appeal reasons pointing out this issue are reasonable, but ... the royalty of 3% appears to have been determined in consideration of the technical contents and contribution of the registered device of this case." In this regard, the theory of

considering a contribution percentage appears to be adopted.

In a case of tort damages due to copyright infringement, Supreme Court Decision No. 2002Da18244 rendered on June 11, 2004 (Sky Blue Dream Case) stated that, "In the case where only a part of a product is related to infringement of intellectual property, the entire profit that an infringer gains by manufacturing and selling the product cannot be regarded as profit by the infringement. Thus, a contributory percentage (contribution) of the part related to infringement of the intellectual property to the total profit obtained by the infringer through manufacture and sales of the product shall be calculated, and according thereto an amount of profit by the infringement shall be calculated. Such a contribution percentage can be only comprehensively assessed by taking into consideration the indispensability, importance, price ratio, quantitative ratio, etc., of the part related to the infringement of the intellectual property with respect to the total profit obtained by the infringer."

D. Method of determining contribution

Regarding the criterion for determining contribution, as stated above in Supreme Court Decision No. 2002Da18244 rendered on June 11, 2004, (Blue Sky Dream Case), there is an opinion⁹⁾ suggesting the 'indispensability importance, price ratio, quantitative ratio' and 'customer purchase power'. According to this opinion, it is explained that, the evaluation of proportions on both quantitative aspects, including price ratios or the number of techniques, and quantitative aspects, including the consumer attractiveness and the value of techniques (including whether to be integrated) are necessary in practice. The above opinion also suggests that, for the value of techniques, there needs to refer to the Guidance on technology valuation or an appraisal price provided by the specialized agency for technology assessment or to listen to opinions of experts in the field, and for the consumer attractiveness, there needs to perform a market research or to investigate advertisement or similar contract cases, in order to make a conclusion.

E. Lower-court precedents

9) Kangjin BAIK, *Compensation for Damage by Patent Infringement and Consideration of Contribution*, presentation data presented at Korean Patent Law Society on April 18, 2015 (unpublished), 5

- Seoul Central District Court Decision No. 2007Gahap63206 rendered on October 14, 2009

The followings are considered: the point that a front-loading washing machine ... consists of about 10 constitutional parts; each of the products in the list of Annex 1 is combined not only with each patent infringed, but also with 39 patents and utility model technologies that the defendant owns; each of the above patents infringed relates to the driving unit of the front-loading washing machine among the above constitutional parts; each of the above patents is not a basic (or pioneering type) invention, but an improvement invention; not only infringed patent technology but also capital, managerial, and non-business-related factors such as the defendant's brand awareness, distribution network, design in appearance, and marketing have contributed to the defendant's sales of the front-loading washing machine; the defendant's product using each of the patents infringed is relatively low-priced compared to the plaintiff's product and this can also cause incentive motivation to purchase the defendant's product; in the front-loading washing machine market during the course of the defendant's infringement, there were potent competitors such as Samsung Electronics besides the plaintiff and defendant, and when adding up the market share of other competitors excluding the plaintiff and defendant from 2004 to 2007, the sum was about 40% or more; in advertising the performance of the product covered by each of the patents infringed, the plaintiff has not directly made any advertisement related to each of the patents infringed; and the plaintiff does not sell the products covered by each of the patents infringed as of the date of closure of hearing. Taken together, although each of the patents being infringed may seem to cover main techniques of the defendant's product, it is reasonable to admit that the contribution of each of the patents being infringed relating to the sales of the infringed products listed in Annex 1 that is sold by the defendant is about 20%.

- Seoul Central District, Court Decision No. 2011Gahap13369¹⁰⁾ rendered on

10) The above decision considered the contribution by determining the damages pursuant to Article 128, Paragraph 1 of the Patent Act. However, the court of appeals, Seoul High Court Decision No. 2014Na76654 rendered on July 23, 2015, stated that, according to Article 128, Paragraph 6 of the Patent Act, 2% of the sales sold by the defendant within the scope of the plaintiff's production capacity is determined as reasonable damages. The appeal is still ongoing as Supreme Court Case No. 2015Da52503.

August 31, 2012

The followings are considered: defendant's products are divided into 10 parts, such as 1) an on-loading device, 2) a temporary mounting device, 3) a transferring device, 4) a cutting device, 5) a cleaning device, 6) a drying and inversing device, 7) a loading device, 8) a detecting device, 9) a pick & place device, 10) an off-loading device, etc. and the defendant owns about 15 patents regarding the temporary mounting device, the transferring device, the cutting device, the drying and inversing device, etc.; the first and second patents of this case corresponds to the cleaning device, the fourth patent of this case corresponds to the drying and inversing device; the overseas market share of the plaintiff was about 24% to 33% between 2007 and 2010; and the defendant a subsidiary of Samsung Electronics Co., Ltd. has sold about 27% of products produced by the defendant to Samsung Electronics Co., Ltd. between 2006 and 2011. Taken together, it is reasonable to limit the contribution of the first, second, and fourth patented inventions of this case with respect to the plaintiff's damages above to be 10%.

- Suwon District Court Decision No. 2010Gahap17614¹¹⁾ rendered on May 24, 2012, (finalized as Supreme Court No. 2013Da18806 rendered on July 24, 2014 (Dismissal of Appeal))

The patented technology infringed by the infringer has contributed only partly to the occurrence of and increase in the infringer's sales profit, and meanwhile, any special circumstances may exist in a way that factors such as the infringer's capital, business ability, trademark, corporate credit, etc., have contributed to such occurrence of and increase in the infringer's sales profit. If such special circumstances are acknowledged, the damages may be limited to

11) Kangjin BAIK, *Compensation for Losses by Patent Infringement and Consideration of Contribution*, presentation at the Korean Patent Law Society on April 18, 2015 (unpublished), Pages 6-7 states the reason why this case did not consider the contribution. It is stated that the key technology of the defendant's photosensitive drum corresponds to the technology of the patented invention of this case, and thus, it may be positively interpreted that the photosensitive drum produced without the technology of the patented invention of this case lacks consumer attractiveness or has no market value. In addition, it is stated that the product executed by the defendant without attaching the gear thereto is not available to consumers, and thus, it may be positively interpreted that only the gear part, which makes it compatible as a result of combining with the plaintiff's printer, is the only factor that creates consumer's purchasing power.

contribution limits of the infringed patent technology. In the meantime, in addition to the above acknowledgement facts, circumstances including: the patent of the claim 25 and 26 inventions of this case includes key technology that 'the twisted protrusion at one end of the photosensitive drum rotates in engagement with the twisted hole of the main assembly gear such that the accuracy and uniformity of the rotational speed through fixation of the position of the photosensitive drum in an axial direction is improved, the driving force is reliably transmitted, and alignment of the cartridges and print quality are improved' and the key technology of claims 25 and 26 is implemented in the defendant's executed product as it is; the photosensitive drum manufactured and sold by the defendant cannot function as a part of a printer without attaching the gear thereto and the photosensitive drum itself not attaching the gear thereto appears to have no utility value; and there is not remarkable data to be able to admit the circumstance that factors such as the defendant's capital, business ability, etc. have contributed to the occurrence of and increase in the sales profit of the executed product of this case. Considered together, it is difficult to admit the defendant's argument that the amount of the plaintiff's damages is within a scope of the amount of the defendant's profit by the infringement of patent right in this case that is limited by the ratio of the price of the gear part to the price of the entire photosensitive drum. Therefore, the above argument of the defendant is groundless.

2. Application order of arguments of an interested party and provisions

- Supreme Court Decision No. 2013Da208098 rendered on May 29, 2014 (Winder Case)

The plaintiff originally claimed damages based on the amount of profit that the defendant has gained pursuant to Article 128, Paragraph 2 of the Patent Act, applied *mutatis mutandis* by Article 30 of the Utility Model Act. However, the plaintiff changed the Tenor of Claim and Reasoning via a request form for changing the Tenor of Claim and Reasoning on the date of the second hearing of the original court held on March 5, 2013. That is, it can

be seen that the plaintiff argued that the amount of damages shall be calculated based on Article 128, Paragraph 1 of the Patent Act according to which 'where the infringer has sold the infringing products to third parties, the amount of losses may be calculated by multiplying the quantity of products thus sold by the profit per unit of the products that the patentee or the exclusive licensee could have sold without the infringement'.

If so, the original court should have examined whether it is allowable to acknowledge the amount of damages pursuant to Article 128, Paragraph 1 of the Patent Act according to the argument of the plaintiff first. Even in the case that the amount of damages is acknowledged pursuant to Article 128, Paragraph 5 of the Patent Act, it should have been acknowledged first that it is extremely difficult to prove the amount of damages through the examination on the amount of damages pursuant to Article 128, Paragraph 1 of the Patent Act.

Notwithstanding, the original court only examined whether it is allowable to acknowledge the amount of damages pursuant to Article 128, Paragraph 2 of the Patent Act, without examining and determining the plaintiff's argument based on Article 128, Paragraph 1 of the Patent Act, and concluded hereby that the damages are calculated pursuant to Article 128, Paragraph 5 of the Patent Act due to the difficulty in calculating the damages. This decision of the original court has illegality that affected ruling because the legal principles regarding the scope of the damages due to the infringement of the utility model right are misinterpreted and the necessary examinations are not fulfilled.

3. Comparative negligence

Even though the amount of damages is estimated pursuant to Article 128, Paragraph 4 of the Patent Act, comparative negligence shall be assessed in order to prevent an unreasonable consequence in the event of negligence of a right holder on the occurrence or expansion of losses.

In matters related to copyrights, Supreme Court Decision No. 2007Da76733 rendered on March 11, 2010, (Thumbnail Image Case) stated that, "In the event of negligence of a victim on the occurrence or expansion of losses, such

negligence of course shall be considered in determining the scope of the damages of an assailant. Also, in comparing and considering a negligence ratio of the two parties, all the circumstances related to a tort shall be fully considered in light of the purpose of a system regarding fair distribution of damages. Even though it is an exclusive right of the fact-finding proceedings to admit grounds on comparative negligence or to determine a negligence ratio, such an exclusive right shall not be significantly irrational in light of the principle of equity. This legal principle also applies to a case when an amount of damages due to infringement of intellectual property is calculated pursuant to Article 94 of the former Copyright Act.”

In matters related to trademarks, Supreme Court Decision No. 2013Da21666 rendered on July 25, 2013, (Nansum Aluminum Co., Ltd Case) also stated that, “In the event of negligence of a victim on the occurrence or expansion of losses, such negligence of course shall be considered in determining the scope of the damages of an assailant. Also, in comparing and considering a negligence ratio of the two parties, all the circumstances related to a tort shall be fully considered in light of the purpose of a system regarding fair distribution of damages. Even though it is an exclusive right of the fact-finding proceedings to admit grounds on comparative negligence or to determine a negligence ratio, such an exclusive right shall not be significantly irrational in light of the principle of equity. This legal principle also applies to a case when an amount of damages due to infringement of a trademark right is calculated pursuant to Article 67, Paragraph 3 of the Trademark Act.”

V. Conclusion

Article 128, Paragraph 4 of the Patent Act, as a special provision regarding the scope of compensation for tort damages in accordance with the Civil Act, is a provision presuming profit of an infringer as damage of a patentee in claiming compensation for losses due to infringement of a patent. An occurrence of damage is not presumed by the above provision, and the above provision is not applied to a case when no damages occurred to a patentee. However, in a degree of asserting and proving the occurrence of damage, it is sufficient to assert and prove a concern or probability of the occurrence of damage due to a competitive

business relationship and so on. The right holder's working of a relevant patent is not required to apply the above provision. According to the Supreme Court, if there has been no business activity using a registered trademark or a product mark, in most cases, the competitive business relationship is not admitted and thus it is acknowledged that no damages have occurred. As to the scope of the infringer's profit, following the marginal profit theory will sufficiently protect a right holder. When only part of an infringed product corresponds to infringement, contribution is calculated by considering the evaluation of a technical value and the customer's purchasing power in the market. In this connection, it appears to be important to find a method of evidence to appropriately determine contribution. It is expected that legal principles on the application requirements of the above provision presuming infringer's profit as right holder's damage will develop in the future through various cases.

Practices for Managing Orders to Produce Documents and Materials

Hyunjin CHANG*

1. Introduction

If the patent holder in a patent infringement action is unable to obtain the evidence necessary to ascertain infringement or damages, then it is difficult just determining the detailed form of infringement not to mention asserting and proving actual damages. However, since such evidence is usually held by the opposing party and difficult to obtain as a practical matter, there has been criticism that patent holders have difficulty in obtaining legal aid through patent infringement actions. Meanwhile, since the order to produce written papers under the Patent Act along with the order to produce documents under the Civil Procedure Act were the only tools available to patent holders for obtaining evidence, there has been steady talk of the need to expand the scope of these tools.

The amendments to the Patent Act scheduled to be implemented on June 30, 2016¹⁾ (Act No. 14112 of March 29, 2016, hereinafter the “Amended Act”) expands the scope of the court’s order to produce evidence in patent infringement actions from just written papers to materials, including evidentiary materials relating to infringement, and includes a provision that creates a presumption that the fact in question to be expected to be proven by the materials will be recognized as true for non-compliance with an order to produce evidence (reason for amendment).

The following will examine potential problems with, and specific measures for, the practical operation of this newly adopted order to produce material.

*Judge, the Patent Court of Korea.

1) Article 132 of the law, relating to the order to produce materials, will be applicable to the first litigation initiated after the Article is implemented.

2. Equivalent Systems and Examples of Foreign Legislation

A. Equivalent Systems

1) Unfair Competition Prevention and Trade Secret Protection Act

Article 14-3 of this Act implements a system involving orders to produce materials by stating: “In litigation related to the infringement of business interests through an act of unfair competition, violations pursuant to Article 3-2 (1) or (2) or infringement of trade secrets, the court may upon the request of either party order the other party to submit materials necessary for the assessment of damage caused by the infringement. However, the same shall not apply where the holder of such materials has a good reason for the refusal of the submission thereof.”

2) Copyright Act

Article 129-2 (1) of this Act also implements a system involving orders to produce information by stating: “Where deemed necessary for collecting evidence upon request of the principal in a lawsuit against the infringement of copyright or other rights protected pursuant to this Act, the court may order the other party to provide the following information that he/she owns or knows: 1. Information capable of specifying the act of infringement or a person related to the production and distribution of illegal reproductions; 2. Information on the routes of production and distribution of illegal reproductions.”

B. Examples of Foreign Legislation

1) The Discovery System of the United States

① Ability to initiate a request for nonspecific evidence

There is no need to determine and request with specificity the evidence to be obtained, and the request can be initiated on evidence that is reasonably calculated to lead to admissible evidence.

② Powerful sanctions for refusing a discovery request

U.S. Federal Rules of Civil Procedure Rule 37 sets forth detailed and powerful sanctions for refusing to comply with a discovery request, such as treating it as contempt of court, directing that the facts regarding the opposing party’s claims be taken as established, and dismissing the proceedings in whole or in part.

③ Minimizing exceptions to discovery

Except for cases where attorney-client privilege must be maintained and documents created by attorneys for a litigation as attorney work product, most situations demand compliance with discovery.

2) Germany's system for ordering production of documents²⁾

① Information requests regarding product origin and sales channels (German Patent Act Article 140b)

For the purposes of collecting information, patent holders can request pre-litigation information regarding "product origin" and "sales channels" from the entity implementing the patent. Information falling under the category of product origin, includes the manufacturer, parts manufacturer, and prior owner's name and address, etc. while information falling under the category of sales channel, includes name and address of the purchaser, manufactured amount, distributed amount, ordered amount, etc. While this information falls under information regarding third parties, the need of the infringed party to obtain information is deemed to be greater than the need to preserve the privacy of a third party.³⁾ In order to make such a request for information, there must be a high probability that the infringer implemented the patent in question, and in cases where the party obligated to provide information offers incomplete information, the patent holder can request damages.

② Document production and the inspection of goods for proving a claim (German Patent Act Article 140c)

In order to prove their claim, patent holders can request "document production," "inspection of goods," and "inspection of methods covered the

2) In practice, rather than apply for a request for information as part of the infringement proceedings, most cases utilize the so-called Düsseldorf practice of using independent evidentiary proceedings (evidence preservation proceedings). The Düsseldorf practice proceeds by obtaining professional appraisal at an independent evidentiary proceeding, and the access granted to the professional appraiser is imposed upon the opposing party by an interlocutory injunction. Ik Hwan Park, Civil Procedure and the Protection of Trade Secrets, p. 181, *Information Law Journal*, Vol. 16 Issue 1 (2012).

3) Sung Tae Jun, Review of Order to Produce Documents Systems in Patent Law, p. 12, *Legal Studies Research* Vol. 22, Issue 2 (April 2014).

patent.” The patent holder seeking such requests is required to show a need the claim or proof, and also show with certainty that the infringer is implementing the patent. In addition, if the infringer requests a preservation of the secrecy of the information, the court must take any action that may be required.

③ Production of bank documents and the like for a damages claim (German Patent Act Article 140d)

It is possible for patent holders to request the infringer’s “bank documents and the like” for the purpose of exercising the right to request damages. This requires infringement on a commercial scale, documents that are under the control of the infringer, and documents that meet the conditions of the request for damages. Bank documents and the like include bank documents, financial documents, and business documents. Should the infringer request a preservation of the secrecy of the information, the court must take any action that may be required.

3) Japan’s System for Ordering Production of Documents

Article 105 of Japanese Patent Act states that, “in order to prove an infringement action or to calculate the damages resulting from such an infringement,” the opposing party can be ordered to produce the necessary documents (Paragraph 1), and if there is cause to examine whether the possessor of the documents in question has a valid reason to not comply with the order, then the possessor of the documents can set forth the relevant documents (Paragraph 2), and when the documents in question are opened for examination and there is a determination that there is a need to hear arguments, then the documents can be opened for examination by the relevant party, the representative of the party, and the litigator or counselor (Paragraph 3), and these provisions are for the purpose of specifying the examinations necessary for proving an infringement action (Paragraph 4).

3. Scope of the Order to Produce Materials

A. Text of Article 132 Paragraph 1 of the Amended Act

The text of Article 132 Paragraph 1 of the Amended Act states, “Upon receipt of a request from either party to legal proceedings on infringement of a patent or exclusive license, the court may order the other party to submit materials

necessary for proving the infringement or for assessing the losses caused by the relevant infringement,” which changed the subject of the order to produce from “written papers” to “materials” and added the situation of “proving the infringement” along with the previously stated situation of assessing losses caused by the relevant infringement.

The purpose of this amendment is to allow collection of evidence in various forms that are not written papers, such as electronic materials, drawings, and the like, as the current Patent Act only allows for orders to produce to involve “written papers,” which made examination of evidence not in written paper form difficult. The amendment also allows granting of orders to produce for purposes of “proving the infringement” in view of the difficulty of proving the facts of the infringement.⁴⁾

B. Scope of Materials

1) Documents and Materials

While Article 344 of the Civil Procedure Act states that the subject of the order to produce are “documents,” Article 132 of the current Patent Act states that the subject of the order to produce are “written papers.” While the sections involving evidence in Article 344 of the Civil Procedure Act are interpreted as setting forth that the object of documentary evidence is documents, materials as set forth in Article 132 of the Patent Act is interpreted as including as objects of documentary evidence everything that is subject to examination other than documents, and also includes documents.⁵⁾

Regarding the scope of the “materials” that are the subject of the order to produce materials of the Amended Act, there seems to be no opinions regarding

4) Chun Soo Lee, Examination of Evidence under the Amended Patent Act, pp. 12-14, Patent Court and the Korea Intellectual Property Lawyers Association Conference (2016).

5) Sang Ho Jung and Sung Soo Park, Patent Act Footnotes II, pp. 336-337 (Sung Soo Park), Pakyoungsa (2010).

6) Article 2 Paragraph 1 of the Act on the Use, etc., of Electronic Documents in Civil Litigation, etc. states that, “[t]he term “electronic documents” means information transmitted, received or stored after being made available in electronic format or converted therein by equipment with data processing capability, such as a computer, etc.” On the other hand, the U.S. Federal Rules of Civil Procedure states that, “electronic documents are within the scope of discovery and include writings, drawings, graphs, charts, photographs, sound recordings, images, and other data or data compilations stored in any medium from which information can be obtained.”

the inclusion of data and electronic documents⁶⁾ besides written papers. Going forward, there is the possibility of controversy involving whether or not videos and images are included, whether prototypes and other such infringement related goods are included, and whether materials that do not currently exist but can be easily made are included (for example, videos made by filming the manufacturing process of the goods in question).

First, regarding videos and images, the scope of an order to produce documents is not traditionally seen as encompassing videos and images,⁷⁾ and while it is unclear as to whether or not they are within the scope of an order to produce written papers, when viewed in light of the purpose of the amendment, they are seen to be at least included within the scope of “materials” that are subject to an order to produce under the Amended Act.

Regarding whether prototypes and other such goods related to infringement are within the scope of materials, the U.S. considers sample prototypes in development to fall within the scope of discovery,⁸⁾ and, in Germany, requesting an “examination of goods” and an “examination of methods relating to the patent” is possible. While the Amended Act does not specify that goods are subject to an order to produce, there is also no evidence to suggest that goods are excluded from being within the scope of “materials,” and, when an infringing good is viewed in light of being a basic piece of evidence that is needed to prove infringement and is therefore considered material that is needed to “prove the infringement,” it seems likely that this would be included within the scope of “materials.”

2) Materials Necessary to Prove Infringement

The Amended Act also expanded the subject of an order to produce materials

7) Korean Supreme Court Decision 2009Ma2105 rendered on July 14, 2010 (As video files must be examined as evidence under evidentiary procedures, they cannot be subject to an order to produce documents, and in the case of photos, the form, content, and other considerations must be taken as a whole and either appraised, examined, or evaluated as documentary evidence, whichever process is most appropriate. Despite this, the trial court erred by misunderstanding the laws regarding the subject of an order to produce documents, as it immediately issued an order to produce documents for a photo without detailed analysis of it and also included in the order to produce documents a video which should have been examined instead).

8) Chun Soo Lee, *supra*, p. 16.

by including situations where “proof of infringement” is required. As such, in situations where there is an argument regarding an implemented product or implemented method, it is now possible to order the production of materials relating to the actual implemented product or implemented method. The materials that make up the parts necessary for a product that allegedly infringes, manufacturing equipment, manufacturing process, test results involving completed goods, and the like can now all fall under the definition of materials.

3) Materials Necessary to Calculate Damages

As materials necessary to calculate damages “due to infringement,” the party applying for an order to produce the materials above must first prove that there is sufficient likelihood that infringement will be recognized.⁹⁾

The written papers needed to calculate damages are: 1) balance sheets, profit loss statements, 2) business reports, 3) sales transaction ledger, 4) purchase transaction ledger, 5) sales ledger (sales statements), 6) purchase ledger (purchase statements), 7) manufacturing cost report, 8) raw material ledger, 9) outbound sheets, product receipt and disbursement register, 10) inventory sheets, 11) expense reports (manufacturing expenses and sales expenses), 12) miscellaneous sales expenses and the like directly incurred for the relevant product’s manufacturing output, sales output, unit cost per sale, sales figures, manufacturing cost, and sale.

3. Content of an Order to Produce Materials

The Amended Act does not detail the contents of an order to produce materials or the procedure for carrying out such an order. Regarding the current order to produce written papers, as the order to produce documents under the previous Civil Procedure Act (before its amendment by Act 6626 on January 26, 2002) has limited scope, many references state that the Patent Act specifies a special case of the order to produce documents in order to allow for the production of written papers regarding the calculation of damages.¹⁰⁾ As such, regarding an order to produce materials, those provisions can be applied to areas

9) Sung Tae Jun, *supra*, p. 5.

10) Sang Jo Jung and Sung Soo Park, *supra*, p. 327; Won Mo Ahn, Patent Infringement and Damages, p. 348, Sechang Publishing (2005).

that are not covered by an order to produce documents.

According to Article 345 of the Civil Procedure Act and Article 110 Paragraph 1 of the Civil Procedure Rules, applying for the production of documents requires a written application that includes a description of the documents and their purpose, the possessor, the facts to be proven, and the reasons for the duty to produce the documents. Article 346 of the Civil Procedure Act states that, should the need be recognized, the court can, depending on the purpose of the documents set forth by the application or how generally the application sets forth the facts to be proven by the documents, order that the opposing party submit a document that has the descriptions and aims of the documents possessed by the party to be produced as documentary evidence that are the subject of the application.

On the other hand, Article 132 Paragraph 3 of the Amended Act states that, if the subject of the order to produce materials falls under the category of a trade secret, the court must, “specify what is accessible within the bounds of the purpose of the order to produce or specify an entity that is allowed access,” and thus, regarding the produced materials, who will access what must be stated.¹¹⁾ In practice, it is most likely appropriate to limit access to people that are subject to an order to maintain secrecy.

4. Valid Reasons for Non-compliance with an Order to Produce Materials

A. The Text of Article 132 Paragraph 1 of the Amended Act along with Paragraphs 2 and 3

While Article 344 Paragraph 1 Subparagraph 3(a) through (c) and Paragraph 2 Subparagraph 1 through 2 of the Civil Procedure Act limit the allowable reasons for not complying with an order to produce documents to those enumerated, Article 132 of the Patent Act sets forth a general/abstract definition

11) Chun Soo Lee, *supra*, p. 24, argues that, as the above procedure is an attempt to incorporate into law the U.S. protective orders that limit access to only counsel, limiting access to only counsel and not the parties themselves will adequately allow for determining the actual nature of the trade secrets while avoiding outcomes where parties in economic competition with each other learn each other's trade secrets.

of “when there is an appropriate reason.” Furthermore, since the above provisions do not include any entries from which to infer what would be an appropriate reason, interpretations cannot help but be divergent. Due to such ambiguities, courts have tended to guide the relevant party to produce voluntarily, as opposed to giving an order to produce written papers.

B. Scope of Appropriate Reasons

Regarding the current law’s order to produce written papers, there is controversy over whether an assertion of trade secrets falls under the category of an appropriate reason to not comply with an order to produce written papers. However, the Amended Act newly establishes Article 132, Paragraph 3, stating that even if the materials to be produced fall under the category of trade secrets, if they are absolutely necessary for proving infringement or calculating damages, then being a trade secret is not an appropriate reason for not complying with the order to produce. While the above provision is limited to situations where the material is, “absolutely necessary to prove infringement or calculate damages,” when viewed in light of the fact that clearly differentiating between situations where the materials are just needed versus absolutely necessary is difficult and the order to maintain secrecy that was adopted by Article 224, Paragraph 3 of the Patent Act is preconditioned upon submitting materials relating to trade secrets to an evidentiary examination procedure, there seems to be no need to strictly interpret this provision.

Viewpoints are split as to whether “appropriate reasons for not complying with an order to produce material by the possessor” should be interpreted broadly to include the reasons set forth by civil procedure or whether it should simply conform to the Civil Procedure Act. Although the Patent Act did not limit by enumeration appropriate reasons and instead defined them generally, when viewed in light of its legislative history, it is difficult to say that the purpose was to expand the scope of appropriate reasons. Indeed, given that the order to produce materials is a special case of the Civil Procedure Act’s order to produce documents, it may be appropriate to interpret appropriate reasons as conforming to the Civil Procedure Act or as being even more limited than those of the Civil Procedure Act.

The question of whether something falls under the category of an appropriate reason must be determined by weighing the difficulties borne by the possessor

of the material through the exposure of trade secrets and such against the difficulties borne by the applicant due to the materials not being produced. However, in the Amended Act, even if something is determined to be a trade secret, the Amended Act imposes a duty to produce in regular situations. When viewed in light of this and the fact that the maintenance of a secrecy system was left alone, that the foregoing regulation remedies the structural maldistribution of evidence in patent litigation, and the fact that the scope and subject of an order to produce are being expanded to ensure a fair trial through the discovery of actual facts, appropriate reasons for not complying with document production orders must be acknowledged only in rare cases.¹²⁾

C. Examination of Whether or Not a Reason is Appropriate

The Amended Act states that the order to produce regarding documents subject to examination as set forth traditionally in Article 347 Paragraph 4 of the Civil Procedure Act (in other words, an In Camera system) is now incorporated into the Patent Act. Article 347 Paragraph 4 of the Civil Procedure Act states, “The court may, if deemed necessary for judging on whether a document corresponds to Article 344, order its holder to produce such document. In such cases, the court shall not make such document open to other persons.” The Compendium of Court Proceedings states, “In a case regarding an application

12) Regarding Article 344, Paragraph 2 of the Civil Procedure Act, the court has ruled that, “when viewed in light of the legislative purpose of expanding the scope of items subject to the duty to produce documents in order to remedy the structural maldistribution of evidence in civil litigation and ensure fair trials through the discovery of actual facts, acceptable reasons for not complying with an order to produce documents must be limited to exceptions for cases where it is worth protecting secrecy at the expense of sacrificing a request to discover facts. In such a view, not complying with an order to produce documents for reasons of trade secrets means that there is a situation where, if the trade secret is exposed, the relevant business receives a serious impact to the point where business afterwards is substantially difficult, so even if the request to discover facts is sacrificed, it is worth protecting this secrecy. The question of whether a case falls under this situation is answered by taking multiple variables into account, such as the content of the information and its form, the degree to which this information is needed as evidence in the proceedings, and the effect submitting the information will have on the possessor of the information, so that the difficulties borne by the possessor due to the secrets being exposed are weighed against the specific discovery difficulties and trial fairness difficulties that will be borne by the applicant.” Seoul High Court Decision 2010Ra86 rendered on April 16, 2010. *See also* Korean Supreme Court Decision 2015Ma4174 rendered on December 21, 2015.

for production of documents, the argument of the document possessor as to why the documents must not be revealed determines the outcome of the request, so in such a proceeding, if a party other than the court and the document possessor participates, then as a practical matter, the result will be an order to produce the documents, and depending on the circumstances, this can result in unrecoverable injury to the document possessor, so there is in place a system for the court to examine the documents in private so as to make a determination as to whether or not an obligation to produce documents exists,” thereby describing a system that prevents third parties other than the document possessor from viewing the documents in question.

Traditionally, there is a split in opinions as to whether or not the above Civil Procedure Act provision applies to a procedure that aims to determine whether or not an appropriate reason for not complying with an order to produce written papers exists, but the Amended Act explicitly incorporates this provision. The Amended Act sets forth a provision equivalent to the above provision of the Civil Procedure Act, stating that, “should the possessor of the materials argue that there is an appropriate reason not to produce materials in accordance with Paragraph 1, the court, in order to determine whether or not the argument is accepted, can order the production of the materials. In such a case, the court must not allow any other entity to view the materials,” calling into question whether or not the applicant or applicant’s counsel and the like are able to participate. Regarding this, there are viewpoints that state that the risk of trade secrets being revealed means that the opposing party (document production applicant) should be excluded, and there are also viewpoints that state that the applicant’s representatives (public accountant) and the like should be included.¹³⁾

Regarding the participation by the applicant, the Japanese courts ruled to dismiss the request in a case where the written papers in question were presented to the court, and the court determined that the opposing party’s product is different from that argued by the applicant after hearing only the opposing party’s explanation, and the plaintiff had no other method of proof when the order to produce documents was dismissed. It was pointed out that this is a system that is unacceptable to plaintiffs, and this system allows for limited participation by the plaintiff. As opposed to orders to produce

13) Sung Tae Jun, *supra*, p. 17

documents that are applicable to third parties, an order to produce materials is limited to the parties of the action, so there are many doubts as to whether participation must be restricted. If it is difficult for the court itself to evaluate the respondent's request arguing that an appropriate reason exists, it is appropriate for an appraiser to be chosen and allowed to participate.

5. Sanctions for Not Complying withan Order to Produce Materials

Article 132 Paragraph 4 of the Amended Act newly states, "If a party does not comply with an order to produce materials without an appropriate reason, the court may acknowledge as fact the opposing party's arguments regarding the materials in question." Traditionally, the order to produce written papers in Article 132 of the Patent Act did not specify what will occur when there is a non-compliance of the order, and while the majority opinion stated that the application of Article 349 of the Civil Procedure Act is possible as it views orders to produce written papers as a special case of the Civil Procedure Act, this was explicitly set forth in the Patent Act, so it clearly applies to orders to produce materials.

Regarding the question of whether the argument of the opposing party that can be acknowledged as fact under the Civil Procedure Act provisions above is itself the argued fact that seeks to be proven by the documents, the court denied this view, stating that, "when a party does not comply with a court order to produce documents, the court is able to acknowledge as fact the opposing party's arguments regarding the documents in question, which are the nature of the documents, the contents, the documents' validity, and the like, and separately, the opposing party's argued facts to be proven cannot be seen as acknowledged as fact, and the question of whether or not these argued facts are true is reserved for a free evaluation of the evidence by the court."¹⁴⁾ As such, there is continued criticism that the order to produce system does not provide for a decisive penalty when it is violated, so it cannot be a practical tool for examining evidence.

14) Korean Supreme Court Decision 2006Da9446 rendered on August 21, 2007.

Article 132 Paragraph 5 of the Amended Act goes further by newly establishing a provision that allows for the acknowledgment of the fact to be proven as a sanction for not complying with an order to produce, stating that, “when it is clearly difficult for the party applying for the production of materials to argue with specificity the entries regarding the documents to be produced, and when it is difficult for the party to rely on any other evidence to prove the fact required to be proven by the documents to be produced, the court can acknowledge as fact the argued facts that were to be proven by the documents to be submitted.” While the above provision does have the precondition of, “when it is clearly difficult for the party applying for the production of materials to argue with specificity the entries regarding the documents to be produced, and when it is difficult for the party to rely on any other evidence to prove the fact to be proven by the documents to be produced,” there is no need to strictly carry out the above provision in a limited fashion, as this provision was adopted due to criticism that the traditional order to produce system was not a practical method of obtaining information, materials that are the object of an order to produce materials are generally possessed by the opposing party so there are many cases where the applicant has difficulty arguing with specificity the entries of the documents to be produced, and, in the case of materials needed to prove infringement or calculate damages, proving infringement or calculating damages through other means is unreliable.

Case Reviews

Case Law Commentary: The Composition of a Comparative Invention that Asserts the Defense of Freely Usable Technology

(Based on the Korean Supreme Court Decision 2008Hu64 dated July 10, 2008)

Jongsun CHOI*

I. Summary of Case

- X is the utility model rights holder of utility model registration number of 340635 titled “Foldable Device for Moving Placards” (hereinafter the “Registered Design of This Case”).
- On April 26, 2006, X filed a complaint for trial to positively confirm the scope of a patent right (2006Dang10658) with the Korean Intellectual Property Trial and Appeal Board (hereinafter the “KITAB”) in order to obtain confirmation that Y’s implementation named “Retractable Device for Moving Placards” (hereinafter the “Comparative Design of This Case”) falls under the scope of the Registered Design of This Case.
- On November 17, 2006, the KITAB ruled partially in favor of X as the Comparative Design of This Case fell under the scope of Claims 1 and 3 of the Registered Design of This Case (hereinafter “Claims 1 and 3 of the Registered Design of This Case”), and dismissed the rest of X’s requests in the trial.
- On December 12, 2006, Y initiated litigation for the cancellation of a trial decision with the Korean Patent Court (2006Huh11404), requesting cancellation of the sections of the trial decision regarding Claims 1 and 3 of the Registered Design of This Case.

*Judge, the Patent Court of Korea.

- In the above litigation for the cancellation of a trial decision, Y argued that the Comparative Design of This Case should be considered freely usable technology, and therefore falls outside the scope of Claims 1 and 3 of the Registered Design of This Case.
- On December 15, 2007, the Korean Patent Court ruled that, of the composition of the Comparative Design of This Case, the “link means” was not taught by or implied by the prior art, so the Comparative Design of This Case is not considered freely usable technology, something a person having ordinary skill in the art (hereinafter “PHOSITA”) could very easily implement. The Korean Patent Court further ruled that the Comparative Design of This Case includes all of the elements of Claims 1 and 3 of the Registered Design of This Case, thereby dismissing Y’s request.
- On January 7, 2008, Y appealed the above Korean Patent Court decision (2008Hu64), arguing that not only is the “link means” of the Comparative Design of This Case unrelated to Claims 1 and 3 of the Registered Design of This Case, but Korea does not presently recognize the defense of obviousness for utility models, so when these points are considered together, the question of whether something falls under freely usable technology should be determined only after the composition of the accused utility model that excludes such elements has been understood.

II. The Ruling

On July 10, 2008, the Korean Supreme Court dismissed Y’s appeal by ruling as follows (hereinafter the “Subject Decision”).

“When determining whether or not an accused utility model that is the subject of a trial to confirm its scope is formed only with prior art or is something that can be easily derived from the prior art by a person with ordinary skill in the art, the determination is not made by comparing only the elements of the accused utility model that corresponds to elements of the claims of the registered utility model, but instead the entire composition of the accused utility model that

is specified by the plaintiff must be considered.¹⁾

When viewed in light of the above legal principle, the court's comparison of the Comparative Design of This Case that includes a 'link means' element with prior art that includes comparison utility model 1, 2, 3 and the like, which then led to a correct finding by the court below that, as the prior art reveals no elements that relate to the 'link means' of the Comparative Design of This Case, the Comparative Design of This Case is not something that could have been easily derived. As such, it cannot be said that there was any legal error due to a misunderstanding of the law by the court below, as argued by the appeal, when the court below was comprehending the technical elements of the accused utility model and deciding whether or not it should be considered as freely usable technology."

III. Analysis

1. The Freely Usable Technology Defense²⁾ and the Significance Thereof³⁾

When deciding whether or not an invention falls under the scope of rights for a patented invention, if the invention that is being compared to the patented invention is either wholly made up of prior art or is something that can be easily derived from the prior art by a PHOSITA, then this invention will be considered freely usable technology. As such, this comparative invention is considered as not falling within the scope of rights for the patented invention without the need to make any comparison with the patented invention. *See, e.g.,* Korean Supreme

1) The Korean Supreme Court Decision rendered on July 9, 2009 utilizes the same reasoning.

2) While the terms "freely usable technology defense" and "free technology defense" are both used, the following sections will only use the term "freely usable technology defense."

3) While the issue in this decision relates to utility models, for the sake of convenience, the following discussion will be premised on patented inventions. The principle of freely usable technology for utility models is defined as, "situations where implementation from the prior art is "very easy," and with the exception of the added term "very," this definition is identical to that of freely usable technology for patents.

Court Decision 99Hu710 rendered on October 30, 2001.

This freely usable technology defense was adopted from the Japanese, who in turn adopted the theoretically acknowledged German free technology level defense.⁴⁾ In Germany, patents cannot be invalidated through patent infringement litigation as they can only be invalidated through a patent invalidation action. This led to problems where, even if novelty and non-obviousness are found to be lacking during a patent infringement action, stopping the exercise of patent rights stemming from a mistakenly issued patent is not possible. In order to solve such problems posed by a bifurcated litigation system, the free technology level defense was theorized. The free technology level defense allows for the assertion that the patent right does not apply to published and accessible free technology, which in turn allows for indirectly stopping the exercise of patent rights for a mistakenly issued patent that may be invalid.⁵⁾

However, the German courts only apply the free technology level defense in cases of equivalent infringement and not for literal infringement.⁶⁾ In Korea, Supreme Court precedent⁷⁾ allows for the application of the freely usable technology defense for not only equivalent infringement, but for literal infringement as well. While this discussion is outside the scope of the main issue in this work, it would be appropriate if Korea also allowed the application of the freely usable technology defense only for equivalent infringement.

2. The Composition of an Accused Invention That Asserts a Freely Usable Technology Defense

A. There are two conflicting viewpoints regarding the evaluation of whether or not an accused invention is a freely usable technology, one of which states that the whole composition of the accused invention must be evaluated

4) Patent Court Intellectual Property Litigation Practice Research Committee, Intellectual Property Litigation Practice (Vol. 3), Pakyoungsa (2014), p. 243.

5) Young Shik Song and 2 others, Intellectual Property Rights Law (Part 1) (Vol. 9), Yookbupsa (2005), pp. 498-499.

6) Dong Jun Kim, Research on Equivalent Infringement of Patent Rights, Sungkyunkwan University Law School Ph.D. thesis (2012), pp. 173-174.

7) *See, e.g.*, Korean Supreme Court Decision 2001Hu1907 rendered on September 23, 2003.

(hereinafter the “Whole Composition View”), while the other states that only the elements of the composition of the accused invention that correspond to equivalent elements of the composition of the patented invention should be evaluated (hereinafter the “Equivalent Composition View”).

B. The Subject Decision follows the Whole Composition View, and the primary basis for this viewpoint is as follows.⁸⁾

- 1) In cases where the entirety of the patented invention has been published, infringement litigation that includes an action to confirm the scope of the right has ways of dealing with the issue that follow a prior art exclusion view (Korean Supreme Court Decision 81Hu56 rendered on July 26, 1983), an abuse of right view (Korean Supreme Court Decision 2000Da69194 rendered on October 28, 2004; Korean Supreme Court *en banc* Decision 2010Dang95390 rendered on January 19, 2012⁹⁾), and a freely usable technology defense view. Like the Korean Supreme Court Decision 99Hu710 rendered on October 30, 2001 as set forth above, the freely usable technology defense does not deny the existence of the patent right itself, but instead requires a decision as to whether or not the accused invention falls under the public domain that is untouchable by a patent’s monopolistic and exclusive right, and this decision is made before any comparison with the relevant patented invention.
- 2) Simply put, the question of whether or not an accused invention falls under the category of freely usable technology means that there needs to be a determination of whether or not the accused invention is obvious, so it is appropriate to find the invention that answers the question of obviousness for the accused invention in the exact same manner as finding the invention that answers the question of obviousness for a patented invention. When a patented invention is composed of many elements, the subject of the obviousness determination is the technological idea that is the organic combination of each compositional element and not each individual element

8) Dong Soo Han, ‘Methods of Determining the Technological Elements of an Accused Utility Model’, Intellectual Property 21 (2008) (KIPO), pp. 8-9.

9) As this decision was rendered after the publication of the work in footnote 8, this decision is not reflected in the original work, but the author has included it anyway as a matter of convenience.

itself (see Korean Supreme Court Decision 2005Hu3277 rendered on August 6, 2007), and in the same manner, the subject of the obviousness determination for the accused invention must also be the entire invention itself. Dissolving the unity of the compositional elements of the accused invention and excluding a portion of these compositional elements is not allowed.

- 3) The party requesting the judgment must submit a request for judgment form with the head of the KITAB, but as this request for judgment form requires entering the purpose and reason for the request (Article 140, Paragraph 1 of the Korean Patent Act), the subject of the trial is only determined by the purpose of the request for judgment and the reasons for invalidation or cancellation that are entered as reasons for the request for judgment are merely methods of attack. As a trial to confirm the scope of a patent is a trial to confirm whether or not an accused invention falls under the scope of the characteristic claims of the patented invention, each claim and each accused invention becomes distinct subjects of the trial. As such, the subjects of the trial are immediately specified by the entries for the purpose of the request for judgment on the request for judgment form, and the scope of the subjects of the trial is not determined independently by the KITAB. As the actual trial to confirm the scope of a patent has the characteristics of a lawsuit that seeks to confirm whether or not the right to prohibit and the right to damages that both stem from an infringement of patent rights exist, the subject of the confirmation trial is determined by the purpose and reasons for the request as set forth by the plaintiff in the complaint, and is not determined by the relevant court.

C. However, when viewed in light of the following situations, the Whole Composition View is difficult to accept and the Equivalent Composition View seems to be correct.

- 1) Even if the accused invention includes the entire composition of the patented invention, if the accused invention is freely usable technology, then it does not fall under the scope of that patent right. In other words, if the accused invention is freely usable technology, then it can be concluded that it does not

fall under the scope of the patent right regardless of whether or not it includes the entire composition of the patented invention, so it may be easier to determine whether or not the accused invention is freely usable technology before determining whether or not the accused invention entirely incorporates the patented invention's composition.

However, the above suggested order of determination is merely for the sake of convenience.

Indeed, when the following situation is considered, it is more natural to view the determination regarding the freely usable technology defense as coming after the comparison with the patented invention.

First, the freely usable technology defense is a form of "defense," and "defenses" are, as a matter of principle, considered after the "facts of the reasons for request" are acknowledged. For example, in litigation to enjoin a party from infringing a patent, the question of whether or not the accused invention is freely usable technology is a method of defense that is determined after comparing the accused invention to the patented invention and acknowledging as a "fact of the reasons for request" that the accused invention incorporates the patented invention's composition in its entirety.

Next, the accused invention is compared with the composition of the patented invention to determine their differences, and this requires specifying the particular compositional elements of the accused invention that correspond to compositional elements of the patented invention. These specific compositional elements of the accused invention are a legitimate requirement of the trial to confirm the scope of a patent.¹⁰⁾ As such, the question of whether the specifics of the accused invention are properly listed is a determination that must come before the questions of whether the accused invention includes the patented invention's composition in its entirety and whether the accused invention is freely usable technology.¹¹⁾ But

10) See, e.g., Korean Supreme Court Decision 2003Hu656 rendered on April 29, 2005.

11) Korean Supreme Court Decision 2001Hu1907 rendered on September 23, 2003 held that, "regardless of whether or not the Defendant's invention is identical to published inventions, it is something that a person having ordinary skill in the relevant art can easily invent using published inventions, so the invention does not fall within the scope of rights for the patented invention in this case without any need to examine whether the Defendant's invention was defined with enough specificity to allow for a comparison with the patented invention in this case or whether

in order to see if the specifics of the accused invention have been listed to the point where the differences between them and the composition of the patented invention are identifiable, they obviously need to be compared with the compositional elements of the patented invention (hereinafter the “comparison of specifics”).

When viewed in light of these situations, the freely usable technology defense is not just a problem to address before the comparison with the patented invention.

Of course, comparing the equivalent compositional elements of the accused invention and the patented invention in order to see if they are identical or equal (hereinafter “Internal Comparison”) is different from a comparison of specifics, and there is no need to absolutely make an Internal Comparison before making a decision about the freely usable technology defense (As such, since the above Supreme Court Decision 99Hu710 states that, “if the accused invention is freely usable technology, then it does not fall under the scope of rights for the patented invention in this case ‘without any need for a comparison with the patented invention’,” if the freely usable technology defense is recognized, then the comparison with the patented invention that is not needed should be seen as meaning “Internal Comparisons”).

- 2) The method of determining whether or not the accused invention is freely usable technology is similar to the method of determining whether or not novelty or non-obviousness is negated. However, the freely usable technology defense does not mean that the accused invention’s novelty or non-obviousness is negated, but that the accused invention is in the realm of freely usable technology where the patent rights of the patented invention do not extend.

Furthermore, the freely usable technology defense is based upon the basic principle that the patent rights of a patented invention do not extend to

the Defendant’s invention is equivalent to that of the patented invention in this case; therefore, the lower court’s identical conclusion is appropriate.” This decision aims to state that the comparison of specifics can come after the freely usable technology defense, but if this is followed, then this is no difference from making a decision in the case before making a decision on the defense in the case, making this difficult to accept.

technologies that cannot be patented, because they are not novel or non-obvious when viewed in light of the prior art at the time of the patent application.

Therefore, just by showing that the compositional elements of the accused invention that are equivalent to the compositional elements of the patented invention are either composed entirely of prior art or can be easily derived from the prior art by a PHOSITA, the accused invention's relationship with the patented invention is sufficiently shown to be within the scope of freely usable technology that is outside the reach of the patented right.

In addition, even if there are additional compositional elements of the accused invention outside of those that are equivalent to the compositional elements of the patented invention, these additional compositional elements do not affect the question of whether the patented invention's patent rights extend to the accused invention, so these additional compositional elements have no relationship with the question of whether the accused invention's relationship with the patented invention is within the scope of freely usable technology.

As such, in order to show that the accused invention is freely usable technology, there is no need to show that the accused invention including the additional compositional elements are wholly composed of prior art or that it can be easily derived from the prior art by a PHOSITA.

In other words, the freely usable technology defense is not a determination as to whether or not the accused invention is not novel or obvious, but is instead a determination as to whether or not the accused invention is freely usable technology that is outside the reach of the patented invention's patent rights, so it is sufficient to determine novelty or non-obviousness for just the compositional elements of the accused invention that are equivalent to compositional elements of the patented invention.

- 3) When comparing an accused invention with a patented invention in order to see whether or not the accused invention incorporates the patented invention's composition in its entirety, even if there are additional compositional elements other than those that are equivalent to compositional elements of the patented invention, the court extracts only the compositional elements of the accused invention that are equivalent to the patented

invention's compositional elements and compares them, while not considering the additional compositional elements. This is merely the court extracting only the compositional elements needed for the determination from the accused invention's composition, and is not the court turning the accused invention into a collection of only the compositional elements that are equivalent to the compositional elements of the patented invention.

This reasoning is utilized identically when making a determination regarding a freely usable technology defense. When a court extracts the compositional elements of the accused invention that are equivalent to those of the patented invention in order to make a determination regarding a freely usable technology defense, this too is merely extracting the compositional elements needed for the determination, not turning the accused invention into a collection of only the extracted compositional elements.

Therefore, just because the court extracts the compositional elements of the accused invention that are equivalent to those of the patented invention in order to make a determination regarding a freely usable technology defense, this does not mean the subject of the litigation or trial changes.

- 4) As shown above, there are things to take note of when defining the composition of an accused invention using the standard of compositional elements that are equivalent to those of the patented invention. When the request for judgment involves a patented invention with multiple claims, the composition of the accused invention that is the object of the freely usable technology defense determination is different for each claim and each result can also be different.

As such, making a determination that "the accused invention is freely usable technology" without separating out each claim, as is traditional, is inappropriate, so the question of whether or not the accused invention is freely usable technology must be made for each relationship between each individual claim of the patented invention and the accused invention, such as by finding that, "for the relationship between the accused invention and Claim 1 of the patented invention, the accused invention is freely usable technology."

On a related note, an alternate method of entry may be considered that involves only entering the compositional elements that are to be compared to

each claim of the patented invention when there is at least one accused invention to be compared with the patented invention. With the precondition that this method is allowable while also allowing the existing method of specifying the accused invention as a whole without dividing it up by claim, it is suggested that Plaintiff or the entity making the request for judgment be allowed to choose whichever method is more convenient.

For example, when Claim 1 of the patented invention is A+B, Claim 2 is A+B+C, and the accused invention is A`+B`+C`+D` (A` is equivalent with A, B` is equivalent with B, C` is equivalent with C, and D` is an additional compositional element), the Plaintiff or the entity making the request of judgment is allowed to specify the accused invention as A`+B` for claim 1 and A`+B`+C` for claim 2.

If the entity making the request for judgment makes separate requests for Claim 1 and Claim 2, the request for judgment for Claim 1 can specify the accused invention as A`+B` and the request for judgment for Claim 2 can specify the accused invention as A`+B`+C`; specifying as such poses no problems. On the other hand, if the entity making the request for judgment sets forth Claim 1 and 2 of the patented invention together, this is merging two requests for judgment together; merging requests for judgment together is merely conducting two trials at the same time for the sake of convenience. As such, just because the entity requesting judgment merges the two requests together, this does not mean that the specifics of the accused invention that can be specified by claim must be combined as one. This is related to the question of whether it is allowable to have multiple accused inventions in a single trial to confirm the scope of a patent, and it is the author's opinion that this should be allowed.¹²⁾

Furthermore, if accused inventions are allowed to be specified by claim, then even if the Plaintiff or entity requesting judgment mistakenly specifies the accused invention for a portion of the claims, the problem of receiving a negative determination for the request involving all of the claims is resolved.

Going back to the above example, if the entity requesting judgment does not specify the accused invention by Claims 1 and 2 of the patented invention and instead specifies the accused invention singularly as A`+B`+C`, where

12) See Korean Patent Court Decision 2013Huh4954 rendered on November 7, 2013 (aff'd).

A`+B` is correct and C` has been mistakenly specified as C'', and this results in a problem where the accused invention is seen as not implemented or not specified, the C'' that has no bearing on Claim 1 of the patented invention causes the dismissal of the request for judgment involving both Claims 1 and 2 of the patented invention. In such a case, if the entity requesting judgment was allowed to specify the accused invention according to the claims of the patented invention so that only the compositional elements that are necessary for comparison are entered, the A`+B` accused invention regarding Claim 1 of the patented invention would have been correctly specified so the implementation or specification problem would not occur.

3. Significance of this Judgment

The significance of this judgment is that it clearly sets forth the composition of the accused invention that is the subject of a freely usable technology determination. However, as shown above, it can be said that, instead of defining the composition of the accused invention as a whole, defining the composition of the accused invention to only those elements that are equivalent to those of the patented invention is more in line with the purpose of the freely usable technology defense.

Acquired Distinctiveness and Functionality of Three-dimensional Trademark

Hosan LEE*

1. Introduction

A trademark is a 'mark (emblem)' that is used to distinguish products. The scope of protection for marks according to the Trademark Act is a legislative issue. The scope of protection for marks according to the Trademark Act has been gradually expanded along with changes in socioeconomic conditions as well as development of scientific technology.¹⁾ While the original Trademark Act did not allow registration of three-dimensional marks, the Trademark Act was amended on August 22nd, 1997 through Act No. 5355, allowing registration of three-dimensional trademarks in response to the international trend for allowing three-dimensional trademarks. However, considering that the shape of a trademark related to a product is generally created in order to effectively manifest the functions of the product or to increase consumers' desire for purchase through aesthetic effects, not to serve the function for distinguishing the product from others, such distinctiveness of three-dimensional trademarks should be acknowledged in limited scope.²⁾

So far, domestic precedents regarding three-dimensional trademarks are rare. However, on October 15th, 2015, the Supreme Court of Korea (hereinafter referred to as the 'Supreme Court') adjudicated No.2013Da84568 (hereinafter referred to as the 'judgment of interest'), a case related to obtaining a three-dimensional trademark by Viagra, a medical product. The Supreme Court ruled on intrinsic distinctiveness of a three-dimensional trademark, its acquired distinctiveness, functionality in accordance with Trademark Act Article 7(1)(xiii),

*Judge, the Patent Court of Korea.

1) Song Young Sik et al. (Note 1), 53

2) Choi Sung Woo and Jeong Tae Ho, OVA Trademark Act, Chunchu Munhwa, 2011, p.30; Song Young Sik and six others, Intellectual Ownership Act (Part II), Yukbupsa, 2013, p.118

and whether similarity of trademarks pertains to infringement of trademark right (if trademark right is acknowledged), and whether using similar trademark is an act of causing confusion with another person's goods in accordance with the Unfair Competition Protection Act.

Based on findings from the judgment of interest, intrinsic distinctiveness of a three-dimensional trademark, acquired distinctiveness, functionality of Trademark Act Article 7(1)(xiii), as well as specificity of a medical product will be discussed below.

2. Judgment 2013Da84568 on October 15th, 2015 by the Supreme Court

A. Case Overview

- The Plaintiff Pfizer Pharmaceuticals Inc. (hereinafter referred to as the 'Plaintiff Pfizer Pharmaceuticals') is a U.S. corporation which develops and sell multiple medical products including Viagra, a medical product for curing impotence. On November 6th, 2003, it filed its application for three-dimensional, colored trademark '  ' for medicines for curing cardiovascular disease and sexual dysfunction. It was granted registration decision on February 5th, 2005, and thus, completed registration on February 17th, 2005.
- The Plaintiff Pfizer Pharmaceuticals Korea Ltd. (hereinafter referred to as the 'Plaintiff Pfizer Pharmaceuticals Korea') is a subsidiary of the Plaintiff Pfizer Pharmaceuticals in the Republic of Korea, and has exclusively been importing and selling medical products produced by the Plaintiff Pfizer Pharmaceuticals since around 1998.
- The Defendant is engaging in production, sales, and advertisement of 'PalPalJung 50mg' ( , hereinafter referred to as 'Defendant's product 1') and 'PalPalJung 100mg' ( , hereinafter referred to as 'Defendant's product 2,' and collectively referred to as 'Defendant's products').

B. Claims of Plaintiffs³⁾

1) Infringement of Trademark (Cause of Action by the Plaintiff Pfizer Pharmaceuticals)

The Defendant's acts, such as engaging in production, sales, and advertisements of Defendant's products, which have entirely similar appearance with the registered trademark of this case, is an infringement on registered trademark of the Plaintiff Pfizer Pharmaceuticals

2) Unfair Competition due to an Act of Causing Confusion with Another Person's Goods (Cause of action by the Plaintiffs)⁴⁾

The shape of 'Viagra' product of the Plaintiffs (hereinafter referred to as 'Plaintiffs' product shape') is in itself an explicit and well-known product trademark that refers to the product of the Plaintiffs. The Defendant is producing and selling Defendant's products which explicitly imitates its appearance in an attempt to take advantage of the reputation of the 'Viagra' product. Such an act by the Defendant is highly likely to cause misunderstanding or confusion on the source of the product by consumers who purchase the products, and thus, is an act of causing confusion with another person's goods according to Unfair Competition Prevention and Trade Secret Protection Act (hereinafter referred to as 'Unfair Competition Protection Act') Article 2(1)(a).

C. Judgement by Court of First Trial - Dismiss Plaintiffs' Claim

1) Infringement of Trademark Rights - Denied

A) While it is difficult to deny that the Defendant had an intention to take advantage of the trust on efficacy, stability, etc. of Viagra by patients, who are the end users of the product, it is held that the Defendant's products are not using its shape and color as a trademark for the following reasons

3) While infringement of design right was claimed as cause of action in the first trial, it was not claimed in the second after its dismissal (Pfizer Ireland Pharmaceuticals, the owner of design right, was a co-plaintiff in the first trial, but did not appeal)

4) Other than this, there were claims that such an act by the defendant is an act that weakens the function of the unique and distinguishable mark in plaintiff's product shape, and that the act, which infringes on the profit of the plaintiffs that are ought to be under legal protection, is illegal according to civil code. However, such claims were not extended to be ruled by the second trial.

- Defendant's products are prescription-based medicines which are regulated to be specified by the names of the medicines in accordance with Medical Service Act and Pharmaceutical Affairs Act. Also, since their names are clearly indicated on their external and internal packaging, the shapes of the medical products are not used to distinguish the products in general
- Plaintiffs' product also uses trademark such as 'Viagra,' Korean letters for 'Viagra,' and 'Pfizer' along with the Plaintiffs' trademark, making it difficult to conclude that the Plaintiffs' trademark, a three-dimensional trademark, possesses distinctiveness as well as explicitness and prominence.

B) The shapes and colors of the Defendant's products use the shapes of the products which are normally used. Even if they are acknowledged for being used as trademarks, infringement of trademark right is denied because the trademark right is not effective for the following reasons

- The shape of the Defendant's products is a rhombus or diamond, which has been used for edible pills since long ago. Also, since the color used by the Defendant's products comes from blue tar color, which is regulated by the law, it cannot be claimed to be a unique color that is not generally used for pills
- The registered trademark of this case has the engraved text 'Pfizer' removed from the products of the Plaintiffs. Even if advertisements have been made about the blue diamond shape, no advertisements have been made just by emphasizing the Plaintiffs' trademark itself. Rather, it has been used together with trademarks such as 'Viagra,' Korean letters for 'Viagra' and 'Pfizer,' which are explicit and well-known trademarks. Considering this, it is difficult to acknowledge that the evidence submitted by the Plaintiffs is adequate to clearly recognize that products related to whose businesses are indicated by the Plaintiffs' trademark

2) Applicability of an act of causing confusion with another person's goods - Denied

Plaintiffs' products and Defendant's products are prescription-based

medicines. Professionals in the field of medicine, such as doctors and pharmacists, rarely confuse medical products, even though the products have similar shapes and colors. Therefore, even if the shapes and colors of the two medical products are similar, it cannot be concluded that such fact directly causes confusion.

The packaging of the two products are very different that anyone can easily tell their differences, so there is no likelihood of confusing them in the transaction stage. The Plaintiffs' products have outer packaging with white background color, as well as indigo band and thin sky-blue belt on the left. It has Korean letters for 'Viagra,' 'Viagra,' and 'Pfizer,' which are the trademarks of the Plaintiff Pfizer Pharmaceuticals Inc. written on it. Its internal packaging, which has silver background color, has 'Pfizer Pharmaceuticals Korea Ltd,' 'Viagra,' and 'Pfizer' written on its back.

On the other hand, the outer packaging of the Defendant's products, which has a black background color, has 'PalPalTab', 'PalPalJung,' and trademark which indicates the Defendant - . The internal packaging of 'PalPal 50mg,' which has a black background color, has 'PalPalJung' and Hanmi Pharmaceutical Co., Ltd. written on its back repetitively. While the internal packaging of 'PalPal 100mg' has silver background color, which is similar to the internal packaging of the Plaintiffs' product, its back side has 'PalPalJung' and Hanmi Pharmaceutical Co., Ltd. written on a black background repetitively.

D. Judgment by Court of Second Trial - Affirmed Plaintiffs' Claim

1) Infringement of Trademark Rights - Affirmed

A) The Outer Appearance of the Trademark Looks Similar

All of the shapes and colors of the registered trademark of this case and the defendant's products are about pills. When looking at plane figure and perspective view, which show most visible parts when used for pills, they have the same dominant characteristics in that both of their shapes are blue rhombus or blue diamond. However, their differences, such as the shape of their edges, are not that visible, considering the sizes of the pills which are approximately 1cm. Such points stand out when observing them in different times and places.

B) Defendant's Products are using Their Shapes and Colors as Their Trademarks

For the following reasons, it should be acknowledged that the shapes and colors of the Defendant's products have been used as trademarks in order to indicate the source of the products

- Relationship between the mark and the product : There is no evidence to acknowledge that a pill with 'blue diamond shape,' which combines rhombus or diamond shape with blue color, existed before the launching of the Plaintiffs' product 'Viagra.' Therefore, it is acknowledged that the registered trademark of this case has characteristics for the product which combines its shape and form in a unique manner
- Form of the mark used : The shapes and colors for the registered trademark of this case and the defendant's products are very similar, and the products -pills- where the mark has been used are the same. It is true that, when purchasing the product that is contained in its outer packaging, the names of the defendant's products, and the trademark which indicates the defendant, can be used at first in order to distinguish the product. However, as a characteristic of edible pills, customers ultimately take the pills after checking the shape and color of the pills after removing the packaging. Also, prescription quantity and capacity are different by patients, making it possible to have the pills traded with internal packaging or in single quantity
- The Defendant's products are receiving high interest of their consumers and the media due to their specificity for being medicines for curing impotence. While they are prescription-based medical products which require prescription, there are not a few cases where they are traded in singles without prescriptions among general consumers

C) Explicitness and Prominence of the Registered Trademark

'Viagra' and Korean letters for 'Viagra (비아그라),' which are registered trademarks of the Plaintiff Pfizer Pharmaceuticals Inc., are product marks which refer to the medicine for curing erectile dysfunction. 'PFIZER,' which is the registered trademark and company name of the Plaintiffs above, came to be widely known in ordinary people in Korea as product mark and business mark which refer to the medical product produced by the Plaintiffs above. As such, on the strength of the overwhelming explicitness and prominence of the product

marks 'Viagra' and Korean letters for Viagra (비아그라), the registered trademark of this case is viewed to have acquired significant distinctiveness on its source indication in an independent manner since its application (November 6th, 2003).

D) Intention of User and Details on Use

It may be assumed that, by launching the Defendant's products using the similar shape and the same color with the registered trademark of this case, the Defendant had an intention to take advantage of the quality assurance functions, which the registered trademark of this case has been established for a long time, including consumers' trust on the efficacy or stability of the Plaintiffs' product.

E) Effects of the Trademark Right are not Limited

It cannot be seen that the registered trademark of this case is marked by a general method for using the shape of the pills, is in a three-dimensional shape that is absent of distinctiveness, or is made with shape or color that is indispensable for acquiring the function of a pill. Rather, it seems to have acquired its distinctiveness regarding indication of source.

2) Applicability of an Act of Causing Confusion with Another Person's Goods - Affirmed

A) Function for Product Source Indication and Prominence

The shape of the Plaintiff's product, which combines blue color and diamond shape, has a unique design characteristic which appeals to consumers' senses. The product has accomplished strong promotions and advertisements by being used in a continuous, monopolistic, and exclusive manner as a product of Pfizer Pharmaceuticals Korea for a long time until the end of the proceeding of this case. It is acknowledged that the product has reached a level of prominent individualization to an extent that the distinctive characteristics of its form reminds the traders or general consumers about the product of the Plaintiffs above. Therefore, it seems that it possesses distinctiveness to an extent that general consumers can recognize it as a product of Pfizer Pharmaceuticals Korea at a glance.

B) Likelihood of confusion

The fact that the Defendant's products are, as a principle, traded only for the

professionals in medicine-related fields, with the names of the Defendant's products indicated on their packaging, is not sufficient to conclude that it is not likely that consumers will have no misunderstanding or confusion on the source of the product in a specific and individual manner. Considering that actual results of surveys conducted on pharmacists reveal a significant level of confusion, that the two products are engaged in a relationship of competition where its consumers clearly overlap, and that the Defendant's products are blatantly imitating the form of the Plaintiffs' product with an intention to take advantage of its distinctiveness, the possibility of its confusion may be acknowledged as well.

E. Judgment by Supreme Court - Remand after Reversal

1) On the reason for appeal that a reason for invalidation of trademark registration is so clear that exercising the trademark is an abuse of rights.

A) Applicability of Trademark Act Article 6(1)(iii) - Affirmed

Regarding the registered trademark of this case, whose designated products are cardiovascular medicines and medicines for curing sexual dysfunction, and which has been formed by combining a three-dimensional rhombus shape and blue color, its shape can be viewed as a general form of a pill, its designated product being a medical product. Considering the combination of the color, it seems that it does not go beyond a scope where it can be adopted as a form of pills in trades with consumers. Therefore, the registered trademark of this case has no distinctiveness, considering that it uses the method where the shape of the designated product is that regulated by Trademark Act Article 6(1)(iii).

B) Obtainment of acquired distinctiveness - Affirmed

According to former Trademark Act (the version prior to the amendment according to Act No. 12751 on June 11th, 2014) Article 6(2), even a trademark which pertains to Article 6(3) can be registered as a trademark if consumers can prominently recognize that the trademark is indicating a product for someone, as a result of using the trademark prior to filing application for trademark registration. The policy, which allows trademark registration according to obtainment of acquired distinctiveness like this, is granting a dominant right for marks which are originally not appropriate to be used exclusively by a specific person because it lacks distinctiveness. In order to determine whether a trademark in a three-

dimensional shape, such as a product, acquired distinctiveness due to its use, factors such as characteristics of the shape, period and duration of use, sales quantity and market share, duration and size of advertisements and promotions, magnitude of competitive use with other products that have similar forms as well as their shapes, and reputation and credit of the trademark user should be considered in a comprehensive manner in order to make stringent interpretation and application and evaluate whether the form is prominently recognized by consumers that it is indicating someone's product.

Meanwhile, sometimes, products are accompanied by marks in the form of symbols, characters, and shapes. These cannot be used immediately to deny obtaining acquired distinctiveness of the three-dimensional form of the product. Obtainment of acquired distinctiveness may be affirmed if the three-dimensional form of the product came to perform the function of indicating the source of the product in an independent manner in consideration of various factors for the attached mark, such as its outer appearance, size, location of attachment, and level of recognition.

The second trial, in considerations of the sales period and sales quantity of the Plaintiffs' 'Viagra' products, which combine three-dimensional, rhombus shape and the color blue like the registered trademark of this case, the Plaintiffs' consistent advertisement activities on the registered trademark of this case, which have been conducted using the phrase 'Blue diamond is forever,' diamond photos, blue rhombus shape on the palm, etc. separately from the Plaintiffs' product marks such as 'Viagra' and Korean letters for 'Viagra (비아그라)', frequency of exposure to press release, etc. of the registered trademark of this case by being referred to as 'blue diamond shape,' 'rhombus-shaped blue pill,' and 'blue diamond,' survey results on consumer recognition, as well as overwhelming explicitness and prominence of the Plaintiffs' product mark 'Viagra' and Korean letters for 'Viagra', indicates that it is sufficient to acknowledge that the registered trademark of this case has obtained acquired distinctiveness because it has been used for a specific product for a long time prior to application for the trademark, making consumers to prominently recognize that the registered trademark of this case is referring to the product related to the business of the Plaintiffs. Also, since the fact that the product is attached with a text mark does not cause impediment in making the aforementioned considerations, the second trial ruled that invalidation of the registration on registered trademark of this case due to absence

of distinctiveness is not explicit.

Such acknowledgement and ruling by the second trial are legitimate, and they have no illegality, such as making misunderstanding on the former Trademark Act Article 6(2).

C) Applicability of Trademark Act Article 7(1)(xiii) - Denied

As a principle, technical functions of products can be protected as patent right or utility model, only if they possess conditions for patents as regulated by the Patent Act or conditions for utility models as regulated by the Utility Model Act, within the scope of their duration. If they are protected as a trademark right for the reason of having distinctiveness on a three-dimensional shape which is indispensable for acquiring such functions, they end up allowing permanent exclusive right also for technical functions, which are indispensably accompanied with the three-dimensional shape for acquiring such functions, through renewal of the duration of trademark rights, not only coming to conflict with patent policy or utility model policy but also prohibiting rival companies from using such a three-dimensional shape even if they need to use the shape in order to exert specific functions, utility, etc. of their products for the sake of competition, causing an unfair result that disturbs free competition. Therefore, the Trademark Act was amended as Act No. 5355 on August 22nd, 1997 introduces trademark in three-dimensional shape as a type of trademark, newly creating Article 7(1)(xiii), which prohibits trademark, etc., that only consists of three-dimensional shape that is indispensable for acquiring the functions of a product from being registered as trademark, even if they satisfy the conditions for distinctiveness in Article 6, in order to encourage harmony with patent policies and to ensure free and efficient competition among rivals. Considering such legislative purposes, in order to determine whether a trademark in three-dimensional shape, such as product, falls under the legislation above, various factors, such as whether there is any alternative shape that is usable or is being distributed in the market where the product is being traded, whether the cost is equivalent to or below even if the product is produced with an alternative shape, and whether the three-dimensional shape exerts technical superiority which exceeds the original functions of the product, etc. have to be considered in a comprehensive manner.

According to reasons and records of the second trial, pills for internal use have various sizes, shapes, and colors available, allowing multiple alternative

shapes to be used. It can be learned that cardiovascular medicines and medicines for curing sexual dysfunction, which are designated products for the registered trademark of this case, are being produced and sold by multiple businesses in colors and shapes that are different from those of the registered trademark of this case, which is three-dimensional, rhombus shape in blue color, and that it is difficult to acknowledge that the combination of the above shape and color exert technical factors that go beyond the intrinsic function of a pill. In light of such facts, invalidation of trademark registration for the registered trademark of this case, for the reason that it is a trademark which consists only of a three-dimensional shape that is indispensable for acquiring the functions of the product that is subject to registration, cannot be explicit.

2) Similarity between Trademarks - Denied

Similarity of trademark ought to be evaluated by observing the trademark that is being compared in an objective, comprehensive, and detached manner in order to determine whether there are possibilities of causing mistaken recognition or confusion on trading in three aspects of outer appearance, name and concept. Also, evaluations on similarity of trademark should not be done by comparing the two trademarks under mere juxtaposition but by using different times and places in order to determine where the consumers who confront the two trademarks have possibilities of making mistaken recognition or confusion on the source of the product. If the two trademarks have the possibility of causing mistaken recognition or confusion on the source of the product when putting together the impressions, memories, associations, etc. that their outer appearances, names, and concepts give on the consumers, they can be deemed to be similar with one another. Notably, if trademarks in three-dimensional shapes have same or similar dominant impressions on their outer appearances, making the two trademarks to be used together on the same or similar products, and if the consumers are likely to make mistakes regarding recognition of, or confusion over the source of the product, the two trademarks should be considered as similar each other. If such is not likely, they cannot be considered as similar.

While the forms of the registered trademark of this case and the Defendant's products have some commonalities, it is reasonable to consider that the Defendant's products are distinguished from the registered trademark of this case, not only due to the differences in their forms, but also due to the names

written on their packaging and the products themselves, as well as the Defendant's trademark and company name in text of the Defendant's products, most of which are being provided by pharmacists under prescriptions by doctors at hospitals as prescription-based medicines. Therefore, the forms of the registered trademark of this case and the Defendant's products are not equivalent or similar to each other since it is difficult to acknowledge that they may possibly cause mistaken recognition or confusion by consumers.

3) Regarding Acts of Unfair Competition

While the forms of the registered trademark of this case and the Defendant's products have some commonalities, it is reasonable to consider that the Defendant's products are distinguished from the registered trademark of this case, not only due to the differences in their forms, but also due to the names written on their packaging and the products themselves, as well as the defendant's trademark and company name in text of the defendants' products, most of which are provided by pharmacists under prescriptions by doctors at hospitals as prescription-based medicines. Therefore, the forms of the Plaintiff's and the Defendant's products may not be likely to cause mistaken recognition or confusion by consumers, making the act of the Defendant for producing or transferring the Defendant's products not to fall under acts of unfair competition unfair competition in accordance with the Unfair Competition Protection Act Article 2(1)(i).

Nevertheless, it is ruled in the second trial that the act of the Defendant for producing or transferring the Defendant's products fall under acts of unfair competition unfair competition in accordance with Unfair Competition Protection Act Article 2(1)(i), so the ruling by the second trial contains illegitimacy which affected the judgment due to misunderstandings on acts of unfair competition.

3. Evaluation Criteria of Intellectual Property Office on Three-dimensional Trademark and Precedents of Supreme Court

A. Evaluation Criteria of Intellectual Property Office

「Indication of shape」 of a product or its packaging, regulated by Trademark

Act Article 6(1)(iii), is applicable for the case in which it directly indicates the outer appearance, shape (including patterns), and size of the product or its packaging in the relationship with the designated product. Notably, for three-dimensional trademark, this is applicable if it is recognized that the outer appearance of the product or its packaging expresses the general form of the product.

Even if partial changes or additional decorations are made on a three-dimensional shape which pertains to the general form of a product, the three-dimensional shape is considered not to have distinctiveness if it is recognized that such changes, merely contribute to the functions of the product or its packaging as well as aesthetic sensibility, failing to go beyond a scope that can be adopted by the trading society through the characteristics of the overall shape.

B. Precedents of Supreme Court regarding Three-dimensional Trademarks

Major precedent related to three-dimensional trademark includes Judgment 2002Hu710 by the Supreme Court. Whereas this judgment was regarding the 'shape of the product packaging' as well as combination of color and shape, the judgement of interest merely relates to the 'shape of the product.' Instructions on product shape was made by the recent Judgment 2013Hu1146, ruled by the Supreme Court on October 15th, 2014.

1) Judgement 2002Hu710 on June 25th, 2004 by the Supreme Court

A) Trademark Act Article 6(1)(iii) rejects registration of a trademark merely consisting of packaging which expresses the quality, utility, use, or shape of the designated product in a generally used method. The purpose of this regulation is that marks that express the contents listed in Article 6(1)(iii) are descriptive marks whose purpose are to describe the characteristics of the products, many of which are deprived of the functions for distinguishing the product from other products. Even if they possess the functions for distinguishing products, they are indications that are needed by anyone in terms of product trading, making their exclusive use by a specific person not to be legitimate in terms of public interest.

Since the container of a 'glue stick for office use' has the shape of a cylinder, which consists of a lid part, body part, and bottom part in general,

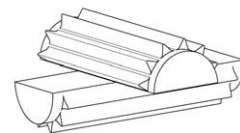
the shape of the container by itself has no distinctiveness. Even by considering the yellow color at the lid part and the bottom part, the green color at the body part, as well as its shape, the applicant trademark of this case '  ' has no function for distinguishing the product from other products because it is intuitively recognized that it indicates the shape of the designated product.

B) According to Trademark Article 6(2), a trademark can be registered, despite Articles 6(1)(iii), 6(1)(v), and 6(1)(vi) of the same Act, if consumers can clearly recognize the product related to whose business is the trademark indicating, as a result of using the trademark prior to its application. Since this grants a dominant right to a mark which can originally not be used by a specific person in an exclusive manner, its criteria should be strigently interpreted and applied. Therefore, it should be clear by evidence that the applicant trademark itself is clearly recognized by consumers.

The plaintiff have sold the 'glue stick for office use' by attaching a trademark called 'Ttakpul' since 1992. While it can be acknowledged that the plaintiff's product with the above trademark attached accounts for over 95% of the domestic market share, evidences are lacking to acknowledge that all or the most of 'glue stick for office use' sold by the plaintiff have had the same shape as the registered trademark of this case, which only consists of shape and color, and that the registered trademark of this case has been used as a trademark of 'glue stick for office use' produced and sold by the plaintiff in order to make consumers to clearly recognize it as the plaintiff's trademark. Therefore, the registered trademark of this case cannot be acknowledged to have obtained acquired distinctiveness in accordance with Trademark Act Article 6(2).

2) Judgment 2013Hu1146 on October 15th, 2014 by Supreme Court

A) The trademark of this case shown on the right, whose designated product is 'building blocks (toy) and toy block,' would be recognized by consumers at the time of the court's decision on this case as the shape of blocks which may be used to produce the form of an object by putting it together with another block using the gear-shaped groove and bump. Therefore, this is a mark which expresses the shape of the



designated product -building blocks (toy) and toy block- in a generally used method, pertaining to Trademark Act Article 6(1)(iii).

- B) While products are often attached with marks in the form of symbols, characters, such circumstance cannot be used immediately to deny acquired distinctiveness about the three-dimensional shape of the product. Acquired distinctiveness can be acknowledged if the three-dimensional shape of the product came to perform the function of indicating the source of the product in an independent manner, separately from the mark, when considering outer appearance, size, location of attachment, level of recognition of the mark attached.

After acknowledging the facts in the decision, the second trial ruled that, while the plaintiff has sold for a long time a block toy product, which consists of the blocks of this case in the second trial that are actual block parts that are almost equivalent to the applicant registration of this case, counterpart blocks which are to be put together with them, as well as parts with gear-shaped groove and bump and their counterparts, using the trademark called 'Morphun,' has made advertisements on the block toy product, and has made press releases through newspaper articles regarding the block toy product and programs that use it as its tool, considering the gravity of the block of this case among the block toys sold by the plaintiff, as well as the contents of the advertisements or press release sold by the block toy product, it is difficult to consider that the block of this case was used as a means to grant unique characteristics to the block toy product sold by the plaintiff. Furthermore, considering that multiple businesses in the ruling of the second trial, other than Morphun Korea operated by the plaintiff, also have sold block toy products that include block parts having the shape of the block of the case, it is judged that the registered trademark of this case is inadequate to have reached the level where most consumers recognize it to be referring to the product of a specific person. Therefore, the claim by the plaintiff that the registered trademark of this case obtained acquired distinctiveness in accordance with the former Trademark Act Article 6(2) was not accepted.

When studying the reasons of the second trial in light of the aforementioned legal principles and records, such judgment by the second trial is legitimate. There is no illegitimacy in it which affected the ruling due to

misunderstanding of the legal principles regarding acquired distinctiveness of a trademark, deviation from the limitations of free evaluation of evidence against the rules of logic and experience, or failure to perform required proceedings.

C. Precedents related to Unfair Competition Protection Act

1) Judgment 2006Do1157 on July 13th, 2007 by Supreme Court

As long as it is not protected by design right or patent right, the shape of a product can be imitated for production as a principle. However, if the shape of a product acquires the secondary function for indicating the source of the product and furthermore acquires prominence, it may be protected by Unfair Competition Protection Act by being applied as ‘other mark indicating another person’s business’ in Article 2(1)(a) of the same Act. Also, in order for the shape of a product to have a function for indicating the source and to acquire prominence in this case, the shape of the product need to have unique design characteristics which strongly appeal to consumers’ senses in comparison with other similar products, have a certain level of distinctiveness where general consumers can recognize the specific business owner of the product at a glance; furthermore the shape of the product ought to be used as the product of a specific business owner in a continuous, monopolistic, and exclusive manner for a long time, or a strong promotions or advertisements need to be made, even for a short period of time, making the discriminative characteristics of the shape of the product to be explicitly individualized that they make the traders of general consumers to be reminded of the product from a specific source.

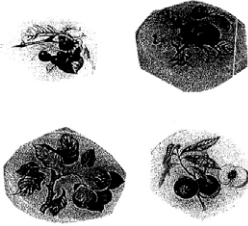
2) Cases with Affirmations

A) Judgment 2001Da83390 on November 27th, 2003 by Supreme Court

Toy of this case	Toy of the defendant	Toy of the defendant which has been changed after the warning
		

While it is easy to find kids’ toys which describes a family relationship in animals, the toy of this case, where ① the head part that has a circular cap, with its rim rolled up, and is perpendicular to the stomach, ② a little big eyes and the mouth that is slightly protruded, ③ the leg part formed by protruding 4 circular wheels to outside, and ④ the shell part which describes patterns by placing radial-shaped polygons while processing the sides with wheels in curves along with the shape of the wheels are combined to form the bigger turtle, and the smaller turtle is formed in a similar figure, cannot be considered as a form that is generally present in toy products that are distributed in the domestic market or a form that is deriving indispensably from the properties or the functions of the toy. Furthermore, the plaintiff has an history of expressing the form of the toy of this case as a background figure to newspaper advertisements for recruiting employees, and the toy of this case was selected as one of ‘Good Design Product’ by the Korea Association of Industrial Designers among domestic products produced from 1985 to 1992. Considering such facts, the form of the toy of this case possesses specificity which differentiates it from other toy products.

B) Judgment 2000Da67839 on February 8th, 2002 by Supreme Court

Pottery patterns of the claimant	Pottery patterns of the respondent
	

The claimant’s ‘Pomona’ pottery bowl set, engraved with the above fruit patterns, has been sold in Korea from 1991 to 2000, coming to be widely known among relevant consumers and traders through consistent sales and advertisement activities as can be seen by its sales performance over approximately KRW 10 billion. The fruit patterns engraved in the claimant’s ‘Pomona’ pottery bowl set are acknowledged with its distinctiveness from the patterns of other businesses in terms of their shapes, color, location and,

arrangements, and are widely known among relevant consumers and traders, being applicable as marks that indicate the source of the pottery bowl set.

3) Cases with Denial

A) Judgment 2002Da11410 on June 14th, 2002 by Supreme Court

Evidences are lacking to acknowledge that the characteristics of the form of the plaintiff's vegetable cutter have been prominently individualized that they remind traders or consumers about the product from a specific source with a specific quality.

B) Judgment 2002Da44925 on October 12th, 2001 by Supreme Court

It is difficult to acknowledge that the overall form of the vacuum cleaner of the creditor company, whose shape looks like a flat cylinder or a basket, or the cone shape of its internal part after separating the dust container from its main body is widely recognized in the domestic market as a mark that indicates the product of the creditor. Also, considering that vacuum cleaners with household use, whose shapes look like a flat cylinder or a basket, are imported and sold in the domestic market by other foreign companies, it is difficult that the form of the vacuum cleaner above has discriminative characteristics with distinctiveness.

D. Precedents on Three-dimensional Trademark in the Shape of a Pill (Judgment 94Ma33 on May 9th, 1994 by Supreme Court)

In general, professionals in medical-related fields, such as doctors and pharmacists, rarely confuse medical products from the similarity of the shapes and colors of medical products. Especially, two medical products of this case are both psychotomimetic agents, mostly being provided by pharmacists according to prescriptions by doctors at hospitals, and cannot be purchased by general consumers in general pharmacies without a prescription by a doctor. Therefore, even if the shape and color of "Alpram Tab," produced and sold by the respondent, is similar to those of "Xanax Tab," it cannot be ruled conclusively that it may be confused with the claimant's Xanax Tab.

The containers and packaging of the two medical products have differences that can easily be distinguished by anyone, having no likelihood of confusion in the trading stage. It is difficult to consider that there is a likelihood of confusion under the current Unfair Competition Protection Act merely with the

circumstance that it is difficult for patients, who passively take the medical products provided under prescriptions by doctors without being able to select medical products on their own, to distinguish the source of the medical product based on its form or its shape while its container or packaging is removed,

4. Evaluation Criteria of the Korean Intellectual Property Office and those of Foreign Countries regarding Functionality in Commercial Act Article 7(1)(xiii)

A. Purpose of Legislation

According to Trademark Act Article 7(1)(xiii), a trademark merely consisting of three-dimensional shape, which is indispensable to acquiring the functions of the product or its packaging that is subject to trademark registration, may not receive trademark registration despite Trademark Act Article 6. This is a regulation that has newly been created by the Trademark Act amended on August 22nd, 1997 as Act No.5355, which introduced trademarks with three-dimensional shapes as a type of trademarks, in order to promote harmony with the patent policy and to ensure free competition.⁵⁾

B. Evaluation Criteria by the Korean Intellectual Property Office

On July 31st, 2015, the Korean Intellectual Property Office introduced 'Guidelines on Functionality Evaluation of Three-dimensional Trademark' in a bid to reinforce functionality evaluation of trademarks, and announced that the new guideline shall be applied in evaluations beginning in August 2015. Its major contents are as follows.

1) Substitutability

- Evaluates whether there are other shapes, etc. that can substitute the three-

5) There is no special explanations by the National Assembly Information System regarding the legislative purpose of the above regulation in Act No.5855 amended on August 22nd, 1997. However, the legislative purpose is explained as above in explanations of Trademark Act Article 7(1)(xviii), which is in p.101 of 「Explanations on Trademark Act by its provisions」, published by the Korean Intellectual Property Office, which led to the introduction of the above regulation, in 2007.

dimensional shape. A trademark lacks functionality if there are multiple other shapes that can be replaced

- However, if it is something that is intrinsic to the purpose and usage of the product, it is evaluated to have functionality even if there are multiple other shapes

2) Inexpensiveness of production cost

- Even if there are other shapes that can replace a three-dimensional shape, if the production cost for the shape, etc. of the registered trademark is lower than those of others, or if the production process is so simple that there are limitations in engaging in a free competition in the market using other substitutable shapes, the three-dimensional shape is viewed to have functionality.
- It has functionality if it is engaged in advertisements or promotions related to reduced production cost or simplified process

3) Existence of patent or utility model

- Since utilitarian shapes can be protected by patents or utility model, a three-dimensional shape or its shapes can be viewed to have functionality if there were or are any patent or utility model about the three-dimensional shape, etc.

4) Advertisements and promotions related to convenience in distribution process and efficiency of usage

- Functionality is acknowledged if significant level of convenience in product distribution in terms of its preservation, transport, and handling derives from the product or the form of its packaging
- Notably, functionality is present if there are advertisements or promotions related to significant efficiency of usage in the use of the product due to its shape, etc.

5) Other notes

- Since evaluation of functionality is applied to three-dimensional shapes which are indispensable to acquiring the functions of the product or its packaging, it should be determined not based on whether the product itself is functional,

but based on whether the three-dimensional shape of the product or its packaging is functional

- Evaluation is made through comprehensive evaluation on whether the utilitarian advantage of three-dimensional shape of a product or its packaging provides vast superiority in competition to the user of the product and whether the monopoly of such shapes of the product or its packaging unfairly disturbs competition in the industry
- If a registered trademark is considered to have functionality in general, it is evaluated to have functionality even if it includes some factors that are not functional

C. Evaluation Criteria on Functionality Evaluation of Three-dimensional Trademark by Foreign Countries

- 1) Federal Trademark Act of the United States America merely regulates that 'marks with functionality in general are rejected to be registered as trademark by State Registration Department,' relegating the criteria for functionality evaluation wholly on precedents and studies.⁶⁾ In evaluating functionality, US Patent and Trademark Office considers ① presence of a patent which includes the shape of the product, etc. or the similar shape, ② presence of an advertisement which promotes utilitarian advantages, ③ whether the registration of the shape of the product, etc. that is ultimately filed may disturb competition in the related field and whether there is a need for its free use for the sake of free competition, based on the presence of substitutable shapes. These seem to have accepted the evaluation criteria of the American precedents.⁷⁾
- 2) Regarding functionality principles, the EC trademark regulations prohibits ① shapes that derive from the intrinsic property of the product, ② shapes required for obtaining technical results, ③ and marks that consist only of shapes that provide practical value on the product from being registered as trademarks.⁸⁾ EU members such as Germany, UK, and France reflect

6) Yoo Young Sun, Study on Functionality Principles, Kyungin Publishing(2012), p.44

7) Yoo Young Sun, *ibid.* p.303-304

8) Functionality principles were stipulated as above in Article 2 of First Directive, 89/104/EEC upon

regulations of such purpose on the Trademark Acts of their countries,⁹⁾ and the Japanese Trademark Act has regulations that are almost identical to the Korean Act.

5. Review

Whereas the right of exclusive monopoly for a certain period of time should be given as patent right and utility model right for improvement of product functions and as design right for improvement of esthetic sense, allowing them to be registered as three-dimensional trademark in general ends of acknowledging permanent monopoly through renewal of their durations. Therefore, a three-dimensional trademark should not be utilized as a means for monopolizing the shape of a product in a permanent manner. It should only be recognized as a trademark only if it can be recognized by consumers for indicating its source and if there are alternative shapes that can be chosen by rival businesses.

Three-dimensional trademark which often become problematic in terms of practical business is a trademark which makes a design of the 'three-dimensional shape of a designated product or its packaging.' In general, a three-dimensional trademark which is recognized by general consumers or traders to be expressing the designated product or its packaging is highly likely not to receive registration by being applied as a technical trademark which expresses its 'shape' in a generally used method according to Trademark Act Article 6(1)(iii).

However, if a product shows high market ratio in the market for a long period of time, the level of recognition by consumers on the three-dimensional shape inevitably rises. If late starters consequently begin development and production of products with similar forms, this leads to disputes on whether acquired distinctiveness or prominence has been obtained.

There have not yet been an adequate amount of precedents for evaluating

its legislation on December 21st, 188 for harmonizing the Trademark Acts of its member countries at the time of the European Community (EC) Afterwards, each provision of the above guideline was continued on Council Regulation, EC No. 10./94, legislated on December 20th, 1998, being regulated equally in Article 7(1)(e).

9) Yoo Young Sun, *ibid.* p.45-50

whether a three-dimensional shape obtained acquired distinctiveness as a trademark in such case. The judgment of interest that ruled on an issue, which combines existence of intrinsic distinctiveness of three-dimensional trademark, obtainment of acquired distinctiveness, acknowledgement of functionality and infringement, and acts of causing confusion on with another person's goods, would play a role as an important pioneering precedent.

First, in light of the judgment of interest and the aforementioned precedents, the shape of the designated product itself is more likely than product packaging to fall under an expression using a method which makes general use of the shape of the designated product as regulated by Trademark Act Article 6(1)(iii). Therefore, the evaluation by the proceeding of this case on whether acquired distinctiveness or prominence was obtained in an early stage should focus on factors such as period and duration of use, sales quantity and market ratio, and duration and size of advertisements and promotions.

Also, evaluation on obtainment of intrinsic distinctiveness, acquired distinctiveness, or prominence ought to reflect not only the shape of the designated product but also all of the various characteristics that are unique to the designated product. However, medical products are bound to have limitations in their forms, and the judgment of interest, which ruled on public aspects of medical products and specificity of prescription method, shows that the focus, or methods on evaluation of distinctiveness may vary according to characteristics of individual designated products.

Also characteristics of individual designated products as above may be considered in various methods in multiple stages such as presence of distinctiveness, functionality, and similarity. The judgment of interest, which acknowledges the trademark of Viagra product as a three-dimensional trademark, actively reflects the specificity of prescribing medical products in the stage of determining the similarity of products, being a good example which illustrates the method of considering the specificity of individual products for evaluating infringement of trademark right.

Notably, regarding medical products, it seems that there will occur consistent disputes regarding imitations in the colors of original medical products by generics which will be launched once the patents of the original medical products, which have been protected by their patent rights, expire. At this time, factors such as characteristics of each medical product and the effects to be

accomplished through the similar form should be evaluated in a comprehensive manner.

It should be noted that the subjects for the judgment of interest are medical products, which are designated products that have strong specificity. Rather than using uniform criteria on obtainment of distinctiveness or prominence for other designated products, various characteristics of each individual designated product should be adequately reflected in making evaluations. In such aspect, the judgment of interest presents open criteria on factors such as intrinsic distinctiveness, acquired distinctiveness, functionality, and infringement, being a precedent which provides significant implications to the Intellectual Property Office which is marked by high concentration of jurisdiction on infringement cases.

Lastly, whereas functionality is regulated by Article 7(1)(xiii) (separate to Trademark Act Article 6 which describes distinctiveness) to disallow registration despite obtainment of acquired distinctiveness, there has not yet been a special precedent on whether a trademark with a three-dimensional shape 'pertains to the above regulation about a three-dimensional shape that is indispensable for acquiring functions of products, etc.' in Trademark Act Article 7(1)(xiii). Therefore, the judgment of interest also has significance in establishing the relationship between distinctiveness in Trademark Act Article 6 and the provision above, as well as their evaluation criteria.

Guidelines

Guideline of Practice and Procedure of Revocation Action in the Patent Court of Korea

Patent Court

I. Purpose of the Guideline

The Guideline of Practice and Procedure of Revocation Action in the Patent Court of Korea (hereinafter, “Guideline”) is prepared to facilitate expeditious and efficient cancellation proceedings involving complex issues regarding patents, utility models, trademarks or designs by prescribing matters such as procedural discussions, designation of deadlines for submitting arguments and rebuttal arguments, and focusing examination on disputed issues. In addition, by prescribing and publicly disclosing proper hearing procedures and methods for requesting and examining evidence, the Guideline provides predictability to the interested parties and facilitates diligent preparation in litigation proceedings.

II. Submission of Petition and Brief

1. Submission of Petition by Plaintiff

A. The plaintiff shall set forth in detail the following matters in its petition:

- ① Procedural background on the examination of the Korean Intellectual Property Office (hereinafter, “KIPO”) and the trial of the Intellectual Property Trial and Appeal Board of KIPO (hereinafter, “IPTAB”);
- ② A summary of the decision (the arguments of the parties and the judgment thereon by the IPTAB at the trial stage);
- ③ Acknowledged parts and unacknowledged parts among the grounds for the decision;

- ④ All arguments relating to erroneous grounds of the decision;
- ⑤ Notice of related cases (inclusive of the progress and outcome of related trials and cancellation of decision actions including correction trials and petitions for correction, related civil cases on merits and petition cases, and criminal cases; if the plaintiff fails to notice such cases, the cases may be not considered during the litigation proceedings); and
- ⑥ Opinion on the overall litigation proceedings, including any plan for request for evidence.

B. The plaintiff shall submit evidence corresponding to items ① to ⑥ above and explanatory documents for evidence describing the purport of the evidence. In particular, the plaintiff shall be careful to ensure that the following basic evidentiary documents and requisite attachments thereto, such as a power of attorney for litigation, a corporate registry or a certificate of corporate nationality (if the party is a foreign corporation), and a certificate of service of a decision, are not omitted.

- ① Revocation of refusal decision case: Decision, application, preliminary rejection, amendment, opinion, and rejection decision;
- ② Revocation of invalidation decision case: Decision, original register, registration publication, evidence relating to prior art (including prior conception, prior-registered trademarks, prior-used trademarks, prior designs); and
- ③ Revocation of decision on scope of right case: Decision, original register, registration publication, explanatory documents and drawings of invention (including conception, trademark, design, etc.).

C. If the petition fails to set forth the requisite matters described in Paragraph A above or omits the basic evidentiary documents or requisite attachments thereto as described in Paragraph B above, the presiding judge or a court clerk authorized by the presiding judge issues an order to submit a supplemental brief or the omitted basic evidentiary documents or attachments. No later than 3 weeks after receipt of the order, the plaintiff shall

submit a preparatory brief, evidence, or documents according to the order.

2. Submission of Response Brief by Defendant

A. No later than 3 weeks from service of the plaintiff's petition or brief containing specific grounds for petition, the defendant shall submit a response brief, including the following matters, together with cited evidence and explanatory documents for evidence, in accordance with a preparatory order.

- ① Response to the purport of petition;
- ② Acknowledged parts and unacknowledged parts among the plaintiff's arguments;
- ③ Detailed rebuttal arguments on the unacknowledged parts of the plaintiff's arguments;
- ④ All additional arguments relating to proper grounds of the decision;
- ⑤ Notice of related cases (inclusive of the progress and outcome of relevant trials and revocation actions including correction trials and petitions for correction, related civil cases on merits and preliminary injunction cases, and criminal cases; if the plaintiff fails to provide a notice of such cases, the cases may be not considered.);
- ⑥ Statement on the evidentiary documents submitted by the plaintiff; and
- ⑦ Opinion on the overall litigation proceedings, including any plan for request for evidence.

B. The presiding judge may issue an order requesting the plaintiff to submit detailed rebuttal arguments, additional evidence, etc. No later than 3 weeks after receipt of the order, the plaintiff shall submit a preparatory brief, evidence or documents, etc.

III. Classification of a Case and Pre-Hearing Procedure

1. Classification of a Case

Upon completion of written arguments, the presiding judge reviews the case based on the briefs and evidence, and classifies the case as (i) a case requiring immediate designation of a hearing or (ii) a case requiring a case management conference and preparatory hearing.

2. Preparatory Order for Hearing

For a case requiring immediate designation of a hearing, in order to conduct the proceedings in a diligent manner, the presiding judge may issue a preparatory order requesting the plaintiff and the defendant to submit a summary brief on disputed issues. In addition, the presiding judge may issue a preparatory order designating deadlines for submission of arguments and evidence and for request for evidence that require a substantial amount of time such as expert witnesses, etc.

3. Video Conference for Case Management

- A.** The presiding judge may discuss the procedural matters of the case with the parties simultaneously through video and audio communication means (hereinafter, “video conference for case management”). The presiding judge may designate a judge to be in charge of the above process.
- B.** The Court may notify the plaintiff and the defendant of the video conference and issue a preparatory order with regard to the conference.
- C.** In a video conference for case management, the following matters may be discussed and a preparatory order (scheduling order) may be issued based on the results of the discussion.

- ① The number and dates of hearings, and matters to be addressed for each

hearing;

- ② Deadlines for submission of arguments and evidence (including deadlines for submission of comprehensive briefs and expert statements, and the number or volume of briefs to be submitted);
- ③ Whether to request for evidence requiring a substantial amount of time such as verification, appraisal, and expert witness, and the deadline for such request;
- ④ Whether to designate a technical advisor;
- ⑤ Whether to hold a technical explanatory session by the parties;
- ⑥ Whether to hold a claim construction hearing first; and
- ⑦ Confirmation and summary of issues.

D. If the Court orders submission of comprehensive briefs on the overall or particular issues of the case in a preparatory order, the plaintiff shall submit a comprehensive brief no later than 3 weeks from the date of the video conference for case management (or a deadline designated in the preparatory order), and the defendant shall submit a comprehensive brief no later than 3 weeks from the date of the plaintiff's submission of its comprehensive brief (or a deadline designated in the preparatory order).

E. If a party seeks to add any new or modified argument or submit evidence for such argument after the deadline for submission of arguments and evidence designated in the preparatory order, the party shall provide an explanation for the failure to submit the argument or evidence within the designated period based on a justifiable cause [e.g., addition or modification of arguments such as an argument relating to the statement of claim or defense, an argument that changes the closest prior art relating to novelty, inventive step, and a free-to-practice technology defense or that adds or changes prior art and the combination relationship thereof, an argument for lack of sufficient description in the specification based on a different legal provision, etc.].

4. Preparatory Hearing

- A.** The Court may hold a preparatory hearing if deemed necessary for discussing the matters set forth in Section 3, Paragraph C above, examining evidence, or holding a technical explanatory session. The presiding judge may designate a judge to be in charge of the above process.
- B.** If a party seeks to add or modify an argument or submit evidence for such added or modified argument after the closing of the preparatory hearing, the party shall provide an explanation for the failure to submit the argument or evidence before the closing of the preparatory hearing based on a justifiable cause similar to the previous Section.

IV. Oral Hearings

1. Conduct of Oral Hearings

- A.** Each party shall present an oral argument for no longer than 20 minutes, in the order of the plaintiff and the defendant. Even when a party has retained more than one attorney-of-record, the party shall present its oral arguments within the above time period. If deemed necessary, the presiding judge may adjust the time.
- B.** Any materials, summary briefs on disputed issues for oral arguments shall be submitted by no later than 1 week before the designated date for each hearing.
- C.** At hearings, the parties may present oral arguments by bringing and demonstrating the products related to the case (e.g., products implementing a registered patent/design, a prior art, an invention/design subject to confirmation, etc.), or by playing video materials or presenting photos, via a computer, a visual presenter, etc. at the court, which might be helpful in understanding related technologies.

2. Separate Oral Hearings according to Issues

- A.** Where it is deemed necessary to hold oral hearings according to specific issues because several issues are in dispute in the case, the Court may consult with the parties and hold separate oral hearings according to issues.

(Example cases eligible for separate oral hearings on an issue-by-issue basis)

A case where claim construction or whether prior art was published is an issue to be resolved first; a case where multiple grounds for invalidation are asserted; and a case in which whether an invention subject to confirmation is specified and implemented is at issue.

- B.** At each of the hearings, the scope of the hearing is limited to the disputed issue designated for that hearing.
- C.** After a hearing, the Court may disclose its opinion, either orally or in writing, regarding disputed issues on which examination has been completed, and may order the parties to prepare for hearings on other remaining disputed issues based on the Court's opinion above.

3. Hearings for Claim Construction

- A.** In a case where the parties are in dispute over the claim construction, according to which the arguments or evidence concerning the remaining issues may be different, and thus a hearing for claim construction needs to be conducted first, the presiding judge may conduct a hearing for claim construction upon consultation with the parties.
- B.** If there are any pending correction trial or petition for correction relating to claims that are in dispute, the parties shall notify the Court of the progress of such trial or petition. The parties shall inform the Court of their plan on the correction trial or petition for trial in detail.
- C.** The Court may disclose its opinion on the claim construction, either orally or in writing, and order the parties to prepare for hearings directed to the other

remaining disputed issues based on the Court's opinion above.

4. Hearings of an Infringement Action relating to Revocation of IPTAB Decision Action

- A.* If deemed necessary, such as when both a revocation of IPTAB decision action and an infringement action involving same patent, utility model, trademark or design are pending concurrently before the Court and are litigated by same parties and attorneys-of-record, the Court may examine both actions in parallel.
- B.* If it is necessary to organize related arguments in an infringement action and a revocation of IPTAB decision action, the Court may conduct preparatory proceedings for these actions in parallel.

V. Examination of Evidence and Participation of Experts

1. Application to Adduce Evidence in General

- A.* If a party submits any evidentiary documents or files a request for witness, inquiry of facts, certified copy of document, document submission order, verification, appraisal, etc., the party shall specify in detail what the party intends to prove by such evidentiary means.
- B.* If deemed necessary, the presiding judge may conduct a preparatory proceeding for discussing evidence examination procedure. The presiding judge may discuss procedural matters via a video conference upon consultation with the parties.

2. Verification and Appraisal

- A.* If deemed necessary, the Court may conduct verification or appraisal procedures either upon a party's request or on an ex officio basis.

- B.** If deemed necessary, the Court may conduct a preparatory proceeding for the decision on the request, confirming objects and method of verification or appraisal, confirming a factual premise, providing necessary materials, selecting an appraiser, etc. The presiding judge may discuss procedural matters via a video conference upon consultation with the parties and issue a preparatory order.
- C.** If a reason is deemed to exist, the Court may order submission of the objects of verification or appraisal.

3. Expert Witnesses

- A.** If a party files a request for an expert witness, the party shall attach a basic declaration of the expert witness that can confirm the expertise and objectivity of the witness. If the request is accepted, the party shall submit a witness statement containing the testimony of the expert witness and a questionnaire for witness examination.
- B.** A direct examination of the expert witness shall be conducted within the scope of the statement of the expert witness. All materials presented or cited in the direct examination shall be submitted as evidence before the date designated for examining the witness.
- C.** If an expert witness is a foreigner, the parties may be respectively accompanied by an interpreter for direct and cross examinations. In such case, the parties shall notify the Court of the personal information and interpretation fees in advance, etc. If a party cannot be accompanied by an interpreter, the party shall notify the Court of the same 4 weeks before the witness examination date and file a request for designation of an interpreter.
- D.** The presiding judge may issue a preparatory order for examination of an expert witness including deadlines for submission of a statement of the expert witness and a questionnaire for the direct examination, limitation of

the time for examination, and deadlines for submission of arguments and evidence for impeaching the credibility of the expert witness testimony.

4. Technical Advisors

A. If deemed necessary, the Court may hear opinions of the parties and designate one or more technical advisors.

B. A preparatory hearing may be held if it is deemed necessary for technical advisors to understand the case.

C. In a hearing or preparatory hearing, technical advisors may directly question the parties with approval of the presiding judge. If it is necessary for a party to supplement its answer to a question from the technical advisors, the party shall submit its opinion in writing by a deadline designated by the presiding judge.

VI. Preparation of Documents and Submission of Evidentiary Documents

1. Petitions, Responses, and Briefs

A. Forms and Contents

- ① The paper size of documents shall be A4 (210 mm × 297 mm) with a top margin of 45 mm, left and right margins of 20 mm, and a bottom margin of 30 mm (excluding a page numbering).
- ② The font size shall be 12pt, and there shall be a line space of no less than 200% or 1.5 lines.
- ③ The length of briefs shall not exceed 30 pages. If a brief of more than 30 pages is submitted, the presiding judge may return the brief and order the party to resubmit the brief by reducing to 30 pages or less. The presiding judge may discuss the length, etc. of briefs with the parties. If an

agreement is reached during the discussion, the parties shall submit briefs in accordance with such agreement.

- ④ If any evidence supporting an argument is submitted, a number for the evidence shall be indicated on a corresponding portion thereof.
- ⑤ Technical terms shall be defined in footnotes and the sources thereof shall be identified.
- ⑥ Summary briefs on disputed issues shall briefly state a summary of the grounds for the plaintiff's petition for cancellation of decision, undisputed facts, a summary table of disputed issues, explanation of evidence, additional evidence to be submitted, acceptance/denial of evidentiary documents, clarification, opinion on litigation proceedings, etc.
- ⑦ Comprehensive briefs shall include a summary of all arguments regarding the issues on which the Court ordered, and main evidence for such arguments.
- ⑧ In briefs, contents identical or similar to those included in petitions, responses or previous briefs shall not be needlessly repeated, nor shall be cited in part or as a whole.

B. Instructive Note

- ① If any claims or descriptions in the specification of a patent or utility model are changed due to a petition for amendment or correction, such changes shall be stated in detail, and claims or descriptions in the specification subject to litigation shall be specified.
- ② If any rights relating to a patent, utility model, trademark or design at issue is changed, the details of such change and the ultimate holder of such rights shall be stated.
- ③ Among the prior arts submitted at the trial phase, those included in and excluded from the revocation action shall be stated separately. In addition, it shall be clearly specified whether an evidentiary material is submitted either as a prior art or evidence for proving well-known technologies,

ordinary skill in the art, level of ordinary skill. If a single document contains multiple inventions, it shall be clearly specified as to which of the multiple inventions is asserted to be prior art.

- ④ The features of prior arts shall be specified in detail, and a feature comparison chart comparing the corresponding features of the patented invention and each of the prior arts shall be submitted. The comparable features of well-known technologies shall also be specified.
- ⑤ If an argument is made regarding inventive step or free-to-practice technology, the person of ordinary skill in the art and the level of ordinary skill in the art shall be specified in detail.
- ⑥ If an argument is made regarding denial of inventive step by a combination of prior arts, a main prior art shall be selected, and a specific combination relationship of the prior arts and the grounds for the ease in combining the prior arts shall be specified.

(Example) The inventive step of the Claim is denied by Prior Arts 1 to 3 (X).

If the feature ○ ○ ○ ○ of Prior Art 2 is added to Prior Art 1 which is the main prior art invention (or if the feature 2 of Prior Art 1 is replaced with the feature ○ ○ ○ ○ of Prior Art 2), the patented invention is derived. Since Prior Art 1 discloses a suggestion for such combination, a person of ordinary skill in the art could have easily conceived such combination, and thus the inventive step of the patented invention is denied (O).

- ⑦ An argument regarding a lack of written description in the specification shall specify an applicable legal provision on which the argument is based such as whether the patent or utility model at issue can be readily practiced by the explanation therein (Article 42(3)1 of the Patent Act), whether a claim is supported by the explanation of the patent or utility model at issue (Article 42(4)1 of the Patent Act), whether the scope of a claim of the patent or utility model at issue is clearly specified (Article 42(4)2 of the Patent Act), etc.
- ⑧ If it is necessary to conduct a hearing for claim construction first, the grounds thereof shall be specified, and the terms for which claim

construction is necessary, descriptions relating to such terms in the specification, the parties' proposed claim constructions, and specific grounds for such constructions shall be stated.

- ⑨ In case of a revocation action against a trial decision regarding examiner's rejection, the defendant shall state the grounds for rejection set forth in a preliminary rejection notice and a rejection decision issued by an examiner of KIPO, and a preliminary rejection notice and a rejection decision issued by IPTAB, and clearly specify which of the rejection grounds are asserted in the litigation proceedings.

2. Explanatory Documents for Evidence

- A.** All evidence submitted by a party shall be stated, and the purport to be proved therefrom shall be briefly described.
- B.** If evidence is submitted in relation to an argument regarding novelty, inventive step, or free-to-practice technology, it shall be clearly specified whether the evidence is submitted as a prior art or as evidence of a well-known technology.

3. Evidentiary Documents, Etc.

- A.** Even if a material was submitted by a party during the examination or trial stage, it may not serve as a basis for judgment unless such material is submitted as evidence during the litigation proceedings. Therefore, a party shall submit all necessary materials, however, that such materials shall not overlap with those submitted by the other party. In particular, each of the following documents shall not be omitted since they may serve as important basis for judgment during the litigation proceedings.

(Example) Decision, application and initial specification, preliminary rejection notice, amendment and response, petition for re-examination, examiner's rejection decision, petition for correction, explanatory document/drawing/amendment of invention subject to confirmation, prior art references, etc.

B. Written documents in a foreign language shall be submitted with a translation attached thereto; however, machine translations shall not be submitted. Particularly for main evidence such as prior arts, the translations of the full text, not excerpted translations, shall be submitted. In the translations, the portions concerning evidentiary purport shall be highlighted by underlines, etc.

C. An evidentiary document shall indicate a title if the title of the document exists, or a summary of the document, if the document has no title. An evidentiary document submitted as a prior art shall indicate the same.

(Example) “Product Catalogue of Company ○○ (published on January 2, 2006)” and “Prior Art 1 (Registered Patent Publication No. 00000).”

D. Each evidentiary document shall contain only a single evidentiary item. If evidentiary items are mutually related, an evidentiary document shall indicate the evidentiary items as multi-level numbers (e.g., Plaintiff’s Exhibit No. 2-1, 2-2, etc.).

E. For the avoidance of confusion, the numbers following those previously assigned to prior arts submitted at the trial stage shall be assigned to prior arts newly submitted in the revocation action. For example, if Prior Arts 1, 2, and 3 were submitted at the trial stage, and in the case where Prior Art 1 is to be submitted as it is and Prior Arts 2 and 3 are not to be submitted in the revocation action, a new prior art to be submitted should be designated as Prior Art 4.

F. If there is any product, model, photograph, video material, etc., which may facilitate understanding of the technical details of or the specific shape of the patent, utility model, etc., the parties shall submit the same as evidence. In a case concerning a trademark or design, if the original document is in color, the evidentiary document shall be submitted in color. (End)

Guideline of Civil Appellate Practice and Procedure of the Patent Court of Korea

Patent Court

I. Purpose of the Guideline

The Guideline of Civil Practice and Procedure of the Patent Court of Korea(hereinafter to as “the Guideline”) is prepared to facilitate expeditious and efficient civil appeal proceedings involving complex issues by prescribing matters such as procedural discussions, designation of deadlines for submitting arguments and rebuttal arguments, and focusing examination on disputed issues. In addition, by prescribing and publicly disclosing the hearing procedures and methods for requesting and examining evidence adapted to the nature of patent actions, the Guideline provides predictability to the interested parties and facilitates diligent preparation in appeal proceedings.

II. Petition of Appeal and Preparatory Order

1. Preparatory Order to Appellant

- A.** If a petition of appeal does not contain the statement of sufficient grounds of appeal, the Court issues a preparatory order requesting appellant to submit of a statement of grounds of appeal, immediately upon receiving the petition for appeal.
- B.** No later than 3 weeks from receipt of the preparatory order, the appellant shall submit a statement of grounds of appeal including the following:
- ① Errors of fact and errors of law in the judgment of the lower courts;
 - ② A summary of the factual and legal arguments made by the appellant and the appellee in the lower court, and undisputed facts among the appellee’s

arguments;

- ③ A summary of the evidence submitted in the lower court and the purport of the evidence;
- ④ New arguments raised in appeal, new evidence presented in appeal and the purport thereof, and the reason(s) for the failure to present the arguments and evidence in the lower court;
- ⑤ Notice of related cases [all cases pending in the Intellectual Property Trial and Appeal Board of the Korean Intellectual Property Office(hereinafter to as “the IPTAB”) or in the court and involving the same patent, utility model, trademark or design shall be deemed to be related cases (including a case initiated by a petition for correction trial and a petition for correction). If the appellant fails to notice such cases without a justifiable cause, the cases may be not considered during the appeal proceedings]; and
- ⑥ Whether the appellant desires mediation or settlement.

2. Preparatory Order to Appellee

A. No later than 3 weeks from service of the appellant’s brief containing the grounds for appeal, the appellee shall submit a statement of response including the following:

- ① Answer to the appellant’s arguments and undisputed portions among the appellant’s arguments;
- ② A summary of the evidence submitted in the lower court and the purport of the evidence;
- ③ New arguments raised in appeal, new evidence presented in appeal and the purport thereof, and the reason(s) for the failure to present the arguments and evidence in the lower court;
- ④ Notice of related cases [all cases pending in the IPTAB or in the court and involving the same patent, utility model, trademark or design shall be deemed to be related cases (including a case initiated by a petition for

correction trial and a petition for correction). If the appellee fails to notice such cases without a justifiable cause, the cases may be not considered during the appeal proceedings]; and

- ⑤ Whether the appellee desires mediation or settlement.

B. If the appellee fails to submit a statement of response or answer to the ground of appeal is not sufficient in the statement of response, the Court may issue a preparatory order requesting appellee to submit a statement of response describing the purport of the response in detail.

3. Instructions Relating to New Arguments and Evidence

In the case where the lower court held a preparatory hearing or designated a deadline for submission of arguments, if a party seeks to add new or modified arguments that had not been submitted by the conclusion of the preparatory hearing or the designated deadline in the lower court or to submit any evidence for the new or modified arguments, the party shall provide a detailed explanation for the failure to submit the argument or evidence within such period based on a justifiable cause, provided that submission of such argument or evidence does not cause a substantial delay in the appeal proceeding.

III. Classification of a Case and Pre-Hearing Procedure

1. Classification of a Case

Upon submission of a statement of the grounds for appeal, the presiding judge reviews the case based on the briefs and appeal record and classifies the case as a case requiring immediate designation of a hearing, a case requiring a case management conference or a preparatory hearing, or a case to be referred to an early mediation proceeding.

2. Preparatory Order for Hearing

For a case requiring immediate designation of a hearing, in order to conduct the proceedings in a diligent manner, the Court may issue a preparatory order to the appellant and the appellee designating deadlines for submission of arguments and evidence and for requests for evidence that require a substantial amount of time such as an expert witness.

3. Video Conference for Case Management

A. After hearing opinions of the parties, the presiding judge may discuss procedural matters of the case with the parties simultaneously through video and audio communication means (hereinafter, “video conference for case management”). The presiding judge may designate the judge to be in charge of the above process.

B. The Court may notify the appellant and the appellee of the video conference and issue a preparatory order with regard to the conference.

C. In a video conference for case management, the following matters may be discussed:

- ① Dates and the number of hearings, and disputed issues to be addressed in each of the hearings;
- ② Deadlines for submission of arguments and evidence (including deadlines for submission of comprehensive briefs and expert’s statement, and the number or volume of briefs to be submitted);
- ③ Whether to request for evidence requiring a substantial amount of time, such as an expert witness, and the deadline for such a request;
- ④ Whether to hold a technical explanatory session by the parties;
- ⑤ Whether to refer the case to a mediation proceeding; and
- ⑥ Confirmation and summary of issues.

D. The Court may issue a preparatory order (scheduling order) based on the

results of the video conference for case management.

E. If the Court orders submission of comprehensive briefs in a preparatory order, the appellant shall submit a comprehensive brief no later than 3 weeks from the date of the video conference for case management (or a deadline designated in the preparatory order) and the appellee shall submit a comprehensive brief no later than 3 weeks from the date of the appellant's submission of its comprehensive brief (or a deadline designated in the preparatory order).

F. Each party shall describe all arguments in its comprehensive brief (including the arguments that were made in the lower court and not withdrawn) and submit main evidence for the arguments. If the Court has ordered submission of comprehensive briefs for specific issues, the comprehensive briefs shall include all arguments relating to the specific issues.

G. If a party seeks to add any new or modified argument or submit evidence for such argument after the deadline for submission of arguments and evidence designated in the preparatory order, the party shall provide an explanation for the failure to submit the argument or evidence within the designated period based on a justifiable cause [e.g., addition or modification of arguments such as an argument relating to the statement of claim or defense, an argument that changes the closest prior art ("main prior art") relating to novelty, inventive step or a free-to-practice technology defense or that adds or changes prior art and the combination relationship thereof, an argument for lack of sufficient description in the specification based on a different legal provision, an argument contrary to the judgment of the lower court, etc.].

4. Preparatory Hearing

A. The Court may hold a preparatory hearing and have the parties present in order to summarize the parties' arguments and evidence or to hold a technical explanatory session.

- B.** If a party seeks to add or modify an argument or submit evidence for such added or modified argument after the conclusion of the preparatory hearing, the party shall provide an explanation for the failure to submit the argument or evidence before the conclusion of the preparatory hearing based on a justifiable cause.

IV. Oral Hearings

1. Conduct of Oral Hearings

- A.** Each party shall present an oral argument for 15 minutes, in the order of the appellant and the appellee. Even when a party has retained more than one attorney-of-record, the party shall present its oral arguments within the above time period. If deemed necessary, the presiding judge may extend or shorten the time.
- B.** Any materials for oral arguments shall be submitted no later than 1 week before the designated date for each hearing.
- C.** If necessary, the parties shall bring the products directly related to the case (e.g., products implementing a patent in dispute, accused infringing products, etc.). The presiding judge may request the parties to explain or demonstrate the products.

2. Separate Oral Hearings according to Issues

- A.** If deemed necessary in any of the following cases, the Court may consult with the parties and hold the separate oral hearings according to issues:
 - ① Where it is necessary to hold oral hearings according to specific claims or issues because several claims are consolidated or several issues are in dispute;¹⁾

1) <Operational Example> When the issues of infringement and the amount of damages are in

② Where a hearing for claim construction should be conducted first because the parties dispute the proper construction of the claims and the parties' arguments on other disputed issues may change according to the claim construction,²⁾ or

③ Where it is otherwise necessary to hold hearings directed to specific issues.

B. At each of the hearings, the scope of the hearing is limited to the disputed issue designated for that hearing.

C. After a hearing, the Court may disclose its opinion, either orally or in writing, regarding disputed issues on which examination has been completed. The above opinion can be changed later. The judge panel may order the parties to prepare for hearings on other remaining disputed issues based on the Court's opinion above.

dispute:

① Based on the discussion in a video conference for case management, the Court sets a schedule for the separate oral hearing according to issues and designates a deadline for submission of arguments and evidence on the infringement issue. → The Court holds a first hearing directed to the infringement issue → The Court may disclose its opinion on the infringement issue, either orally or in writing.

② If a prima facie case of infringement is established, a discussion is held during a preparatory proceeding for setting the deadlines for submission of arguments and evidence relating to the amount of damages, procedures and methods of examination of evidence, etc.

If infringement is not clear, a discussion is held during a preparatory proceeding for conducting additional examination on unclear portions in a second hearing.

③ The Court holds the second hearing directed to the disputed issue discussed in the preparatory hearing proceeding. → The Court issues a judgment.

2) <Operational Example> When claim construction is in dispute:

① Based on the discussion in a video conference for case management, the Court sets a schedule for the construction of the asserted claims first and designates a deadline for submission of arguments and evidence for claim construction and other disputed issues. → The Court holds a first hearing directed to construction of the claims in dispute.

② The Court discloses its opinion on the proper construction of claims, either orally or in writing, and orders the parties to prepare for a hearing directed to the other remaining disputed issues.

③ The Court holds a second hearing directed to the other remaining disputed issues. → The Court issues a judgment.

3. Hearings of an Infringement Action and a Cancellation of IPTAB Decision Action

- A.** If deemed necessary, such as when both an infringement action and a cancellation of IPTAB decision action involving same patent, utility model, trademark or design are filed together before the Court and are litigated by same parties and the attorneys-of-record, the Court may examine both actions in parallel.³⁾
- B.** If it is necessary to organize related arguments in an infringement action and a cancellation of IPT decision action, the Court may conduct preparatory proceedings for these actions in parallel.

V. Application and Examination of Evidence

1. Application to Adduce Evidence and its Admissibility

- A.** If a party makes an application to adduce new evidence in the appeal proceeding, the party shall provide a detailed explanation for the failure to submit the evidence in the lower court. The Court determines whether to admit the evidence in consideration of the circumstances, including whether a significant harm to the other party is expected from a delay in court proceedings or whether an expedited proceeding is necessary.

3) <Operational Example> When the infringement action and the cancellation of IPTAB Decision action are heard before the Court in parallel:

- ① The Court examines the issues of nullification (and infringement) in a first hearing. → Regarding the cancellation action, the Court concludes a hearing or sets a hearing TBD.
- ② If the nullification is not recognized, the Court discloses its opinion on this (and may issue a judgment regarding the cancellation of decision action first) and discusses other remaining issues of the infringement action in a preparatory hearing. → A second hearing → The Court issues a judgment.

If the nullification is recognized, the Court discloses its opinion on this (and may issue a judgment regarding the cancellation of decision action). → A second hearing → The Court issues a judgment.

- B.** If a party makes an application to adduce evidence that is identical or similar, in the evidentiary purport, to the evidence that had been admitted and examined by the lower court (e.g., where the lower court appraised an amount of damages and a party files a request for a separate appraisal to impeach the appraised amount), the party shall provide a detailed explanation on the need for such evidence.
- C.** If a party makes an application to adduce evidence that had been filed but rejected by the lower court or voluntarily withdrawn by the party in the lower court, the party shall provide a detailed explanation on the need for such evidence.
- D.** If deemed necessary, the Court may conduct a preparatory proceeding for discussing evidence examination procedure. After hearing the parties' opinions, the presiding judge may discuss procedural matters via a video conference method set forth in Section III.3.A and, if deemed necessary, issue a preparatory order in relation thereto.

2. Expert Witnesses

- A.** If a party files a request for an expert witness, the party shall attach a declaration that can confirm the expertise and objectivity of the witness.
- B.** The Court may issue a preparatory order for examination of an expert witness (e.g. deadlines for submission of a statement of the expert witness and a questionnaire for the direct examination, limitation of the time for examination, and deadlines for submission of arguments and evidence for impeaching the credibility of the expert witness testimony).
- C.** The direct examination by the party who requests for the witness shall be made within the scope of the statement of the expert witness. All materials presented or cited in the direct examination shall be submitted as evidence before the date designated for examining the witness.

D. If an expert witness is a foreigner, the parties may be respectively accompanied by an interpreter for the direct and cross examinations. If a party cannot be accompanied by an interpreter, the party shall notify the Court of the same 4 weeks before the witness examination date and file a request for designation of an interpreter.

3. Order to Adduce Materials

A. According to a party's request, the Court may order the other party to submit documents or materials (including electronic documents) necessary for proving infringement or calculating the amount of damages occurred by the infringing act (e.g., accounting books, books relating to revenues or expenditures, contracts, tax invoices, tax returns, and statements of bank transactions). The Court may determine the types and scope of materials to be submitted by comparing the adverse impact that the requesting party would suffer due to the lack of access to materials and the adverse impact that disclosure of materials would have on the disclosing party. If the disclosing party presents justifiable grounds such as the documents contain sensitive personal information or information that is not relevant to proving infringement or calculating the amount of damages, the Court may permit submission of the documents by redacting corresponding portions according to the disclosing party's request.

B. If deemed necessary, the Court may, upon a request by a party, generally describe the purport of materials requested and the facts to be proved by the materials and order the other party to submit descriptions and purport of the materials in its possession that relate to the request.

C. If deemed necessary such as when it is disputed whether the other party is in possession of the materials, the Court may examine the parties or witnesses before issuing an order for production of materials.

D. If the other party refuses to produce the materials, the Court may request the party to provide the materials for the purpose of determining whether a

justifiable cause exists for the refusal to produce the documents.

- E.* If the materials requested to be produced contain trade secret, the Court may, upon a request by the party in possession of the materials, order the requesting party or its counsel to keep the contents of the materials confidential by its ruling.

4. Appraisal

- A.* The Court may conduct an appraisal if an appraisal for calculating the amount of damages was not conducted in the lower court, the appraisal is necessary to determine a reasonable royalty or a contribution ratio of a patented invention, or the appraisal is otherwise acknowledged to be necessary.
- B.* The parties shall explain to the appraiser matters necessary for the appraisal of the damages amount.

5. Technical Advisors

- A.* If deemed necessary, the Court may hear opinions of the parties and designate one or more technical advisors.
- B.* A preparatory hearing may be held if it is deemed necessary for the technical advisors to understand the case. In the preparatory hearing, the technical advisors may directly question the parties with approval of the presiding judge. If it is necessary for a party to supplement its answer to a question from the technical advisors, the party shall submit its supplemental answer in writing to the Court by a deadline designated by the presiding judge.

6. Submission of Arguments and Evidence regarding an Amount of Damages

- A.** The respondent from whom compensation for damages is sought shall provide specific answers to the arguments of the petitioner, and if the petitioner's arguments are different from the facts, the respondent shall disclose the actual sales period of products, quantities sold, unit cost of sales, sales amount, manufacturing cost, and profit rate.
- B.** If account books or books relating to accounting or finance recording sales or expenditures are submitted, the disclosing party shall attach a written confirmation of the person who prepared the books (for a company, the chief executive officer and the chief accounting officer) verifying that the submitted documents are the original documents or copies of the original documents without any modification, deletion, or omission. If the other party raises a reasonable doubt on the authenticity of the account books, the disclosing party shall submit additional documents (bank or financial documents, etc.), which are the basis for preparing the books.

VI. Mediation

1. Early Mediation

- A.** Immediately upon receiving an appeal case or at an appropriate time, the presiding judge may determine whether the case is suitable for mediation and refer the case to an early mediation proceeding.
- B.** In principle, the mediation judge shall be in charge of cases referred to an early mediation proceeding. Upon discussions with the parties, the mediation judge may conduct mediation proceedings at suitable locations other than the Court.

2. Mediation after Hearing

Even after the first hearing, if deemed necessary, the presiding judge may refer the case to the mediation proceeding to enable the Patent Court Mediation

Committee or the like to mediate the case.

VII. Preparing Documents for Submission

1. Briefs

A. Contents of Briefs

- ① If a brief of 20 or more pages is to be submitted, a table of contents shall be included at the beginning of the brief.
- ② If evidence supporting an argument is submitted, a number for the evidence shall be indicated in a corresponding portion of the brief.
- ③ Technical terms shall be defined in footnotes and the sources thereof shall be identified.
- ④ A comprehensive brief shall include, at the beginning thereof, a summary of all offensive and defensive arguments by a party in this action and main evidence (including prior arts) therefor.
- ⑤ In briefs other than the comprehensive briefs, arguments that have been previously made shall not be repeated.

B. Arguments regarding Inventive Step

- ① A specific combination relationship of prior arts and the reason for the ease in combining the prior arts shall be specified. It should be noted that if such an argument is not specified, it may be deemed that the argument had not been made.

(Example) The inventive step of the Claim is denied by Prior Arts 1 to 3 (×).

If the ○○ constitution of Prior Art 2 is added to Prior Art 1 which is the main prior art (or if the constitution 2 of Prior Art 1 is replaced with the ○○ constitution of Prior Art 2), the patented invention is derived. And since Prior Art 1 discloses a suggestion for such combination, a person of ordinary skill in the art could have easily conceived such combination and thus the inventive step of the patented invention is denied (○).

- ② A feature comparison chart comparing the corresponding features of the patented invention and each of the prior arts shall be submitted.
- ③ The features of prior arts shall be specified in detail. If a single document contains multiple inventions, it shall be clearly specified as to which of the multiple inventions is asserted to be a prior art.
- ④ The person of ordinary skill in the art and the level of ordinary skill in the art shall be specified in detail.
- ⑤ The foregoing requirements shall also apply to a free-to-practice technology defense.

C. An argument regarding a lack of written description in the specification shall specify an applicable legal provision on which the argument is based.

D. Arguments regarding Infringement

- ① Infringing products and methods shall be described specifically, individually, and factually to allow the enforcement agency to identify the same without a separate judgment in relation thereto (e.g., describing the names and model numbers of products with drawings or photos attached).
- ② Arguments regarding infringing products and methods shall be made in sufficient detail to allow comparison with the patented invention and the descriptions shall correspond to the products and methods practiced by the other party in factual aspects.
- ③ A feature comparison chart comparing the corresponding features of the patented invention and the infringing products and methods shall be submitted.

E. Arguments regarding an Amount of Damages

- ① Plaintiff's argument regarding the amount of damages shall indicate an applicable legal provision on which the argument is based and shall indicate an evidence number relating to an argument for each of the

essential elements.

- ② Defendant's response relating to the amount of damages shall include a detailed rebuttal argument to the plaintiff's factual arguments (it should be noted that any fact not specifically denied may be deemed as being undisputed). In particular, if the plaintiff claims a damages amount based on Article 128(1) of the Patent Act, the defendant's response denying the transferred volume argued by the plaintiff shall state the actual transferred volume. If the plaintiff claims a damages amount based on Article 128(3) of the Patent Act, the defendant's response denying the profit amount argued by the plaintiff shall state the actual profit amount and the grounds for calculating the amount such as sales revenues, expenses, profit margins, etc.

2. Explanatory Documents for Evidence

- A.** Each item of evidence and the purport to be proved therefrom shall be briefly described.
- B.** If an item of evidence is submitted in relation to an argument regarding novelty, inventive step, or free-to-practice technology, it shall be clearly specified whether the evidentiary item is submitted as a prior art invention or as evidence of well-known prior art.

3. Documentary Evidence

- A.** Written documents in a foreign language shall be submitted with a translation attached thereto and the main evidence (e.g., prior arts, etc.) shall be submitted with a professional translation attached thereto. Machine (automatic) translations shall not be submitted.
- B.** A documentary evidence shall indicate a title if the title of the document exists, or a summary of the document, if the document has no title [e.g., "Product Catalogue of the Company ○ ○ (published on January 2, 2006)"]. A

written evidence submitted as a prior art shall indicate the same [e.g., "(Prior Art 1) Registered Patent Publication No. 0012345"].

- C. Each evidence shall contain only a single evidentiary item [e.g., in trademark cases, several blog postings shall be submitted as separate evidentiary documents; however, if they are related, they can be indicated as multi-level numbers (Plaintiff's Exhibit No. 2-1, 2-2, etc.)].

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